



Consolidated Financial Statements at December 31, 2024

Version under review by the Statutory Auditors



6.1 Consolidated financial statements AFR

6.1.1 CONSOLIDATED STATEMENT OF FINANCIAL POSITION

Consolidated Statement of Financial Position - Assets

(€ million)	Notes	As of December 31, 2023	As of December 31, 2024
Goodwill	Note 7.1	11,556	11,783
Concession intangible assets	Note 7.2.1	5,589	5,255
Other intangible assets	Note 7.2.2	2,911	2,830
Property, plant and equipment	Note 7.3	17,134	17,933
Rights of use (net)	Note 7.4	1,853	1,819
Investments in joint ventures	Note 5.2.4	1,110	1,044
Investments in associates	Note 5.2.4	603	632
Non-consolidated investments		92	77
Non-current operating financial assets	Note 5.4	1,187	1,218
Non-current derivative instruments - Assets	Note 8.3	50	67
Other non-current financial assets	Note 8.1.2	542	534
Deferred tax assets	Note 11.2	2,042	1,958
Non-current assets		44,669	45,149
Inventories and work-in-progress	Note 5.3	1,550	1,497
Operating receivables	Note 5.3	14,363	14,038
Current operating financial assets	Note 5.4	206	135
Other current financial assets	Note 8.1.2	2,223	2,371
Current derivative instruments - Assets	Note 8.3	209	166
Cash and cash equivalents	Note 8.1.3	8,696	9,601
Assets classified as held for sale	Note 3.3	650	-
Current assets		27,897	27,809
TOTAL ASSETS		72,566	72,959

The accompanying notes are an integral part of these consolidated financial statements.

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

Consolidated Statement of Financial Position – Equity and Liabilities

(€ million)	Notes	As of December 31, 2023	As of December 31, 2024
Share capital	Note 9.2.1	3,627	3,703
Additional paid-in capital		9,631	9,902
Deeply-subordinated perpetual securities	Note 9.4	3,630	3,337
Reserves and retained earnings attributable to owners of the Company	Note 9.2	-4,577	-4,027
Total equity attributable to owners of the Company	Note 9.2	12,311	12,915
Total equity attributable to non-controlling interests	Note 9.3	2,391	2,391
Equity		14,702	15,306
Non-current provisions	Note 10	2,807	2,749
Non-current financial liabilities	Note 8.1.1	18,777	18,281
Non-current IFRS 16 lease debt	Note 8.1.1	1,533	1,523
Non-current derivative instruments - Liabilities	Note 8.3	493	365
Concession liabilities – non-current	Note 5.5	1,665	1,459
Deferred tax liabilities	Note 11.2	2,575	2,606
Non-current liabilities		27,850	26,983
Operating payables	Note 5.3	19,808	19,540
Concession liabilities - current	Note 5.5	347	303
Current provisions	Note 10	1,005	1,066
Current financial liabilities	Note 8.1.1	7,195	8,819
Current IFRS 16 lease debt	Note 8.1.1	467	462
Current derivative instruments - Liabilities	Note 8.3	253	282
Bank overdrafts and other cash position items	Note 8.1.3	379	197
Liabilities directly associated with assets classified as held for sale	Note 3.3	560	-
Current liabilities		30,014	30,670
TOTAL EQUITY AND LIABILITIES		72,566	72,959

The accompanying notes are an integral part of these consolidated financial statements.

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

6.1.2 CONSOLIDATED INCOME STATEMENT

(€ million)	Notes	Year ended December 31, 2023	Year ended December 31, 2024
Revenue	Note 5.1	45,351	44,692
Cost of sales	Note 5.2	-37,852	-36,924
Selling costs	Note 5.2	-998	-1,000
General and administrative expenses	Note 5.2	-3,336	-3,459
Other operating revenue and expenses	Note 5.2	-441	-429
Operating income before share of net income (loss) of equity-accounted entities	Note 5.2	2,724	2,881
Share of net income (loss) of equity-accounted entities		123	132
o/w share of net income (loss) of joint ventures	Note 5.2.4	60	71
o/w share of net income (loss) of associates	Note 5.2.4	63	61
Operating income after share of net income (loss) of equity-accounted entities		2,847	3,012
Cost of net financial debt	Note 8.4.1	-539	-590
Other financial income and expenses	Note 8.4.2	-439	-309
Pre-tax net income (loss)		1,869	2,114
Income tax expense	Note 11.1	-511	-566
Net income (loss) from continuing operations		1,358	1,547
Net income (loss) from discontinued operations	Note 3.3.1	-24	-103
Net income (loss) for the year		1,334	1,445
Attributable to owners of the Company		937	1,098
Attributable to non-controlling interests	Note 9.3	397	347
NET INCOME (LOSS) ATTRIBUTABLE TO OWNERS OF THE COMPANY PER SHARE (in euros)	Note 9.5		
Basic		1.24	1.45
Diluted		1.19	1.40
NET INCOME (LOSS) FROM CONTINUING OPERATIONS ATTRIBUTABLE TO OWNERS OF THE COMPANY PER SHARE (in euros)	Note 9.5		
Basic		1.27	1.59
Diluted		1.23	1.54
NET INCOME (LOSS) FROM DISCONTINUED OPERATIONS ATTRIBUTABLE TO OWNERS OF THE COMPANY PER SHARE (in euros)	Note 9.5		
Basic		-0.03	-0.14
Diluted		-0.03	-0.14

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6.1.3 CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

(€ million)	Year ended December 31, 2023	Year ended December 31, 2024
Net income (loss) for the year	1,334	1,445
Actuarial gains or losses on pension obligations	-37	22
Income tax expense	11	-8
<i>Amount net of tax</i>	<i>-26</i>	<i>15</i>
Fair value adjustments on financial instruments at fair value through equity not subsequently released to net income	-	1
Income tax expense	-	1
<i>Amount net of tax</i>	<i>-</i>	<i>2</i>
Other items of comprehensive income not subsequently released to net income	-26	16
o/w attributable to joint ventures	-	-
o/w attributable to associates	-	-
Fair value adjustments on hedging costs	-12	6
Income tax expense	-	-
<i>Amount net of tax</i>	<i>-12</i>	<i>6</i>
Fair value adjustments on financial instruments at fair value through equity subsequently released to net income	-	-
Income tax expense	-	-
<i>Amount net of tax</i>	<i>-</i>	<i>-</i>
Fair value adjustments on cash flow hedge derivatives	66	51
Income tax expense	-22	-12
<i>Amount net of tax</i>	<i>44</i>	<i>39</i>
Foreign exchange gains and losses:		
• on the translation of the financial statements of subsidiaries drawn up in a foreign currency	-529	366
<i>Amount net of tax</i>	<i>-529</i>	<i>366</i>
• on the net financing of foreign operations	-59	-67
• income tax expense	1	-1
<i>Amount net of tax</i>	<i>-58</i>	<i>-68</i>
Other items of comprehensive income subsequently released to net income	-556	343
o/w attributable to joint ventures	-67	6
o/w attributable to associates	22	5
Total Other comprehensive income	-582	359
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	753	1,804
Attributable to owners of the Company	399	1,465
Attributable to non-controlling interests	354	339

The accompanying notes are an integral part of these consolidated financial statements.

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

6.1.4 CONSOLIDATED CASH FLOW STATEMENT

(€ million)	Notes	As of December 31, 2023	As of December 31, 2024
Net income (loss) for the period		1,334	1,445
Net income (loss) from continuing operations		1,358	1,547
Net income (loss) from discontinued operations		-24	-103
Operating depreciation, amortization, provisions and impairment losses		3,044	3,071
Financial amortization and impairment losses		77	-75
Gains (losses) on disposal of operating assets		-83	-36
Gains (losses) on disposal of financial assets		-72	-64
Share of net income (loss) of joint ventures	Note 5.2.4	-60	-71
Share of net income (loss) of associates	Note 5.2.4	-63	-61
Dividends received	Note 8.4.2	-3	-3
Cost of net financial debt	Note 8.4.1	539	590
Income tax expense	Note 11	511	566
Other items		334	353
Operating cash flow before changes in working capital		5,582	5,818
Change in operating working capital requirements		195	75
Change in working capital requirements of concessions		-113	-270
Income taxes paid		-637	-579
Net cash from operating activities of continuing operations		5,027	5,044
Net cash from operating activities of discontinued operations		-22	-6
Net cash from operating activities		5,005	5,038
Industrial investments, net of grants		-3,140	-2,965
Proceeds on disposal of industrial assets		318	212
Purchases of investments	Note 3.2	-223	-482
Proceeds on disposal of financial assets	Note 3.2	658	949
Operating financial assets			
New operating financial assets	Note 5.4	-254	-225
Principal payments on operating financial assets	Note 5.4	233	227
Dividends received (including dividends received from joint ventures and associates)		161	123
New non-current loans granted		-103	-132
Principal payments on non-current loans		24	133
Net decrease/increase in current loans		206	47
Net cash used in investing activities of continuing operations		-2,120	-2,115
Net cash used in investing activities of discontinued operations		-4	-
Net cash used in investing activities		-2,124	-2,115

(€ million)	Notes	As of December 31, 2023	As of December 31, 2024
Net increase (decrease) in current financial liabilities	Note 8.1.1	-948	-5
Repayment of current IFRS 16 lease debt	Note 8.1.1	-535	-541
Other changes in non-current IFRS 16 lease debt	Note 8.1.1	-96	-73
New non-current borrowings and other debt	Note 8.1.1	970	1,462
Principal payments on non-current borrowings and other debt	Note 8.1.1	-569	-619
Change in liquid assets and financing financial assets	Note 8.1.2	-235	-125
Proceeds on issue of shares		210	341
Share capital reduction		-	-
Transactions with non-controlling interests: partial purchases		-166	-32
Transactions with non-controlling interests: partial sales		7	1
Issue / repayment of deeply subordinated securities	Note 9.4	198	-221
Coupons on deeply subordinated securities	Note 9.4	-90	-81
Purchases of/proceeds from treasury shares		59	-8
Dividends paid		-1,261	-1,218
Interest paid		-538	-585
Interest on IFRIC 12 operating assets		-85	-86
Interest on IFRS 16 lease debt *	Note 8.4.2	-58	-66
Net cash from (used in) financing activities of continuing operations		-3,137	-1,857
Net cash from (used in) financing activities of discontinued operations		-2	-
Net cash from (used in) financing activities		-3,139	-1,857
Effect of foreign exchange rate changes and other		-228	20
Increase (decrease) in external net cash of discontinued operations		4	-
NET CASH AT THE BEGINNING OF THE YEAR		8,799	8,317
NET CASH AT THE END OF THE YEAR		8,317	9,404
Cash and cash equivalents	Note 8.1.3	8,696	9,601
Bank overdrafts and other cash position items	Note 8.1.3	379	197
NET CASH AT THE END OF THE YEAR		8,317	9,404

* Interest on IFRS 16 lease debt is not included in the Cost of net financial debt, but in Other financial income and expenses (see Note 8.4.2).

The accompanying notes are an integral part of these consolidated financial statements.

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

6.1.5 STATEMENT OF CHANGES IN EQUITY

(€ million)	Number of shares outstanding	Share capital	Additional paid-in capital	Deeply subordinated securities and OCEANE	Treasury shares	Consolidated reserves and retained earnings	Foreign exchange translation reserves	Fair value reserves	Equity attributable to owners of the Company	Non- controlling interests	Total equity
Amount as of December 31, 2022	714,574,367	3,573	9,470	3,496	-435	-4,083	-52	286	12,255	2,612	14,867
Issues of share capital of the parent company	10,837,300	54	161	-	-	-12	-	-	203	-	203
Proceeds on issue of deeply subordinated securities / Repayments of deeply subordinated securities	-	-	-	182	-	16	-	-	198	-	198
Coupons on deeply subordinated securities	-	-	-	-48	-	-42	-	-	-90	-	-90
Parent company dividend distribution	-	-	-	-	-	-787	-	-	-787	-	-787
Movements in treasury shares	-	-	-	-	60	-1	-	-	59	-	59
Share-based payments	-	-	-	-	-	51	-	-	51	-	51
Third-party share in share capital increases of subsidiaries	-	-	-	-	-	-	-	-	-	6	6
Third-party share in dividend distributions of subsidiaries	-	-	-	-	-	-	-	-	-	-474	-474
Transactions with non-controlling interests	-	-	-	-	-	-37	-	-	-37	-127	-164
Total transactions with non-controlling interests	10,837,300	54	161	134	60	-812	-	-	-403	-594	-997
Other comprehensive income	-	-	-	-	-	-27	-531	20	-538	-43	-582
Net income for the year	-	-	-	-	-	937	-	-	937	397	1,334
Total comprehensive income for the period	-	-	-	-	-	910	-531	20	399	354	753
Other movements	-	-	-	-	-	60	-	-	60	19	79
Amount as of December 31, 2023	725,411,667	3,627	9,631	3,630	-375	-3,925	-583	306	12,311	2,391	14,702

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

(€ million)	Number of shares outstanding	Share capital	Additional paid-in capital	Deeply subordinated securities and OCEANE	Treasury shares	Consolidated reserves and retained earnings	Foreign exchange translation reserves	Fair value reserves	Equity attributable to owners of the Company	Non- controlling interests	Total equity
Amount as of December 31, 2023	725,411,667	3,627	9,631	3,630	-375	-3,925	-583	306	12,311	2,391	14,702
Issues of share capital of the parent company	15,240,941	76	271	-	-	-11	-	-	336	-	336
Proceeds on issue of deeply subordinated securities / Repayments of deeply subordinated securities	-	-	-	-229	-	8	-	-	-221	-	-221
Coupons on deeply subordinated securities	-	-	-	-63	-	-18	-	-	-81	-	-81
Parent company dividend distribution	-	-	-	-	-	-895	-	-	-895	-	-895
Movements in treasury shares	-	-	-	-	-8	-	-	-	-8	-	-8
Share-based payments	-	-	-	-	-	57	-	-	57	-	57
Third-party share in share capital increases of subsidiaries	-	-	-	-	-	-	-	-	-	4	4
Third-party share in dividend distributions of subsidiaries	-	-	-	-	-	-	-	-	-	-323	-323
Transactions with non-controlling interests	-	-	-	-	-	-99	-	-	-99	-23	-122
Total transactions with non-controlling interests	15,240,941	76	271	-293	-8	-958	-	-	-911	-342	-1,253
Other comprehensive income	-	-	-	-	-	12	323	32	367	-8	359
Net income for the year	-	-	-	-	-	1,098	-	-	1,098	347	1,445
Total comprehensive income for the period	-	-	-	-	-	1,110	323	32	1,465	339	1,804
Other movements	-	-	-	-	-	51	-	-	51	3	54
Amount as of December 31, 2024	740,652,608	3,703	9,902	3,337	-383	-3,722	-260	337	12,915	2,391	15,306

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

A dividend per share of €1.25 was distributed in 2024, compared with €1.12 in 2023.

The total dividends paid recorded in the Consolidated Cash Flow Statement for the periods ended December 31, 2024, and 2023, respectively, breaks down as follows:

(€ million)	December 31, 2023	December 31, 2024
Parent company dividend distribution	-787	-895
Third party share in dividend distributions of subsidiaries	-474	-323
Scrip dividend	-	-
TOTAL DIVIDEND PAID	-1,261	-1,218

A dividend distribution of €1.40 per share will be proposed to the General Meeting of April 24, 2025.

6.1.6 NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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Note 1 ACCOUNTING POLICIES AND METHODS**1.1 General principles underlying the preparation of the financial statements**

The accounting methods presented in these notes to the consolidated financial statements have been applied consistently for all periods presented in the consolidated financial statements.

The consolidated financial statements are presented on a historical cost basis, with the exception of assets and liabilities classified as held for sale measured in accordance with IFRS 5 and assets and liabilities recognized at fair value: derivatives, financial instruments held for trading, financial instruments at fair value (in accordance with IFRS 9).

The Veolia Environnement consolidated financial statements for the year ended December 31, 2024 were adopted by the Board of Directors on February 26, 2025 and will be presented for approval at the General Meeting on April 24, 2025.

1.2 Accounting standards framework

Pursuant to Regulation no. 1606/2002 of July 19, 2002, as amended by European Regulation no. 297/2008 of March 11, 2008, the consolidated financial statements are presented in accordance with IFRS (International Financial Reporting Standards) as adopted by the European Union.

In the absence of IFRS standards or interpretations and in accordance with IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors, Veolia refers to other IFRS dealing with similar or related issues and the conceptual framework.

The consolidated financial statements are presented in millions of euro, unless stated otherwise. Amounts are in millions of euro rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

The consolidated financial statements comprise the financial statements of Veolia Environnement, the entities it controls (its subsidiaries) and the entities equity accounted. The financial statements of subsidiaries are drawn up for the same reference period as those of the parent company, from January 1, to December 31, 2024, in accordance with uniform accounting policies and methods.

The accounting principles and valuation rules applied by the Group in preparing the consolidated financial statements for the year ended December 31, 2024 comprise those applied by the Group as of December 31, 2023 and the standards, standard amendments and interpretations adopted or in the course of adoption by the European Union as of December 31, 2024:

- applicable from fiscal year 2024; or
- that the Group has elected to apply early as permitted by these texts.

Texts applicable as of January 1, 2024:

- Amendments to the following standards:
 - IAS 1: classification of liabilities as current or non-current;
 - IAS 7: information on supplier financing agreements;
 - IFRS 16: lease liability in a sale and leaseback.

The first-time application of these texts did not have a material impact for the Group.

Texts applicable after 2024:

- IFRS 18 "Presentation and Disclosure in Financial Statements";
- IFRS 19 "Subsidiaries without Public Accountability: Disclosures";
- Amendments to the following standards:
 - IAS 21: lack of exchangeability;
 - IFRS 9 and IFRS 7 on the classification and measurement of financial instruments;

The Group is currently assessing the potential impact of the first-time application of these texts.

1.3 Translation of foreign subsidiaries' financial statements

1.3.1 Exchange rates

Statements of financial position, income statements and cash flow statements of subsidiaries whose functional currency is different from the presentation currency of the Group are translated into the presentation currency at the applicable rate of exchange (i.e. the year-end rate for statement of financial position items and the average annual rate for income statement and cash flow items).

Foreign exchange translation gains and losses are recorded in other comprehensive income in equity. The exchange rates of the major currencies of non-euro countries used in the preparation of the consolidated financial statements were as follows:

Period-end exchange rate (one foreign currency unit = €xx)	December 31, 2023	December 31, 2024
US dollar	0.9050	0.9626
Pound sterling	1.1506	1.2060
Chinese renminbi	0.1274	0.1319
Australian dollar	0.6149	0.5962
Polish zloty	0.2304	0.2339
Hungarian forint	0.0026	0.0024
Argentinian peso	0.0011	0.0009
Mexican peso	0.0534	0.0464
Chilian peso	0.0010	0.0010
Czech koruna	0.0404	0.0397

Average exchange rate (one foreign currency unit = €xx)	2023	2024
US dollar	0.9248	0.9241
Pound sterling	1.1495	1.1811
Chinese renminbi	0.1306	0.1284
Australian dollar	0.6141	0.6098
Polish zloty	0.2201	0.2323
Hungarian forint	0.0026	0.0025
Argentinian peso	0.0011	0.0009
Mexican peso	0.0521	0.0505
Chilian peso	0.0011	0.0010
Czech koruna	0.0417	0.0398

1.3.2 Hyperinflation

The market consensus is that Argentina is a hyperinflationary economy for all the periods presented. The Group has therefore applied the provisions of IAS 29 since January 1, 2018 for its businesses in Argentina.

1.4 Foreign currency transactions

Foreign currency transactions are translated into euro at the exchange rate prevailing at the transaction date. At the year end, foreign currency-denominated monetary assets and liabilities are remeasured at year-end exchange rates. The resulting foreign exchange gains and losses are recorded in net income for the period.

Loans to a foreign subsidiary, the settlement of which is neither planned nor probable in the foreseeable future represent, in substance, a portion of the Group's net investment in this foreign operation. Foreign exchange gains and losses on monetary items forming part of a net investment are recognized directly in other comprehensive income in foreign exchange translation adjustments and are released to net income on the disposal of the net investment.

Exchange gains and losses on foreign currency-denominated borrowings or on currency derivatives that qualify as hedges of a net investment in a foreign operation, are recognized directly in other comprehensive income as foreign exchange translation adjustments. Amounts recognized in other comprehensive income are released to income on the date of disposal of the relevant investment.

Foreign currency-denominated non-monetary assets and liabilities recognized at historical cost are translated using the exchange rate prevailing as of the transaction date. Foreign currency-denominated non-monetary assets and liabilities recognized at fair value are translated using the exchange rate prevailing as of the date the fair value is determined.

Note 2

USE OF MANAGEMENT ESTIMATES IN THE APPLICATION OF GROUP ACCOUNTING STANDARDS

Veolia may be required to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenue and expenses, and the disclosures of contingent assets and liabilities. Future results may be different from these estimates.

Underlying estimates and assumptions are determined based on past experience and other factors considered as reasonable given the circumstances. They act as a basis for making judgments necessary to the determination of the carrying amount of assets and liabilities, which cannot be obtained directly from other sources. Future values could differ from these estimates.

All these estimates are based on organized procedures for the collection of forecast information on future flows, validated by operating management, and on expected market data based on external indicators and used in accordance with consistent and documented methodologies.

The underlying estimates and assumptions are reviewed on a ongoing basis by the Group. The impact of changes in accounting estimates is recognized in the period the change is made if it affects this period only and in the period the change is made and prior periods if they are also affected by the change.

This is notably the case for impairment testing of assets with an indefinite useful life (goodwill). Note 7 presents the methodology and main assumptions used in preparing the financial statements for the year ended December 31, 2024 and particularly future flow and discount rate assumptions underlying the recoverable amount of these assets. The Group considered in particular the macroeconomic environment, especially for raw materials. Sensitivity analyses were also performed on the goodwill CGUs and certain of them are presented in the aforementioned note.

The items that generally require Management to make estimates or exercise judgment are as follows:

- classification and measurement of assets and liabilities covered by IFRS 5: assessments leading to the application of the standard are reviewed at each reporting date with regard to changes in facts and circumstances (See Note 3);
- measurement of intangible assets and property, plant and equipment (see Notes 7.2 and 7.3);
- measurement of provisions (including for employee commitments), as well as contingent assets and liabilities (Notes 6, 10 and 12);
- fair value measurement of financial instruments (Note 8.3);
- the amount of deferred tax assets and liabilities and the tax expense recognized (Note 11);
- methods used for determining the value of identifiable assets acquired and liabilities assumed in business combinations.

The Group uses several discount rate calculation methodologies for the purposes of these estimates. They are detailed in Notes 6, 7 and 10.

In addition, given its activities in installations covered by the EU Emissions Trading Scheme (EU ETS), the Group paid close attention to its exposure to greenhouse gas emission allowances, the management policy, accounting treatment and issues are presented in Note 8.3.1.3.

Finally, Veolia must make assumptions and judgments when assessing the level of control exercised over certain investments and particularly when defining relevant activities and identifying substantive rights. These judgments are reassessed when the facts and circumstances change.

Climate risk

In the context of its Purpose and the GreenUp strategic program, Veolia has committed to fighting pollution and accelerating ecological transition (see Chapter 4, Section 4.2.4.2.2 below). This commitment can be broken down into several objectives, including combating climate change.

In addition, the Group's activities and those of its customers, due to their nature and geographic locations, may be exposed to risks related to climate change, which are likely to increase the frequency and magnitude of natural disasters.

The Group has integrated the identification of the main climate risks into its accounts closing process, to assess their potential impacts on the financial statements and, in particular, on:

- the useful life of certain assets;
- the value of certain non-current assets, particularly through cash flow estimates incorporating, where appropriate, decarbonizing plans validated by the governance bodies;
- risk estimates to determine the amount of contingency provisions.

These procedures are performed jointly with the Risk Department and the Sustainable Development Department to ensure the consistency of commitments given by the Group and their inclusion in the financial statements.

The main risks identified concern:

- risks related to the physical impacts of climate change (so-called "physical risks"):
 - increased frequency and severity of extreme events such as floods, droughts, etc. and
 - long-term shifts in mean (or "chronic") climate conditions, that may cause sea levels to rise, higher average temperatures, modified seasonal rain patterns, chronic water stress, etc.
- risks related to the transition to a lower-carbon economy (so-called "transition risks") of various types: regulatory, technological, market, reputation. These risks may also generate significant commercial opportunities for the Group.

Through the Group's climate policy, actions taken and the geographic spread of its operations, Veolia limits the impacts of the risk of natural disaster and the physical impacts of climate change on its results, primarily through (i) the choice of a site's location in order to limit exposure, (ii) the implementation of tailored prevention plans and (iii) the development of business continuity plans.

In addition, the residual risk of extreme weather events is usually transferred to insurance companies via the damage program.

With regard to transition risks, the Group is particularly exposed to the Emissions Trading Scheme (EU ETS) introduced by the European Union in 2005, due to the quantity of free allowances granted and the cost of carbon on this market.

To manage this exposure, Veolia was very quick to adopt an active strategy in order to manage its greenhouse gas (GHG) emissions and allowances, by implementing an appropriate structure and creating a special-purpose legal entity to purchase, sell and price different types of greenhouse gas allowances. In addition, the Group also undertook to (i) reduce its GHG emissions, and (ii) increase GHG emissions avoided thanks to its activities, particularly by allocating a significant share of its investment to reducing greenhouse gas emissions.

Finally, the Group investment validation process includes a review of the consistency of investments with the objectives set out in its Purpose. At the COP 28 in Dubai, Veolia reaffirmed its commitment to invest €1.6 billion by 2030 to phase out coal in Europe, by converting coal-based power generation assets to less carbon-intensive energies and local energies in particular. At the end of 2024, Veolia had already invested €656 million to this end. This commitment is also taken into account when drafting the long-term plans used in the impairment testing of assets with an indefinite useful life (goodwill).

Veolia considers the assessment of climate risks to be consistent with the commitments given by the Group. The inclusion of climate risks did not have a material impact on the financial statements of the Group in 2024.

Note 3 CONSOLIDATION SCOPE

3.1 Accounting principles relating to the consolidation scope

3.1.1 Consolidation principles

Consolidated entities

Veolia Environnement fully consolidates all entities over which it exercises control.

Definition of control

Control exists when the Group (i) holds power over an entity, (ii) is exposed or has rights to variable returns from its involvement with the entity and (iii) has the ability to use its power over the entity to effect the amount of its returns.

The Group reassesses whether or not it controls an entity if facts and circumstances indicate that there are changes to one or more of the elements of control.

Full consolidation

The Group consolidates a subsidiary in its consolidated financial statements from the date it obtains control of the entity to the date it ceases to control the entity.

Interests that are not directly or indirectly attributable to the Group are recorded in non-controlling interests.

Total comprehensive income of subsidiaries is attributed to owners of the Company and to non-controlling interests, even if this results in non-controlling interests having a deficit balance.

Change in ownership interests in consolidated subsidiaries

Changes in the Group's ownership interests in subsidiaries that do not result in a change in control over the subsidiaries are accounted for as equity transactions, as they are transactions performed by shareholders acting in this capacity.

The effects of these transactions are recognized in equity at their net-of-tax amount and do not therefore impact the Consolidated Income Statement of the Group.

These transactions are presented in financing activities in the Consolidated Cash Flow Statement.

Investments in joint ventures and associates

Definition

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the entity but is not control or joint control of those policies.

A joint venture is a joint arrangement whereby the parties that have joint control of the entity have rights to its net assets.

Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

Accounting for joint ventures and associates

The results and assets and liabilities of associates or joint ventures are incorporated in the Group consolidated financial statements using the equity method of accounting, except when the investment is classified as held for sale, in which case it is accounted for in accordance with the provisions of IFRS 5, Non-Current Assets Held for Sale and Discontinued Operations.

Under the equity method, the investment in the associate or joint venture is initially recognized at acquisition cost and subsequently adjusted, notably to recognize the Group's share of the net income and other comprehensive income of the associate or joint venture.

When a Group entity transacts with an associate or joint venture of the Group, profits and losses resulting from the transaction with the associate or joint venture are recognized in the Group consolidated financial statements only to the extent of interests in the associate or joint venture.

The share of net income (loss) of equity-accounted entities is included in the Group Consolidated Income Statement. Pursuant to recommendation no. 2013-01 issued by the French Accounting Standards Authority (Autorité des Normes Comptables, ANC) on April 4, 2013, the share of net income (loss) of equity-accounted entities must be included in "Operating income after share of net income (loss) of equity-accounted entities".

Impairment tests

When necessary, the carrying amount of the investment in associates or joint-ventures (including goodwill) is tested for impairment in accordance with IAS 36, Impairment of Assets.

Loss of significant influence or joint control

The equity method is discontinued from the date the investment ceases to be an associate or a joint venture. Where the Group retains a residual interest in the entity and that interest is a financial asset, the financial asset is measured at fair value at the date the investment ceases to be an associate or a joint venture.

Where an investment in an associate becomes an investment in a joint venture, or vice versa, the equity method continues to be applied and the change in ownership interest does not trigger remeasurement to fair value.

Investments in joint operations**Definition**

A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have direct rights to the assets, and obligations for the liabilities, relating to the arrangement.

Accounting for joint operations

As a joint operator in a joint operation, the Group recognizes in relation to its interest in the joint operation:

- its assets, including its share of any assets held jointly;
- its liabilities, including its share of any liabilities incurred jointly;
- its revenue from the sale of its share of the output arising from the joint operation;
- its expenses, including its share of any expenses incurred jointly.

3.1.2 Transactions impacting the consolidation scope**Business combinations and goodwill**

Business combinations are recorded in accordance with the acquisition method as defined in IFRS 3, revised.

Under this method, identifiable assets acquired and liabilities assumed of the acquiree are recorded at fair value at the acquisition date.

The goodwill arising from the business combination is measured as the excess of the aggregate of the consideration transferred, the amount of any non-controlling interest and, where applicable, the fair value of any previously held interest, over the acquisition-date net amounts of the identifiable assets acquired and liabilities and contingent liabilities assumed.

This goodwill is measured in the functional currency of the company acquired and recognized in assets in the Consolidated Statement of Financial Position.

The Group may elect, on an individual transaction basis, at the acquisition date, to measure non-controlling interests either at fair value (full goodwill) or at the share in the fair value of the identifiable net assets of the company acquired (partial goodwill).

Pursuant to IFRS, goodwill is not amortized but is subject to impairment tests performed at least annually or, where appropriate, more frequently where there is evidence calling into question the net carrying amount recorded in assets in the Statement of Financial Position.

Where the terms and conditions of a business combination are advantageous, negative goodwill arises. The corresponding profit is recognized in net income at the acquisition date.

Acquisition-related costs are expensed in the period in which the costs are incurred and the services received.

Pursuant to the provisions of IFRS 3 revised, the Group may finalize the recognition of the business combination during the measurement period. This period ends when all the necessary information has been obtained and no later than one year after the acquisition date.

Assets/liabilities classified as held for sale, discontinued operations

IFRS 5, Non-Current Assets Held for Sale and Discontinued Operations, sets out the accounting treatment applicable to assets held for sale and presentation and disclosure requirements for discontinued operations.

The standard notably requires the separate presentation of assets held for sale in the Consolidated Statement of Financial Position at the lower of net carrying amount and fair value less costs to sell, where the criteria set-out in the standard are satisfied.

When the Group is committed to a sales process leading to the loss of control of a subsidiary, all assets and liabilities of that subsidiary are reclassified as held for sale where the standard classification criteria are met, irrespective of whether the Group retains a residual interest in the entity after sale.

In addition, the standard requires the separate presentation in the Consolidated Income Statement of the results of discontinued operations for all comparative periods on a retrospective basis.

A discontinued operation is a component of an entity that either has been disposed of or is classified as held for sale and:

- represents a separate major line of business or geographic area of operations;
- is part of a single coordinated plan to dispose of a separate major line of business or major geographic area of operations; or
- is a subsidiary acquired exclusively with a view to resale.

3.2 Main changes in Group structure

Acquisitions

■ Acquisition of Hofmann (Germany)

On March 1, 2024, the Group finalized the acquisition of the recycling and waste management operations of Friedrich Hofmann GmbH for €315 million.

This allows the Group to expand its geographic coverage in the German market. The Hofmann Group is active in southeast Germany, particularly in the Nuremberg region. The company is mainly involved in the collection, sorting, recovery, recycling and trading of secondary raw materials.

Divestitures

■ Disposal of SADE (France)

On February 16, 2024, the Group signed an agreement for NGE, an independent public works group, to acquire SADE, its wholly owned subsidiary specializing in the construction and repair of water and infrastructure networks. The financial closing of operation was completed on February 29, 2024. The transaction was valued at €198 million, including a deferred payment of €20 million.

As a reminder, SADE's activities, mostly consisting of civil engineering works and network construction in the water sector, generated annual revenue of €1.1 billion in 2023. It has a workforce of around 6,900 employees.

As of December 31, 2023, SADE's assets and liabilities had been reclassified as assets and liabilities held for sale.

■ Disposal of Haikou (China)

On December 25, 2023, Veolia China signed an agreement of intent with the city of Haikou with a view to it buying out the Group's 49% interest in the Haikou water concession for 620 million Chinese renminbi (€79 million).

All the requirements for the closing were met on June 26, 2024, putting the sale into effect.

■ Disposal of Lydec (Morocco)

On March 28, 2024, the Moroccan Competition Council closed the investigation into Veolia, ratifying the proposed sale of Lydec to the Moroccan state and confirming a fine of €9 million.

On July 5, 2024, in accordance with commitments made to the Moroccan authorities, Veolia announced that it had reached an agreement with the Moroccan authorities for the sale to Société Régionale Multiservices Casablanca-Settat of its entire stake in Lydec, acquired when Veolia took control of Suez in 2022.

The financial closing of operation was completed on September 4, 2024 for €149 million, including the collection of dividends paid to the shareholders prior to the disposal.

■ Disposal of Veolia North America Regeneration Services (United States of America)

On August 1, 2024, the Group sold its subsidiary Veolia North America Regeneration Services, which includes its sulfuric acid and hydrofluoric acid regeneration activities for refineries in the United States, for US\$628 million (€580 million).

This disposal is in line with the Group policy of continuously reshaping its portfolio of assets in line with the strategic priorities of GreenUp plan whilst maintaining a strict balance sheet discipline.

These activities represented revenues of around US\$350 million in 2023.

3.3 Assets classified as held for sale, discontinued operations and divestitures

3.3.1 Discontinued operations

In the Consolidated Income Statement presented for comparative purposes, the net income (loss) from discontinued operations was reclassified to "Net income (loss) from discontinued operations".

For 2024 and 2023, they mainly concern the EPC (Engineering, Procurement, Construction) business, discontinued in all regions.

3.3.2 Assets and liabilities classified as held for sale

Assets classified as held for sale and Liabilities directly associated with assets classified as held for sale are presented separately in the Group Consolidated Statement of Financial Position as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024
Assets classified as held for sale	650	-
Liabilities directly associated with assets classified as held for sale	560	-

As of December 31, 2024, no assets or liabilities were classified as held for sale.

As of December 31, 2023, Assets classified as held for sale and Liabilities directly associated with assets classified as held for sale, break down by operating segment as follows:

(€ million)	France & special waste Europe	Europe excluding France	Rest of the world	Water technologies	Other	Total
Assets						
Non-current assets	177	3	-	-	-	180
Current assets	319	-	-	-	-	319
Cash and cash equivalents	151	-	-	-	-	151
ASSETS CLASSIFIED AS HELD FOR SALE	647	3	-	-	-	650
Liabilities						
Non-current liabilities	51	-	-	-	-	51
Current liabilities	509	-	-	-	-	509
LIABILITIES DIRECTLY ASSOCIATED WITH ASSETS CLASSIFIED AS HELD FOR SALE	560	-	-	-	-	560

As of December 31, 2023, these assets and liabilities mainly concerned the current divestiture of SADE group entities, a wholly owned subsidiary specialized in water network and infrastructure construction and rehabilitation. A unilateral purchase commitment was signed on November 27, 2023 with the NGE group, an independent public works group.

3.4 Off-balance sheet commitments relating to the consolidation scope

3.4.1 Commitments given

Off-balance sheet commitments given break down as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024	Maturing in		
			Less than 1 year	1 to 5 years	More than 5 years
Vendor warranties	285	122	1	68	53
Securities purchase commitments	310	366	366	-	-
Sale commitments	-	-	-	-	-
Other commitments relating to the consolidated scope	1	1	1	-	-
TOTAL COMMITMENTS GIVEN RELATING TO THE CONSOLIDATED SCOPE	596	489	367	68	53

Securities purchase commitments as of December 31, 2024, concern the acquisition process for Uniper in Hungary, for which the financial transaction was closed on January 6, 2025 (€366 million).

The commitment as of December 31, 2023, concerning the acquisition of the Hofmann Group in Germany was lifted in March 2024 when the financial transaction was closed.

3.4.2 Commitments received

Commitments received relating to the consolidated scope total €161 million as of December 31, 2024, compared with €202 million as of December 31, 2023.

As of December 31, 2024, they mainly concern guarantees received in relation to corporate acquisitions.

Note 4 REPORTING BY OPERATING SEGMENT

The operating segments are components of the Group that engage in activities and whose operating results are reviewed by the Chief Executive Officer (Chief Operating Decision Maker) to make decisions about resources to be allocated to the segment and assess its performance. Information presented to the Chief Operating Decision Maker is taken from the Group internal reporting system.

Financial information by operating segment is prepared in accordance with the same rules used to prepare the Consolidated Financial Statements.

In accordance with the provisions of IFRS 8 on the identification of operating segments and after taking account of regrouping criteria, the operating segments presented are the following:

- France and Special Waste Europe;
- Europe excluding France;
- Rest of the world;
- Water technologies, which groups together global water treatment activities: Veolia Water Technologies and Water Technologies & Solutions (WTS);
- Other, including holding companies.

The EBITDA indicator comprises the sum of all operating income and expenses received and paid (excluding restructuring costs, non-current impairment losses, renewal expenses and share acquisition and disposal costs) and principal payments on operating financial assets.

The main financial indicators by operating segment are as follows:

2024

(€ million)	France & special waste Europe	Europe excluding France	Rest of the world	Water technologies	Other	Total consolidated financial statements
Revenue	9,145	18,619	11,945	4,973	9	44,692
EBITDA	1,392	2,642	2,025	612	117	6,788
Operating income after share of net income (loss) of equity-accounted entities	388	1,304	945	343	32	3,012
Industrial investments net of subsidies	-571	-1,054	-1,113	-166	-61	-2,965

2023

(€ million)	France & special waste Europe	Europe excluding France	Rest of the world	Water technologies	Other	Total consolidated financial statements
Revenue	9,726	19,000	11,907	4,707	12	45,351
EBITDA	1,338	2,599	1,925	534	148	6,543
Operating income after share of net income (loss) of equity-accounted entities	359	1,389	811	306	-18	2,847
Industrial investments net of subsidies	-553	-1,201	-1,171	-162	-53	-3,140

Assets and liabilities break down by operating segment as follows:

As of December 31, 2024

Assets by operating segment (€ million)	France & special waste Europe	Europe excluding France	Rest of the world	Water technologies	Other	Total consolidated financial statements
Goodwill, net	1,973	3,790	4,075	1,943	3	11,783
Intangible assets and Property, Plant and equipment, net	3,409	10,581	11,567	2,168	112	27,837
Operating financial assets	198	744	410	1	-	1,353
Working capital assets, including DTA	4,399	5,737	4,470	2,692	196	17,493
Investments in joint ventures	18	21	1,005	-	-	1,044
Investments in associates	32	388	170	37	4	632
TOTAL SEGMENT ASSETS	10,028	21,262	21,697	6,841	314	60,142
Other unallocated assets	-	-	-	-	12,817	12,817
TOTAL ASSETS						72,959

As of December 31, 2023

Assets by operating segment (€ million)	France & special waste Europe	Europe excluding France	Rest of the world	Water technologies	Other	Total consolidated financial statements
Goodwill, net	2,178	3,580	3,959	1,836	3	11,556
Intangible assets and Property, Plant and equipment, net	3,374	10,225	11,636	2,119	133	27,487
Operating financial assets	157	794	441	1	-	1,393
Working capital assets, including DTA	4,552	5,647	5,095	2,663	-2	17,955
Investments in joint ventures	20	25	1,065	-	-	1,110
Investments in associates	30	385	150	36	2	603
TOTAL SEGMENT ASSETS	10,311	20,656	22,346	6,655	136	60,104
Other unallocated assets	-	-	-	-	12,462	12,462
TOTAL ASSETS						72,566

As of December 31, 2024

<i>Liabilities by operating segment (€ million)</i>	France & special waste Europe	Europe excluding France	Rest of the world	Water technologies	Other	Total consolidated financial statements
Concession liabilities	151	1,486	125	-	-	1,762
Provisions for contingencies and losses	967	707	1,058	493	589	3,815
IFRS 16 lease debt	515	663	531	168	109	1,985
Working capital liabilities, including DTL	5,618	7,128	5,731	3,155	514	22,146
TOTAL SEGMENT LIABILITIES	7,251	9,984	7,445	3,816	1,212	29,708
Other unallocated liabilities	-	-	-	-	43,251	43,251
TOTAL LIABILITIES						72,959

As of December 31, 2023

<i>Liabilities by operating segment (€ million)</i>	France & special waste Europe	Europe excluding France	Rest of the world	Water technologies	Other	Total consolidated financial statements
Concession liabilities	174	1,689	148	-	1	2,012
Provisions for contingencies and losses	921	690	1,084	401	716	3,812
IFRS 16 lease debt	551	626	564	157	102	2,000
Working capital liabilities, including DTL	5,714	6,899	6,202	3,098	470	22,383
TOTAL SEGMENT LIABILITIES	7,360	9,904	7,998	3,656	1,289	30,207
Other unallocated liabilities	-	-	-	-	42,359	42,359
TOTAL LIABILITIES						72,566

In application of IFRS 8.33, revenue by geography is as follows:

<i>(€ millions)</i>	2023	% of 2023 revenue	2024	% of 2024 revenue
Revenue	45,351	100.0%	44,692	100.0%
France	9,232	20.4%	8,801	19.7%
United States	4,749	10.5%	4,851	10.9%
Poland	3,145	6.9%	3,036	6.8%
United Kingdom	2,823	6.2%	3,025	6.8%
Germany	2,911	6.4%	3,025	6.8%
Spain	2,626	5.8%	2,837	6.3%
Australia	1,974	4.4%	2,115	4.7%
Czech Republic	2,286	5.0%	2,098	4.7%
Morocco	1,397	3.1%	1,266	2.8%
Italy	1,169	2.6%	1,142	2.6%
Belgium	1,145	2.5%	1,084	2.4%
China	1,107	2.4%	981	2.2%
Hungary	1,379	3.0%	816	1.8%
Chile	862	1.9%	800	1.8%
Hong Kong	557	1.2%	608	1.4%
Japan	562	1.2%	571	1.3%
Slovakia	702	1.5%	515	1.2%
Other amounts < €500 million in 2024	6,726	14.8%	7,120	15.9%

The EBITDA indicator reconciles with operating cash flow for fiscal years 2024 and 2023, as follows:

<i>(€ million)</i>	December 31, 2023	December 31, 2024
Operating cash flow before changes in working capital	(A) 5,582	5,818
o/w Operating cash flow from financing activities	(B) -134	-116
o/w Adjusted operating cash flow	(C)= (A)-(B) 5,715	5,933
Less :	(D)	
Renewal expenses	303	295
Restructuring costs	84	146
Share acquisition and disposal costs	30	66
Other items	178	121
Plus :	(E)	
Principal payments on operating financial assets	233	227
EBITDA	(C)+(D)+(E) 6,543	6,788

Note 5 OPERATING ACTIVITIES

The main environmental services carried out by Veolia in its business lines are:

- water: drinking water treatment and distribution, wastewater treatment and the sale of water treatment equipment, technologies and facilities;
- waste: waste collection, product recovery and waste-to-energy processing (including the sale of recycled products), dismantling and hazardous waste processing;
- energy: heating and cooling networks, thermal and multi-technical services, industrial utilities, installation and maintenance of production equipment, and integrated services for the comprehensive management of buildings.

Environmental services also include the design, construction and, where applicable, funding of necessary facilities to supply such services which are provided to industrial and service sector companies, public authorities and private individuals.

The range of business models used by the Group results in a variety of contractual forms specific to each business and adapted to local jurisdiction constraints and the nature and needs of customers (public or private).

The Group primarily conducts its activities under concession, construction (non-concession), lease and operation and maintenance contracts.

Concession arrangements (IFRIC 12)

In the conduct of its activities, Veolia provides collective general interest services (distribution of drinking water and heating, household waste collection and/or processing, etc.). These services are generally managed by Veolia under contracts entered into at the request of public sector bodies, which retain control over these collective services.

Concession arrangements involve the transfer of operating rights for a limited period, under the control of the local authority, using dedicated facilities built by Veolia, or made available to it for or without consideration:

- these contracts define “public service obligations” in return for remuneration. The remuneration is based on operating conditions, continuity of service, price rules and obligations with respect to the maintenance/replacement of installations. The contract determines the conditions for the transfer of installations to the local authority or a successor at its term;
- Veolia can, in certain cases, be responsible for a given service as it holds the service support network (water/heat distribution network, wastewater treatment network). Such situations are the result of full or partial privatizations. Provisions impose public service obligations and the means by which the local authority may recover control of the concession holder.

These contracts generally include price review clauses. These clauses are mainly based on cost trends, inflation, changes in tax and/or other legislation and occasionally on changes in volumes and/or the occurrence of specific events changing the profitability of the contract.

In addition, the Group generally assumes a contractual obligation to maintain and repair facilities managed under public service contracts.

The nature and extent of the Group's rights and obligations under these different contracts differ according to the public services rendered by the different Group businesses: Water, Waste, Energy.

Water

In France, these services are primarily rendered under public service delegation “affermage” contracts with a term of 8 to 20 years. They can use specific assets, such as distribution or wastewater treatment networks and drinking water or wastewater treatment plants, which are generally provided by the concession grantor and returned to it at the end of the contract.

Abroad, Veolia renders its services under contracts which reflect local legislation, the economic situation of the country and the investment needs of each partner. These contracts generally have a term of between 7 and 40 years. Contracts can also be entered into with public entities in which Veolia purchased an interest on their partial privatization. The profitability of these contracts is not fundamentally different from other contracts, but operations are based on a partnership agreement with the local authority.

Waste

Both in France and abroad, the main concession arrangements entered into by Veolia concern the processing and recovery of waste in sorting units, landfills and incineration plants. These contracts have an average term of 10 to 30 years.

Energy

The main contracts concern the management of heating and air-conditioning networks under urban concessions or on behalf of local authorities.

In Eastern Europe, Veolia provides services under mixed partial privatizations or through public-private partnerships with public authorities responsible for the production and distribution of thermal energy.

The characteristics of these contracts vary significantly depending on the country and activities concerned.

Financial asset model

The Group applies the financial asset model for the accounting recognition of these concession arrangements, independently of service or infrastructure use by customers, when the concession grantor contractually guarantees the payment of amounts specified or determined in the contract or the shortfall, if any, between amounts received from users of the public service and amounts specified or determined in the contract.

Financial assets resulting from the application of IFRIC 12 are recorded in the Consolidated Statement of Financial Position under the heading “Operating financial assets” and recognized at amortized cost.

Unless otherwise indicated in the contract, the effective interest rate (EIR) is equal to the weighted average cost of capital of the entities carrying the assets concerned.

Cash flows relating to these operating financial assets are included in Net cash from (used in) investing activities in the Consolidated Cash Flow Statement.

Pursuant to IFRS 9, an impairment loss is recognized if the carrying amount of these assets exceeds the present value of future cash flows discounted at the initial EIR.

Revenue associated with this financial model includes:

- revenue recorded on a completion basis, in the case of construction operating financial assets (in accordance with IFRS 15);
- the remuneration of the operating financial asset recorded in revenue from operating financial assets (excluding principal payments);
- service remuneration.

Intangible asset model

The intangible asset model applies when the Group is paid by users or when the concession grantor has not provided a contractual guarantee in respect of the recoverable amount, regardless of service or infrastructure use by customers. The intangible asset corresponds to the right granted by the concession grantor to the operator to charge users of the public service in remuneration of concession services provided by the operator under the concession arrangement.

Intangible assets resulting from the application of IFRIC 12 are recorded in the Consolidated Statement of Financial Position under the heading "Concession intangible assets", as described in Note 7.2.1, and generally amortized on a straight-line basis over the term of the agreement.

Cash outflows, that is disbursements, relating to the construction of infrastructures under concession arrangements accounted using the "intangible asset model" are presented in Net cash from (used in) investing activities in the Consolidated Cash Flow Statement, while cash inflows are presented in Net cash from operating activities.

Under the intangible asset model, revenue includes:

- revenue recorded on a completion basis for assets and infrastructure under construction (in accordance with IFRS 15);
- service remuneration.

Mixed or bifurcation model

The choice of the financial asset or intangible asset model depends on the existence, or not, of payment guarantees granted by the concession grantor, independently of service or infrastructure use by customers.

However, certain contracts may include a payment commitment on the part of the concession grantor covering only part of the investment, with the remaining balance covered by the remuneration from services charged to users.

Where this is the case, the investment amount guaranteed by the concession grantor is recognized under the financial asset model and the residual balance is recognized under the intangible asset model.

Recognition of concession arrangements where existing infrastructures are made available to the Group by the concession authority in return for payment of fees

On the signature of certain concession arrangements, the infrastructures necessary to the operation of the concession already exist and are owned by the delegating authority. In such cases, the infrastructures are generally made available to the concession holder for the term of the concession arrangement in return for payments to the delegating authority for the right to use these infrastructures under the concession.

In July 2016, the IFRS Interpretations Committee clarified the appropriate accounting treatment when the concession holder is required to make fixed payments to the delegating authority for the provision of pre-existing infrastructure.

These fixed payments give rise to:

- the recognition of a liability equal to the present value of payments over the term of the concession arrangement;
- offset by the recognition of an intangible asset, where the concession arrangement is recognized using the intangible asset model, representing the right to charge users of the public service.

Payments satisfying this definition within the Group mainly concern concession arrangements recognized using the intangible asset model in Central Europe.

Public sector activities performed using Veolia-owned infrastructure

Veolia provides drinking water and/or wastewater systems and heating network (production and/or distribution) public services in certain jurisdictions where it owns production and/or distribution assets.

The tariffs charged to users by the Group are governed by the competent authorities in accordance with methods specific to each geography.

This is particularly the case:

- in the United States and Chile, in the water and wastewater management sector where activities are highly capital intensive, a factor incorporated into the remuneration mechanism granted to the operator;
- in countries in Central and Eastern Europe, where Veolia is responsible for the production and/or distribution of thermal energy (heating networks) following full or partial privatizations, but remains subject to local authority control when determining heating tariffs.

Revenue from these activities is recognized progressively, as the services are performed.

Construction contracts

A construction contract is a contract specifically negotiated for the construction of an asset or a combination of assets (complex sections of installations, equipment) that are closely interrelated or interdependent in terms of their design, technology and function or their ultimate purpose.

This type of contract is often used for design and build contracts for infrastructure necessary for water treatment/distribution and wastewater treatment activities. These contracts are entered into with local authorities or private partners for the construction of infrastructures. They are generally fixed-price contracts.

The Group's construction revenues are mainly recognized on a completion basis.

The percentage of completion is determined by comparing costs incurred at the period end with total estimated costs under the contract. Costs incurred comprise costs directly attributable to the contract and borrowing costs incurred up to completion of the work. However, prospecting costs, costs incurred prior to contract signature, and administrative and selling costs are expensed in the period incurred and do not therefore contribute to contract completion.

Where total contract costs exceed total contract revenue, the Group recognizes a loss to completion as an expense of the period, irrespective of the stage of completion and based on a best estimate of forecast results including, where appropriate, rights to additional income or compensation, where they are highly probable and can be determined reliably. Provisions for losses to completion are recorded as liabilities in the Consolidated Statement of Financial Position.

The amount of revenue recognized on a completion basis less intermediary billings is determined on an individual contract basis. Where positive, this amount is recognized in assets in "Amounts due from customers for construction contract work" (in "Other operating receivables" as a contract asset). Where negative, it is recognized in liabilities in "Amounts due to customers for construction contract work" (in "Other operating payables" as a contract liability). Any loss to completion is recognized immediately through a provision.

Partial payments received under construction contracts before the corresponding work has been performed, are recognized as liabilities in the Consolidated Statement of Financial Position under "Other operating payables".

Service contracts including a lease

These contracts generally concern outsourcing services performed for industrial/private customers either under BOT (Build, Operate and Transfer) contracts, or incineration or cogeneration contracts under which, notably, demand or volume risk is, in substance, transferred to the prime contractor.

Services include the design, construction and financing of the construction of a specific asset/installation on behalf of the customer and the operation of the asset concerned.

These contracts are recognized in accordance with the principles set out in IFRS 16 (see Note 5.4).

Accordingly, construction revenue is recognized in accordance with the percentage of completion method and, more generally, the principles set out in IFRS 15.

The service invoiced to the customer includes a component representing the operation of the specific asset/installation concerned and a second component representing the financing of the construction.

■ revenue relating to the operation of the asset is recognized on delivery of the goods or performance of the service, in accordance with IFRS 15;

■ the financing of construction work involves finance costs that are invoiced to the customer and recognized in revenue. This interest is recognized in revenue from the start of construction work and represents remuneration received by the builder/lender.

Operation and maintenance contracts

The services rendered by Veolia do not systematically require the construction or acquisition of new infrastructure and can be provided through a variety of contractual forms tailored to the objectives and choices of customers. These services may particularly take the form of contracts for the operation and/or maintenance of installations already owned by the customer or service contracts aimed at improving the performance of these installations.

Accordingly, Veolia operates waste-to-energy plants, water production and/or distribution installations and heating networks under this type of contract recognized in accordance with IFRS 15.

5.1 Revenue

Group revenue is recognized for the amount the Group expects to receive in consideration for the transfer of control of goods and services.

The following table presents the revenue recognition method, rate and unit for the main environmental services provided by the Group:

Environmental service	Contract					Revenue		
	Concession	Public sector activities performed using Veolia-owned infrastructure	Construction	Services including an asset lease	Operation & maintenance	Revenue recognition method	Revenue recognition rate	Revenue measurement unit
Waste processing, water distribution, network operation, thermal services	•	•		•	•	Progressively	When the customer receives the benefit of the service	m ³ of water, metric ton of waste processed, Gwh, etc.
Sale of equipment, sale of recycled products	•	•		•	•	At a point in time	On physical delivery of the goods	Quantity sold
Design and build of infrastructures	•		•	•		Progressively	As the customer obtains control of the asset being built	Completion basis

Infrastructure maintenance and renewal services

Installation maintenance and renewal services rarely represent a separate performance obligation. Nonetheless, a separate performance obligation may be identified in respect of maintenance services in concession arrangements recognized using the financial asset model or operating contract, depending on the obligations contained in the contracts and the related remuneration terms.

Services on behalf of third parties

Few of the Group's activities are concerned by this provision and primarily combined energy purchase and distribution services.

For this type of contract, the Group identifies whether it is acting on its own behalf (principal: recognition of gross revenue) or on behalf of a third party (agent: recognition of the margin), by analysing in particular whether the Group has primary responsibility for performance of the service and whether it can freely set the price paid by the end customer.

Variable compensation

Variable consideration provided in contracts with customers can take several forms: rebates, discounts, penalties, incentives, performance bonuses. They are assessed on contract inception to determine the revenue amount to be recognized, applying either the expected value method or the most probable amount method.

Revenue by business

As for other Income Statement headings, revenue does not include amounts relating to discontinued operations in accordance with IFRS 5, Non-Current Assets Held for Sale and Discontinued Operations. The results of these activities are presented in a separate line, "Net income (loss) from discontinued operations", for fiscal year 2024 and fiscal year 2023 presented for comparison purposes (see Note 3.3).

Revenue breaks down by business as follows:

(€ million)	2023	2024
Water	18,409	18,033
Waste	14,683	15,662
Energy	12,260	10,997
Others	-	-
GROUP	45,351	44,692

A breakdown of revenue by operating segment and region is presented in Note 4.

Backlog

The backlog, as required by IFRS 15, is equal to firm revenue as contracted with customers, where the services have not yet been performed, or are only partially performed, at the reporting date.

After taking account of the exceptions provided in the standard (contracts with a term of less than one year, concession arrangements and service agreements), the backlog therefore primarily consists of revenue from Engineering & Procurement projects, with an average contractual period of two to three years and Water Technologies construction contracts, equipment sales and engineering work.

As of December 31, 2024, expected revenue is as follows:

(€ million)	Total	2025	2026 and beyond
Backlog	3,080	1,406	1,674

5.2 Operating income

Operating income breaks down as follows:

(€ million)	Year ended December 31, 2023	Year ended December 31, 2024
Revenue	45,351	44,692
Cost of sales	-37,852	-36,924
o/w :		
• Renewal expenses	-303	-295
Selling costs	-998	-1,000
General and administrative expenses	-3,336	-3,459
Other operating revenue and expenses	-441	-429
o/w :		
• Restructuring costs *	-76	-137
• (Impairment)/Reversal of impairment of goodwill	-2	-3
• Employee costs - share-based payments, excluding social security contributions	-56	-57
• Other non-current charges, impairment losses and net provisions **	-297	-201
• Share acquisition costs	-10	-32
Operating income before share of net income (loss) of equity-accounted entities	2,724	2,881
Share of net income (loss) of equity-accounted entities	123	132
Operating income after share of net income (loss) of equity-accounted entities	2,847	3,012

* A breakdown of restructuring costs is presented in Note 5.2.2 below.

** See Note 5.2.1 below.

As of December 31, 2024, other expenses mainly concern:

- integration costs of -€33 million incurred in connection with the 2022 Suez combination;
- costs relating to a dispute in the United States of -€74 million, following settlement agreements reached between the parties (see Note 12);

5.2.1 Breakdown of provisions and impairment losses on non-current assets

The carrying amount of non-financial assets, other than inventory and deferred tax assets is reviewed at each period end in order to assess the existence of any indication of loss in value (non-performance of a significant long-term contract under the terms laid down in the contract, technical operating issues, and counterparty default for operating financial assets, etc.). Where such indication exists, the recoverable amount of the asset or group of assets is estimated.

The need to recognize impairment is assessed by comparing the net carrying amount of these assets with their recoverable amount. Unless there are future prospects for the sale of these assets, the recoverable amount corresponds to their value in use, generally equal to the present value of the future cash flows expected to be derived from the asset or group of assets, taking account of any residual value. The value in use of these assets is determined based on assumptions consistent with those adopted for impairment testing of goodwill and other intangible assets with an indefinite useful life (see Note 7.1.2).

Goodwill and other assets with an indefinite useful life are subject to systematic annual impairment tests following the update of the long-term plan and more frequent tests where there is an indication of loss in value.

Where the resulting recoverable amount is less than the net carrying amount of the asset or group of assets, an impairment is recorded.

Impairment losses on non-current assets can be reversed, with the exception of those relating to goodwill.

Other expenses, impairment losses and charges to non-current provisions in **2024** break down as follows:

- impairment losses on intangible assets, property, plant and equipment and operating financial assets for a total amount of -€78 million, recognized particularly in the Rest of the world segment for -€41 million and the Europe excluding France segment for -€34 million;
- other expenses and charges to non-current provisions of -€123 million, recognized particularly in the Rest of the World segment for -€80 million and the Other segment for -€27 million.

Other expenses, impairment losses and charges to non-current provisions in **2023** primarily comprise:

- impairment losses on intangible assets, property, plant and equipment and operating financial assets of -€135 million, recognized particularly in the Europe excluding France segment for -€63 million and the Rest of the world segment for -€62 million;
- other expenses and charges to non-current provisions of -€162 million, recognized particularly in the Rest of the world segment for -€57 million and the Other segment for -€77 million.

More generally, operating depreciation, amortization, provisions and impairment losses included in operating income in 2024 break down as follows:

(€ million)	2023	2024		
	Net	Charge	Reversal	Net
OPERATING DEPRECIATION, AMORTIZATION AND PROVISIONS, NET				
Depreciation and amortization	-3,049	-3,121	-	-3,121
Property, Plant and equipment ⁽¹⁾	-1,428	-1,463	-	-1,463
Intangible assets	-1,069	-1,094	-	-1,094
Rights of use	-552	-564	-	-564
Impairment losses	-135	-129	51	-78
Property, Plant and equipment	-86	-80	36	-45
Intangible assets and Operating financial assets	-48	-40	15	-25
Rights of use	-1	-9	1	-8
Impairment losses and impact of disposals on goodwill and negative goodwill recognized in the Consolidated Income Statement	-2	-3	-	-3
Non-current and current operating provisions	142	-646	776	130
Non-current operating provisions	-145	-413	203	-210
Current operating provisions	288	-232	573	340
OPERATING DEPRECIATION, AMORTIZATION, PROVISIONS AND IMPAIRMENT LOSSES	-3,044	-3,898	827	-3,071

(1) Including investment grants.

5.2.2 Restructuring costs

A restructuring is a program planned and controlled by Group management that significantly changes the scope of activity of the Group or the way in which this activity is managed. Accordingly, the following events can meet the definition of a restructuring: the sale or discontinuation of an activity branch, the closure of activity sites in a

country or a region or the relocation of activities from one country to another or from one region to another; changes to the management structure such as the suppression of a management level; and fundamental reorganizations with a significant impact on the nature and focus of an activity.

(€ million)	2023	2024
Restructuring costs	-84	-146
Net charges to restructuring provisions	8	9
NET RESTRUCTURING COSTS	-76	-137

Restructuring costs recognized in operating income in **2024**, mainly concern France and Special Waste Europe for -€54 million, Europe excluding France for -€33 million and the Rest of the world for -€32 million.

Restructuring costs recognized in operating income in **2023**, mainly concern France and Special Waste Europe for -€37 million and Europe excluding France for -€16 million.

5.2.3 Research and development costs

Research and development costs total €136 million in 2024, compared with €125 million in 2023.

5.2.4 Joint-ventures and associates

All equity-accounted companies, whether joint ventures or associates, represent an extension of the Group's businesses and are therefore allocated to one of the four operating segments.

(€ million)	2023	2024
Share of net income (loss) of joint ventures	60	71
Share of net income (loss) of associates	63	61
Share of net income (loss) of equity-accounted entities	123	132

5.2.4.1 Joint ventures

Movements in investments in joint ventures in 2024 break down as follows:

(€ million)	December 31, 2023	Net income	Dividend distribution	Changes in consolidation scope	Foreign exchange translation	Other movements	December 31, 2024
Investments in joint ventures	1,111	71	-55	-119	37	-	1,044

Changes in consolidation scope mainly correspond to the divestiture of the Chinese Haikou concession for -€117 million.

(€ million)	Share of equity		Share of net income (loss)	
	2023	2024	2023	2024
Chinese concessions	930	857	44	41
Other joint ventures	181	187	16	30
TOTAL	1,111	1,044	60	71
Impact in the Consolidated Income Statement on Net income from continuing operations (a)+(b)			60	71
Share of net income (loss) of joint ventures (a)			60	71
Reversals/(Impairment losses) recognized in other operating revenue and expenses (b)			-	-

Chinese Concessions

As of December 31, 2024, the Chinese concessions comprise a combination of approximately twelve separate legal entities in which the Group holds interests of between 21% and 50%; the most significant concessions in terms of revenue are Tianjin Jibin (49% interest) and Shanghai Pudong (50% interest).

Summarized financial information (at 100%) in respect of the Chinese concessions is set out below. This information reflects amounts presented in the joint ventures' financial statements prepared in accordance with IFRS, adjusted to reflect fair value adjustments performed on acquisition and adjustments recorded to comply with Group accounting principles when applying the equity method.

Summarized financial information (at 100%) - Chinese Concession joint ventures	Year ended December 31, 2023	Year ended December 31, 2024
Income statement		
Revenue	867	784
Operating income	105	98
Net income (loss) from continuing operations	96	87

Reconciliation of the above summarized financial information on the Chinese concessions to the carrying amount of the interest in these joint ventures recognized in the consolidated financial statements:

(€ million)	As of December 31, 2023	As of December 31, 2024
Net assets of the Chinese concession joint ventures	1,633	1,543
Group's ownership interest in the Chinese concession joint ventures - weighted average rate	46.49%	46.28%
Goodwill	166	147
Other adjustments	4	-4
Carrying amount of the Group's interest in the Chinese concession joint ventures	930	857

As the Chinese concessions represent approximately twelve individual concessions, the percentage interest indicated in the above reconciliation is a weighted-average rate of the contribution of each concession within the combination.

The average rate used for the reconciliation of the different elements takes into account the Group's holdings in these different concessions, weighted by the relative importance of each of the entities to the whole. This rate is therefore adjusted each year and is sensitive to variations in the weight of the contributions to the results of each of the joint ventures within the presented set.

(€ million)	2023	2024
Net income (loss) for the year of the Chinese concession joint ventures	96	87
Group's ownership interest in the Chinese concession joint ventures - weighted average rate	46.49%	46.28%
Other	-	-
Group share of net income (loss) of the Chinese concession joint ventures	44	41

The recoverable amount of each Chinese concession joint venture is tested for impairment in accordance with the provisions set out in the standard. The long-term plans of the Chinese Water concessions were extended to 2030, in order to identify standard flows for the calculation of the terminal value, as Water activities in China follow a specific business model, with extremely long contract terms (between thirty and fifty years) and high investment flows during the initial contract years.

Given the models used and the time frame adopted, the recoverable amounts are closely monitored. They are based on a certain number of structuring operating assumptions such as price increases, volume trends, construction activity levels and margins and efficiency and productivity measures integrated in future cash flows, as well as on the macro-economic assumptions (discount and inflation rates) underlying the business plans.

Other joint ventures

The Group also holds interests in other joint ventures that are not individually material, with a total net carrying amount of €187 million as of December 31, 2024, including primarily €80 million in the Middle East.

Unrecognized share of losses of joint ventures

As all the Group joint ventures are partnerships in which the Group exercises joint control, the share of any losses is recognized in full at the year end.

Transactions with joint ventures (related parties)

The Group grants loans to joint ventures. These loans are recorded in assets in the Group Consolidated Statement of Financial Position (see Note 8.1.2. "Other non-current and current financial assets").

As of December 31, 2024, non-current and current loans granted to all these entities totaled €38 million, including €21 million recorded in non-current loans (see Note 8.1.2.2) and €17 million recorded in current loans. As of December 31, 2023, these non-current and current loans totaled €36 million, including €22 million recorded in non-current loans and €14 million recorded in current loans.

In addition, given the Group's activities, operating flows between companies are generally limited to companies operating in the same country. As such, the level of operating transactions between the Group and equity-accounted companies is not material.

However, certain contractual agreements in the Group's businesses, impose the existence of a holding company (generally equity-accounted) and companies carrying the operating agreement (generally fully consolidated).

5.2.4.2 Investments in associates

Movements in investments in associates in 2024 break down as follows:

(€ million)	December 31, 2023	Net income	Dividend distribution	Changes in consolidation scope	Foreign exchange translation	Other movements	As of December 31, 2024
Investments in associates	603	61	-65	40	-	-7	632

Changes in consolidation scope mainly concern the acquisition of the Hofmann Group in Germany for €18 million.

Investments in associates break down as follows:

(€ million)	Share of equity		Share of net income (loss)	
	As of December 31, 2023	As of December 31, 2024	2023	2024
Agbar's Subsidiaries ⁽¹⁾	230	216	10	12
Wasserversorg, in Mitteldeutschland GmbH	46	46	7	1
Ajman Sewerage Co. Ltd	35	38	10	11
Other non-material associates ⁽²⁾	292	332	40	37
TOTAL	603	632	67	61

Impacts on the Consolidated Income Statement

Share of net income (loss) of equity-accounted entities in continuing operations	63	61
Impairment losses and goodwill recognized in other operating revenue and expenses ⁽³⁾	4	-
Share of net income (loss) of other equity-accounted entities	-	-

(1) Including two associates with individual values of €37 million and €31 million.

(2) Associates with a unit value below €30 million as of December 31, 2024.

(3) Impairment and negative goodwill recognized in net income in respect of other associates.

5.3 Operating working capital

5.3.1 Operating working capital

Net working capital includes "operating" working capital (inventories, trade receivables, trade payables and other operating receivables and payables, tax receivables and payables other than current tax), "tax" working capital (current tax receivables and payables) and "investment" working capital (receivables and payables related to industrial investments/disposals).

In accordance with IAS 2 "Inventories", inventories are stated at the lower of cost and net realizable value. Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Commercial receivables and payables are recognized at nominal value, unless discounting at the market rate has a material impact. The Group applies the simplified approach to the impairment of commercial receivables, in accordance with the option available in IFRS 9. The Group uses a provision matrix that takes account of the business, geographic region and customer category in question.

When preparing this matrix, the Group considered late payment and default rates observed in the past, as well as the macroeconomic environment. The matrix is also updated to reflect changes in economic factors.

Trade payables are recognized as liabilities at amortized cost in accordance with IFRS 9 for accounting purposes. Short-term commercial payables without a declared interest rate are recognized at nominal value, unless discounting at the market rate has a material impact.

The Group derecognizes a financial asset when the contractual rights to the cash flows from the asset expire or when it transfers the contractual rights to the cash flows from the financial asset in a transaction under which substantially all the risks and rewards inherent to ownership of the financial asset are transferred. Any interest created or retained by the Group in a financial asset is recognized separately as an asset or liability.

Movements in net working capital during **2024** are as follows:

(€ million)	As of December 31, 2023	Changes in business	Impairment losses	Changes in scope of consolidation	Foreign exchange translation	Transfers to Assets/ Liabilities classified as held for sale	Other movements	As of December 31, 2024
Inventories and work-in-progress, net	1,550	-53	-15	-8	5	11	7	1,497
Operating receivables, net	14,363	-146	-2	-223	40	5	1	14,038
Operating payables	-19,808	112	-	331	-110	-47	-17	-19,540
NET WORKING CAPITAL	-3,895	-87	-17	100	-65	-31	-9	-4,004

Movements in each of these working capital categories in **2024** are as follows:

(€ million)	As of December 31, 2023	Changes in business	Impairment losses	Changes in consolidation scope	Foreign exchange translation	Transfers to Assets/ Liabilities classified as held for sale	Other movements	As of December 31, 2024
Inventories and work-in-progress, net	1,550	-53	-15	-8	5	11	7	1,497
Operating receivables (including tax receivables other than current tax) ⁽¹⁾	13,857	-320	-4	-220	42	6	2	13,362
Operating liabilities (including operating liabilities other than current tax) ⁽¹⁾	-18,189	318	-	324	-76	-46	-32	-17,701
OPERATING WORKING CAPITAL ⁽²⁾	-2,781	-55	-20	96	-29	-29	-23	-2,841
Tax receivables (current tax)	410	150	-	-3	1	-	-	558
Tax payables (current tax)	-601	-126	-	5	-3	-	-	-724
TAX WORKING CAPITAL	-191	24	-	2	-2	-	-	-167
Receivables on non-current assets disposals	96	24	2	-	-3	-	-1	119
Industrial investment payables	-1,019	-80	-	2	-31	-2	15	-1,115
INVESTMENT WORKING CAPITAL	-923	-56	2	2	-34	-2	14	-996
NET WORKING CAPITAL	-3,895	-87	-17	100	-65	-31	-9	-4,004

(1) Including contract assets and liabilities presented in Note 5.6.

(2) The change in working capital presented in the Consolidated Cash Flow Statement is equal to the sum of operating working capital changes in business activity and net impairment losses on operating working capital presented above.

Movements in inventories during 2024 are as follows:

Inventories (€ million)	As of December 31, 2023	Changes in business	Impairment losses	Reversal of impairment losses	Changes in consolidation scope	Foreign exchange translation	Transfers to Assets classified as held for sale	Other movements	As of December 31, 2024
Raw materials and supplies	1,312	-53	-	-	-19	7	11	11	1,269
Work-in-progress	153	-2	-	-	7	-	-	-	159
Other inventories ⁽¹⁾	189	2	-	-	-2	-13	-	-3	173
INVENTORIES AND WORK-IN-PROGRESS, GROSS	1,655	-53	-	-	-14	-6	11	8	1,601
IMPAIRMENT LOSSES ON INVENTORIES AND WORK-IN-PROGRESS	-105	-	-31	16	6	11	-	-	-104
INVENTORIES AND WORK-IN-PROGRESS, NET	1,550	-53	-31	16	-8	5	11	7	1,497

(1) Including CO₂ inventories.

Inventories mainly concern the Europe excluding France operating segment in the amount of €626 million, the Water technologies operating segment in the amount of €404 million and the Rest of the world operating segment in the amount of €275 million.

Movements in operating receivables during 2024 are as follows:

Operating receivables (€ million)	As of December 31, 2023	Changes in business	Impairment losses *	Reversal of impairment losses	Changes in consolidation scope	Foreign exchange translation	Transfers to Assets classified as held for sale	Other movements	As of December 31, 2024
Trade receivables	11,246	-266	-	-	-286	9	10	5	10,718
Impairment losses on trade receivables	-1,245	-	-272	285	109	5	-	-2	-1,121
TRADE RECEIVABLE, NET	10,001	-266	-272	285	-177	14	10	2	9,598
Contracts assets	1,152	-37	-	-	4	17	-	-3	1,134
Impairment losses on contracts assets	-3	-	-6	2	-	-	-	-	-8
NET CONTRACTS ASSETS ⁽¹⁾	1,150	-37	-6	2	4	17	-	-3	1,126
Other current operating receivables	1,055	-61	-	-	-68	4	1	-1	930
Impairment losses on other current operating receivables	-90	-	-19	8	55	-	-	-1	-46
OTHER OPERATING RECEIVABLES, NET	965	-61	-19	8	-13	4	1	-2	884
Other receivables	625	-2	-	-	-9	15	2	1	632
Tax receivables	1,623	219	-	-	-29	-9	-8	3	1,799
OPERATING RECEIVABLES, NET	14,363	-146	-297	295	-223	40	5	1	14,038

* Impairment losses are recorded in operating income and included in the line "Changes in working capital" in the Consolidated Cash Flow Statement.

(1) Contract assets and liabilities are described in Note 5.6.

Changes in consolidation scope mainly reflect the disposals of Lydec in Morocco for -€229 million and Veolia North America Regeneration Services in the United States for -€52 million, offset by the acquisition of the Hofmann Group in Germany for €25 million.

Movements in operating payables during 2024 are as follows:

Operating payables (€ million)	As of December 31, 2023	Changes in business	Changes in consolidation scope	Foreign exchange translation	Transfers to Liabilities classified as held for sale	Other movements	As of December 31, 2024
Trade payables	7,960	-135	-182	-3	14	20	7,673
Other current operating liabilities	7,091	138	-64	64	-1	-7	7,221
Contracts liabilities ⁽¹⁾	1,881	-222	-13	20	-	-2	1,665
Other liabilities	792	-48	-	27	27	2	801
Tax and employee-related liabilities	2,084	154	-72	2	7	4	2,179
OPERATING PAYABLES	19,808	-112	-331	110	47	17	19,540

(1) Contract assets and liabilities are described in Note 5.6.

Changes in consolidation scope mainly reflect the disposals of Lydec in Morocco for -€394 million and Veolia North America Regeneration Services in the United States for -€29 million, offset by the acquisition of the Hofmann Group in Germany for €23 million.

Assets classified as held for sale mainly correspond to the reclassification of SADE for €49 million before its sale on February 29, 2024.

5.3.2 Working capital management transactions

The Group's entities work continuously on improving the "Order-to-Cash" and "Procure-to-Pay" cycles, and more particularly on the management of Customer and Supplier positions. Therefore, action plans are regularly initiated, locally and at Group level, in order to improve invoicing time and quality, invoice processing, reconciliation of payments/disbursements, monitoring of aged balances, management of recovery and litigation.

These action plans include, where relevant, the implementation of a digital solution integrating Artificial Intelligence.

In addition to these actions, the Group may be required to implement programs for the assignment of receivables through factoring and reverse factoring, and discounting.

Factoring

Under these programs, certain subsidiaries have agreed to assign, on a renewable basis, trade receivables by contractual subrogation or assignment of receivables (such as Dailly programs in France) without recourse against the risk of default by the debtor. The analysis of the risks and rewards as defined by IFRS 9 led the Group to derecognize almost all the receivables assigned under these factoring programs. In addition, the transferor subsidiaries remain, in certain cases, responsible for invoicing and debt recovery, for which they receive remuneration but do not retain control.

Accordingly, receivables totaling €4,973 million were assigned under these programs in 2024, compared with €5,716 million in 2023. Receivables derecognized as of December 31, 2024 total €993 million, compared with €1,094 million as of December 31, 2023.

Reverse factoring

Some group entities implemented reverse factoring programs, allowing Group suppliers, by assigning their trade receivables, to benefit from advance payments.

After analyzing the key features of these programs, these liabilities were maintained as payables. The Group ensures that they are not substantially altered, and in particular:

- the Group's settlement periods are in accordance with local market and industry practices;
- the terms of the contract with the supplier are not linked to the existence of a reverse factoring program;
- the supplier remains free to choose whether or not to assign its receivable.

The amount of trade payables included under these reverse factoring programs and presented as payables totaled €255 million as of December 31, 2024, (or 3% of payables), compared with €260 million as of December 31, 2023.

Discounting

Under Public-Private partnerships, Veolia subsidiaries can assign the fraction of future payments guaranteed by public authorities/private customers (recognized in financial receivables pursuant to IFRIC 12 or IFRS 16) to the bodies funding the project, through discounting programs (such as Dailly programs in France). For the majority of partnerships concerned by these financial receivable assignments, the assignment agreements negotiated and the contractual clauses agreed between the stakeholders are sufficient to satisfy the derecognition criteria set out in IFRS 9. The residual risk retained by the companies (considered immaterial) is generally tied solely to late customer payment due to late/deferred invoicing of services by Group subsidiaries. Group subsidiaries are mandated by the financial institutions to manage the invoicing and recovery of the receivables covered by these programs. Veolia analyzed the management and recovery procedures falling to Group subsidiaries and concluded that these services did not constitute continuing involvement.

5.4 Non-current and current operating financial assets

Operating financial assets comprise financial assets resulting from the application of IFRIC 12 on accounting for concession arrangements and from the application of IFRS 16 on accounting for leases.

Concession arrangements

Pursuant to IFRIC 12, when the operator has an unconditional right to receive cash or another financial asset from the grantor in remuneration for concession services, the financial asset model applies. In this context, the infrastructures managed under these contracts cannot be recorded in assets of the operator as property, plant and equipment, but are recorded as financial assets.

Investment grants received in respect of concession arrangements are generally definitively earned and, therefore, are not repayable. In accordance with the option offered by IAS 20, these grants are presented as a deduction from intangible assets or financial assets depending on the applicable model following an analysis of each concession arrangement (IFRIC 12). Under the financial asset model, investment grants are equated to a means of repaying the operating financial asset.

During the construction phase, a financial receivable is recognized in the Consolidated Statement of Financial Position and revenue is recognized in the Consolidated Income Statement, in accordance with the percentage of completion method laid down in IFRS 15 on construction contracts.

Financial receivables are initially measured at the lower of fair value and the sum of discounted future cash flows and subsequently recognized at amortized cost using the effective interest method, as, in accordance with IFRS 9, they represent the right to receive contractual cash flows and have the characteristics of a loan.

After a review of the contract and its financing, the implied interest rate on the financial receivable is notably based on either the Group financing rate and/or the borrowing rate associated with the contract.

Leases

IFRS 16 requires the identification of contractual terms and conditions of agreements which, without taking the legal form of a lease, convey a right to use a group of assets in return for payments included in the overall contract (right of use analyzed as a transfer of control of a group of assets during the contract term). A lease component is thereby identified in these agreements, which is then analyzed and recognized in accordance with the criteria laid out in this standard.

The contract operator (Veolia) therefore becomes the lessor with respect to its customers. On contract signature, Veolia now determines whether the terms of the contract constitute a finance lease or an operating lease.

To this end, Veolia performs a comprehensive analysis to determine whether the lease transfers substantially all the risks and rewards inherent to ownership of the underlying asset to the customer (the lessee).

The following indicators in particular are considered when performing this analysis: (i) the lease transfers ownership of the asset to the customer by the end of the lease term, (ii) the lease term is for the major part of the economic life of the underlying asset, (iii) the present value of the lease payments amounts to at least substantially all of the fair value of the asset, or (iv) the asset is of such a specialized nature that only the customer can use it without major modifications.

If this analysis leads to the conclusion that the lease is a finance lease, Veolia does not recognize a tangible asset but an operating financial asset to reflect the corresponding financing.

Breakdown of operating financial assets by operating segment:

(€ million)	As of December 31					
	Non-current		Current		Total	
	2023	2024	2023	2024	2023	2024
France & special waste Europe	134	186	23	12	157	198
Europe excluding France	665	664	129	80	794	744
Rest of the world	387	367	54	43	441	410
Water technologies	1	1	-	-	1	1
Other	-	-	-	-	-	-
OPERATING FINANCIAL ASSETS	1,187	1,218	206	135	1,393	1,353
OF WHICH IFRIC 12 OPERATING FINANCIAL ASSETS	727	765	171	91	898	856
OF WHICH IFRS 16 OPERATING FINANCIAL ASSETS	460	453	35	44	495	497

Movements in the net carrying amount of non-current and current operating financial assets during 2024 are as follows:

(€ million)	December 31, 2023	New operating financial assets*	Repayments / Disposals	Impairment losses**	Changes in consolidation scope	Foreign exchange translation	Non-current/ current reclassification	Other movements	December 31, 2024
Non-current and current IFRIC 12 operating financial assets	898	155	-153	-1	-	15	-	-58	856
Non-current and current IFRS 16 operating financial assets	495	68	-74	-	3	-4	-	8	497
NON-CURRENT AND CURRENT OPERATING FINANCIAL ASSETS	1,393	223	-227	-1	3	11	-	-50	1,353

* New operating financial assets presented in the Consolidated Cash Flow Statement correspond to new operating financial assets in the above table (€225 million) net of the related acquisition debt (€2 million) as of December 31, 2024.

** Impairment losses are recorded in operating income.

The **principal new operating financial assets** in 2024 mainly concern the increase in financial receivables for pre-existing contracts, in particular in the following operating segments:

- France and special waste Europe, in the amount of €110 million;
- Europe excluding France, in the amount of €91 million;
- Rest of the world, in the amount of €23 million.

The **principal repayments and disposals** of operating financial assets in 2024 concern the following operating segments:

- France and special waste Europe, in the amount of -€71 million;
- Europe excluding France, in the amount of -€96 million;
- Rest of the world, in the amount of -€60 million.

(€ million)	As of December 31, 2023	New operating financial assets	Repayments / Disposals	Impairment losses	Changes in consolidation scope	Foreign exchange translation	Non-current/ current reclassification	Other movements	As of December 31, 2024
Gross value	743	155	-8	-	-	14	-131	9	782
Impairment losses	-17	-	-	-1	-	-	-	-	-17
NON-CURRENT IFRIC 12 OPERATING FINANCIAL ASSETS	727	155	-8	-1	-	14	-131	9	765
Gross value	171	-	-145	-	-	1	131	-67	91
Impairment losses	-	-	-	-	-	-	-	-	-
CURRENT IFRIC 12 OPERATING FINANCIAL ASSETS	171	-	-145	-	-	1	131	-67	91
NON-CURRENT AND CURRENT IFRIC 12 OPERATING FINANCIAL ASSETS	898	155	-153	-1	-	15	-	-58	856

(€ million)	As of December 31, 2023	New operating financial assets	Repayments / Disposals	Impairment losses	Changes in consolidation scope	Foreign exchange translation	Non-current/ current reclassification	Other movements	As of December 31, 2024
Gross value	460	68	-7	-	2	-4	-73	7	453
Impairment losses	-	-	-	-	-	-	-	-	-
NON-CURRENT IFRS 16 OPERATING FINANCIAL ASSETS	460	68	-7	-	2	-4	-73	7	453
Gross value	36	-	-66	-	1	-	73	-	44
Impairment losses	-	-	-	-	-	-	-	-	-
CURRENT IFRS 16 OPERATING FINANCIAL ASSETS	35	-	-66	-	1	-	73	-	44
NON-CURRENT AND CURRENT IFRS 16 OPERATING FINANCIAL ASSETS	495	68	-74	-	3	-4	-	8	497

IFRIC 12 operating financial assets maturity schedule:

(€ million)	1 year	2 years	3 years	4 years	5 years	More than 5 years	Total
France & special waste Europe	11	172	6	1	4	3	196
Europe excluding France	51	37	37	39	45	302	510
Rest of the world	29	14	7	6	2	91	149
Water technologies	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
TOTAL	91	222	50	46	50	396	856

IFRS 16 operating financial assets maturity schedule:

(€ million)	1 year	2 years	3 years	4 years	5 years	More than 5 years	Total
France & special waste Europe	1	-	-	-	-	-	1
Europe excluding France	29	50	25	18	16	96	234
Rest of the world	14	17	14	15	18	184	261
Water technologies	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
TOTAL	44	68	40	33	33	280	497

Operating financial assets held by the Group in countries considered high-risk are not material in amount.

5.5 Non-current and current concession liabilities

Concession liabilities result from the application of IFRIC 12 on the accounting treatment of concessions (see Note 5).

Non-current and current concession liabilities in 2024 break down by operating segment as follows:

(€ million)	Non-current		Current		Total	
	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024
France & special waste Europe	149	127	25	24	174	151
Europe excluding France	1,379	1,213	310	274	1,689	1,486
Rest of the world	137	119	12	6	148	125
Water technologies	-	-	-	-	-	-
Other	-	-	-	-	-	-
CONCESSION LIABILITIES	1,665	1,459	347	303	2,011	1,762

5.6 Contracts assets and liabilities

Non-current and current contract assets represent services rendered by the Group but not yet billed, where the right to remuneration is conditional.

Non-current and current contract liabilities mainly reflect amounts already settled by customers for which the Group has not yet performed the service (deferred income, down payments received from customers). These liabilities are recognized in revenue when the Group performs the service.

Contract assets and liabilities break down as follows:

(€ million)	Contract assets		Contract liabilities	
	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024
France & special waste Europe	59	62	180	191
Europe excluding France	150	158	707	720
Rest of the world	474	436	433	272
Water technologies	467	470	561	482
Other	-	-	-	-
TOTAL	1,150	1,126	1,881	1,665

Contract assets and liabilities are mainly included in operating receivables and operating payables in the Consolidated Statement of Financial Position.

5.7 Management of supply risks

As part of supply management and cost optimization measures or to hedge future production, certain Group subsidiaries may be required, depending on their activities, to contract forward purchases or sales of commodities and set-up derivatives to fix the cost of commodities supply or the selling price of commodities produced (electricity).

Commodity risks are described in Note 8.3.1.3.

5.8 Commitments relating to operating activities

5.8.1 Commitments given relating to operating activities

Commitments given relating to operating activities comprise operating guarantees and purchase commitments.

Operational or operating guarantees encompass all commitments not relating to financing operations, required in respect of contracts or markets and generally given in respect of the operations and activities of Group companies. Such guarantees include bid bonds accompanying tender offers, advance payment bonds and completion or performance bonds given on the signature of contracts or concession arrangements.

The main categories of commitments include:

- Commitments related to site rehabilitation.

Pursuant to environmental texts and legislation concerning the operation of landfill sites, the Group is obliged to provide financial guarantees to local authorities/government agencies. These guarantees notably encompass the rehabilitation and supervision of the site during 30 years or more, depending on national legislation (currently 60 years in the United Kingdom), following its operation.

In this context, performance bonds and letters of credit are issued to local authorities and other public bodies.

Depending on the contract, these guarantees cover the costs necessary for the supervision and rehabilitation of all or part of the site.

These guarantees are quantified in accordance with legal or contractually-defined procedures. These guarantees, which are given in their total amount from the start of operations, expire at the end of the commitment (termination of rehabilitation work and site supervision).

Therefore, the amount of our commitment for the rehabilitation and supervision of landfill sites is in general different from the amount of the provision recorded in the Group accounts (see Note 10). Provisions calculated by the Group are based on different valuations (based on internal policies regarding site security and designed for optimal environmental protection), which take into account the progressive nature of the obligation: operation of the landfill sites results in progressive damage to the site and, as such, a related liability is recognized as the facility is operated (see Note 10).

If the amount of the commitment is less than the provision at the balance sheet date, an off-balance sheet commitment is not disclosed. Conversely, if the amount of the commitment is greater than the provision, an off-balance sheet commitment is disclosed in the amount not provided.

- Commitments related to engineering and construction activities.

In the context of its business activities the Group gives (and receives) commitments which can take several forms (deposits on construction work and performance guarantees, etc.). Issued in favor of customers or banking institutions, they are subject to individual follow-up by site and their maturity depends on their contractual characteristics.

- Commitments relating to concession arrangements.

Pursuant to public service contracts with a public entity, the Group may be called on/obliged to invest in infrastructures that will then be operated and remunerated in accordance with contractual terms and conditions.

The contractual commitment may concern both the financing of installations and infrastructures to be used in operations and also the maintenance and replacement of infrastructures necessary to operations.

Expenditure relating to the replacement or rehabilitation of installations is monitored and recognized through any timing differences between the total contractual commitment over the contract term and its realization, in accordance with IAS 37 on Provisions.

Expenditure relating to the construction, maintenance and restoration of concession assets is reviewed with respect to IFRIC 12 and detailed in Note 5.4.

- Firm commodity purchase and sale commitments.

As part of supply management and cost optimization, certain Group subsidiaries may be required, depending on their activities, to set-up derivatives to fix the cost of commodity supplies where the contracts do not offer appropriate protection or contract forward purchases or sales of commodities.

Commodity risks are described in Note 8.3.1.3.

Firm commodity purchase commitments, excluding derivatives, mainly concern:

- gas in Energy activities (mainly in Central Europe) and Water activities. Most commitments mature in less than 5 years;
- electricity in Energy activities (purchase commitments mature in less than 3 years due to poor liquidity in the electricity market for longer maturities);
- biomass and coal in Energy activities.

In parallel, firm electricity sales contracts, excluding derivatives, are entered into to secure selling prices over a period of less than 3 years. These commitments concern production activities exposed to the electricity wholesale market and primarily Waste activities in the United Kingdom (electricity produced by waste incineration) and Energy activities in Central Europe.

Off-balance sheet commitments given break down as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024	Maturing in		
			Less than 1 year	1 to 5 years	More than 5 years
Operational guarantees including performance bonds	11,329	12,089	3,927	4,221	3,941
Purchase commitments	344	208	118	66	25
TOTAL COMMITMENTS RELATING TO OPERATING ACTIVITIES	11,673	12,297	4,044	4,287	3,965

Commitments given break down by operating segment as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024
France & special waste Europe	820	663
Europe excluding France	2,974	3,162
Rest of the world	2,634	2,836
Water technologies	2,046	2,346
Other	3,199	3,290
TOTAL COMMITMENTS RELATING TO OPERATING ACTIVITIES	11,673	12,297

The increase in commitments given by €624 million in 2024 was attributable to movements in foreign exchange for €256 million (mainly the US dollar) and the new guarantee issued as part of the Hassyan desalination project (Dubai) for €231 million.

In addition to the commitments given quantified above, Veolia has also granted commitments of an unlimited amount in respect of completion or performance bonds and a waste construction and processing contract in Hong Kong, in the Waste and Water businesses. This commitment, of an unlimited amount, is tied to the contract term (37 months of construction and 15 years of operation) and has a residual duration of 4 years as of December 31, 2024.

These commitments are limited to the duration of the related contracts and were approved in advance by the Board of Directors of Veolia Environnement.

Commitments given in respect of joint ventures were reduced to €154 million (at 100%) as of December 31, 2024, from €274 million in 2023, with the release of the €66 million commitment given by Glen Water Holding for a water treatment installation. They mainly consist of performance bonds given to Kilpilähti Power Plant Ltd for the renovation of the combined heat and power plant in Porvoo, Finland in the amount of €100 million.

5.8.2 Commitments received relating to operating activities

These commitments mainly consist of commitments received from our partners in respect of construction contracts.

They total €1,093 million as of December 31, 2024, compared with €860 million as of December 31, 2023.

Note 6 PERSONNEL COSTS AND EMPLOYEE BENEFITS**6.1 Personnel costs and employee numbers**

Personnel costs break down as follows:

(€ million)	2023	2024
Employee costs	-10,712	-10,879
Profit-sharing and incentive schemes	-209	-292
Share-based compensation, including social security contributions ⁽¹⁾	-60	-63
PERSONNEL COSTS	-10,981	-11,234

(1) As disclosed in Note 6.2.2, share-based compensation mainly concerns Share Grant Plans and the Employee Savings Plan.

Average consolidated employees break down as follows:

By operating segment	2023	2024
France & special waste Europe	50,354	48,812
Europe excluding France	74,887	78,334
Rest of the world	75,347	75,039
Water technologies	17,239	17,398
Other	1,681	1,619
CONSOLIDATED EMPLOYEES ⁽¹⁾	219,508	221,202

(1) Consolidated employees excluding employees of equity-accounted subsidiaries.

The employees employed in joint ventures are not significant.

6.2 Share-based compensation**6.2.1 Accounting policies**

Pursuant to IFRS 2, Share-based Payment, an expense is recorded in respect of share purchase or subscription plans and other share-based compensation granted by the Group to its employees. When the plans are equity-settled, the fair value of instruments is determined at the grant date and the fair value of the plan is expensed in the Consolidated Income Statement and recognized directly in equity over the period in which the benefit vests and the service is rendered.

For share grant plans, the fair value of instruments is calculated based on the share price at the grant date and the expected dividend yield.

For Group Savings Plans (GSP), the compensation expense corresponds to the discount and the Company's contribution to subscribers.

6.2.2 Share-based compensation expense

The share-based compensation expense breaks down as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024
Employee savings plan	27	38
2020 Performance share grant plan	2	-
2021 Performance share grant plan	14	-
2022 Performance share grant plan	10	10
2023 Performance share grant plan	5	9
2024 Performance share grant plan	-	5
2022 Free share grant plan	2	1
TOTAL INCLUDING SOCIAL SECURITY COSTS	60	63

6.2.2.1 2024 Employee Savings Plans

Veolia Environnement regularly sets up, through Group Savings Plans (GSP), in France and internationally, standard and secured savings plans which enable a large number of employees of Veolia Environnement and its subsidiaries to subscribe for Veolia Environnement shares. Shares subscribed by employees under these plans are subject to certain restrictions regarding their sale or transfer.

In 2024, Veolia proposed a new Group employee share ownership transaction, rolled-out across 54 countries.

Under this transaction, shares were subscribed with a 15% discount on the average closing price of the share during the 20 trading days preceding the date the subscription price was set by the Chief Executive Officer. The subscription price was set at €24.54.

Under the so-called secure format, employees benefit from:

- a gross contribution from the Group equal to 100% of the employee's investment up to a maximum of €300;
- a leveraged system supplementing their personal investment in the event of an increase in the share price.

This personal investment and the net contribution from the Group are guaranteed in the event of a fall in the share price and receive a guaranteed minimum return. In certain countries, in order to adapt to local legislation, a Share Appreciation Rights plan is offered.

A financial institution is appointed by Veolia to hedge the transaction.

In the United Kingdom, a Share Incentive Plan (SIP) was offered as an alternative to the standard plan, enabling employees to subscribe at the lower of the share price on August 1, 2024, and the share price preceding the vesting of the shares in January 2025, while benefiting from a contribution from the Group capped at GBP 250. The subscription period ended on December 31, 2024.

On September 13, 2024, Veolia Environnement issued 14,504,094 new shares under the Group Savings Plan, representing a share capital increase of €356 million.

In 2024, an expense of €38 million is recorded in operating income.

6.2.2.2 2024 Performance Share Grant Plans

In 2024, the Group granted 1,082,914 performance shares (PS) to Group employees and executives, subject to the beneficiary's presence in the Group on May 14, 2027 and performance conditions based on the following criteria:

- financial criteria (average increase in net income (loss) before non-recurring items attributable to owners of the Company and relative performance of the total shareholder return (TSR) of the Veolia Environnement share compared with the Stoxx 600 Utilities (Price) SX6P index);
- non-financial quantitative criteria relating to the Company's Purpose.

Taking account of these characteristics and market conditions at the plan implementation date, the fair value of the instruments was estimated at €24.84.

The performance and presence conditions are taken into account in estimating the compensation expense.

An expense of €5 million is recorded in operating income in 2024.

6.2.2.3 Plans implemented before 2024

Veolia implemented the following plans in previous years:

- 2023 Employee Savings Plan: in 2023, Veolia proposed a Group employee share ownership transaction, rolled-out across 49 countries. This plan had expired as of December 31, 2023, with the exception of the SIP in the United Kingdom for which an additional expense of €0.2 million was recognized in operating income in 2024;
- 2021, 2022 and 2023 performance share grant plans: the Group set-up performance share grant plans (PSP) in 2021, 2022 and 2023 subject to the beneficiary's presence in the Group at the vesting date on May 4, 2024, August 2, 2025 and May 3, 2026, respectively, and performance conditions. An expense of €19 million is recorded in operating income in 2024 in respect of these three plans;
- 2022 Free Share Grant Plan: the Group granted 145,200 free shares subject to the beneficiary's presence in the Group on June 15, 2025. An expense of €1 million is recorded in operating income in 2024 in respect of this plan.

6.3 Pension plans and other post-employment benefits

The following disclosures relate to the pension plans offered by fully consolidated entities.

6.3.1 Accounting policies

Veolia Environnement and its subsidiaries have several pension plans:

Defined contribution plans: plans under which the Group (or a Group entity) pays an agreed contribution to a separate entity, relieving it of any liability for future payments.

These obligations are expensed in the Consolidated Income Statement when due.

Defined benefit plans: all plans which do not meet the definition of a defined contribution plan. The net obligations of each Group entity are calculated for each plan based on an estimate of the amount employees will receive in exchange for services rendered during the current and past periods. The amount of the obligation is discounted to present value and the fair value of plan assets is deducted.

Where the calculation shows a plan surplus, the asset recognized is capped at the total of the discounted present value of profits, in the form of future repayments or reductions in plan contributions. The plan surplus is recognized in non-current financial assets.

Certain obligations of the Group or Group entities may enjoy a right to reimbursement, corresponding to a commitment by a third party to repay in full or in part the expenses relating to these obligations. This right to reimbursement is recognized in non-current financial assets.

The financing of defined benefit pension plans may lead the Group to make voluntary contributions to pension funds. Where applicable, these voluntary contributions are presented in Net cash from operating activities in the Consolidated Cash Flow Statement, in the same way as other employer contributions.

Employee obligations of the Group are calculated using the projected unit credit method. This method is based on the probability of personnel remaining with companies in the Group until retirement, the foreseeable changes in future compensation, and the appropriate discount rate. Specific discount rates are adopted for each monetary area. They are determined based on the yield offered by bonds issued by leading companies (rated AA) or treasury bonds where the market is not liquid, with maturities equivalent to the average term of the plans valued in the relevant region. This results in the recognition of pension-related assets or provisions in the Consolidated Statement of Financial Position and the recognition of the related net expenses.

Pursuant to IAS 19, Employee Benefits, actuarial gains and losses are recognized in other comprehensive income

6.3.2 Description of plans

In accordance with the regulatory environment and collective agreements, the Group has established defined benefit and defined contribution pension plans (company or multi-employer) in favour of employees and other post-employment benefits.

Defined contribution plans

Supplemental defined contribution pension plans have been set up in certain subsidiaries. Expenses incurred by the Group under these plans totaled €200 million in 2024 and €183 million in 2023..

Defined benefit plans

The tables in Note 6.3.3 present the obligations in respect of defined benefit pension plans and other post-employment benefits.

The measurement of these obligations is reflected by the DBO (Defined Benefit Obligation). These future outflow commitments may be partially or fully funded ("plan assets").

The most significant obligations are located in the United Kingdom, the United States and France.

United Kingdom

The defined benefit obligation in the United Kingdom is €747 million as of December 31, 2024 (compared with €773 million as of December 31, 2023) and is funded by plan assets of €780 million at this date (compared with €814 million as of December 31, 2023). The change in the defined benefit obligation is presented in the table below in Note 6.3.3.

The average duration of these plans is approximately 12 years.

In the United Kingdom, defined benefit pension plans are mainly final salary plans. Most of these plans are closed to new employees and the majority are also closed to the accrual of new rights. These plans are financed by employer contributions, or even employee contributions, paid to an independent pension fund (managed by a Trustee). Local regulations ensure the independence of the pension funds, which have nine members (including five employer representatives, three representatives of active and retired employees and one independent member).

Plan rules authorize the employer to recover excess funds paid at the end of the plans.

These plans allow retirees to take part of the benefit as a lump-sum and the balance as a pension. In the case of a pension, the related risk is tied to the longevity of beneficiaries.

France

In France, the defined benefit obligation for all plans totaled €369 million as of December 31, 2024 (€388 million as of December 31, 2023). It is funded by plan assets of €64 million as of December 31, 2024 (€78 million as of December 31, 2023). The change in the defined benefit obligation is presented in the table below in Note 6.3.3.

Nearly 87% of the obligation relates to retirement indemnities (legally required payments) paid in a lump sum. These indemnities represent a number of months' salary based on seniority and are legally required by the applicable collective-bargaining agreement to be paid on an employee's retirement. A portion of these obligations is covered by insurance contracts, but this funding is at the discretion of the employer. The average duration of these plans is approximately 10 years.

The risk associated with this type of plan is linked to the renegotiation of collective bargaining agreements which could generate adjustments to the indemnities granted.

United States

The defined benefit obligation is €539 million (compared with €541 million as of December 31, 2023) and is funded by plan assets of €521 million as of December 31, 2024 (compared with €483 million in 2023). The change in the defined benefit obligation is presented in the table below in Note 6.3.3.

The average duration of these plans is approximately 10 years.

Approximately 84% of the obligation relates to average salary pension plans. Veolia also participates in plans that cover a portion of employee healthcare costs. Most of these plans are closed to new employees, and are even closed to the accrual of new rights. Financing is assured by the payment of employer contributions to these funds.

Multi-employer plans

Under collective agreements, some Group companies participate in multi-employer defined benefit pension plans. However, these plans are unable to provide a consistent and reliable basis for the allocation of the obligation, assets and costs between the different participating entities. They are therefore recorded as defined contribution plans in accordance with IAS 19. The multi-employer plans concern approximately 4,000 employees in 2024 and are mainly located in Germany, where such plans are generally funded by redistribution and in the United States.

The corresponding expense recorded in the Consolidated Income Statement is equal to annual contributions and totals €8 million in 2024 compared with €9 million in 2023. The Group plans to pay contributions of €9 million in 2025 under its multi-employer plans.

6.3.3 Obligations in respect of defined benefit pension plans and other post-employment benefits

6.3.3.1 Actuarial assumptions

Actuarial assumptions used for calculation purposes vary depending on the country in which the plan is implemented.

The benefit obligation in respect of pension plans and post-employment benefits is based on the following average assumptions:

	As of December 31, 2023	As of December 31, 2024
Discount rate	4.33%	4.78%
o/w United Kingdom	4.80%	5.55%
o/w United States	4.90%	5.50%
o/w Euro zone	3.40%	3.60%
Inflation rate	2.48%	2.53%
o/w United Kingdom (RPI / CPI)	3,05%/2,45%	3,15%/2,60%
o/w United States	2.50%	2.50%
o/w Euro zone	2.00%	2.00%

6.3.3.2 Change in the defined benefit obligation (DBO)

Change in the DBO (€ million)	As of December 31									
	United Kingdom		France		United States		Other countries		TOTAL	
	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024
Defined benefit obligation at beginning of year	746	773	395	388	550	541	377	400	2,067	2,103
Current service cost	1	1	19	19	7	7	29	29	56	57
Plan amendments or new plans (contract wins)	-	-	-21	-	-	-	-	-	-21	-
Curtailments and settlements	-	-	-12	-7	-	-	-3	-4	-15	-11
Interest cost	38	37	12	11	26	27	13	11	89	85
Actuarial (gains) losses	12	-54	20	-5	9	-36	2	9	43	-85
o/w actuarial (gains) losses arising from experience adjustments	5	2	9	2	1	-	-	1	15	4
o/w actuarial (gains) losses arising from changes in demographic assumptions	-12	-1	-	1	-	-	-	-	-12	-1
o/w actuarial (gains) losses arising from changes in financial assumptions	19	-54	11	-8	8	-36	2	9	40	-89
Plan participants' contributions	-	-	-	-	-	-	1	1	1	1
Benefits paid	-39	-47	-23	-19	-32	-33	-33	-36	-126	-135
Benefits obligation assumed on acquisition of subsidiaries	-	-	-	4	-	-	15	4	16	8
Benefits obligation transferred on divestiture of subsidiaries	-	-	-1	-23	-	-	-	-22	-1	-46
Foreign exchange translation	16	36	-	-	-19	33	-5	-	-9	69
Other	-	-	-1	1	-	-	4	1	3	2
(a) Defined Benefit Obligation at end of year	773	747	388	369	541	539	400	393	2,103	2,047

6.3.3.3 Sensitivity of the defined benefit obligation and the current service cost

The Group defined benefit obligation is especially sensitive to discount and inflation rates.

A 1% increase in the discount rate would decrease the defined benefit obligation by approximately €197 million and the current service cost of the next year by €4 million. A 1% decrease in the discount rate would increase the defined benefit obligation by €221 million and the current service cost of the next year by €5 million.

Conversely, a 1% increase in the inflation rate would increase the defined benefit obligation by approximately €119 million and the current service cost by €5 million. A 1% decrease in the inflation rate would decrease the defined benefit obligation by €107 million and the current service cost by €4 million.

6.3.4 Change in the funding status of post-employment benefit obligations and the provision

	United Kingdom		France		United States		Other countries		Total	
(€ million)	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024
(a) Defined Benefit Obligation at end of year	773	747	388	369	541	539	400	393	2,103	2,047
(b) Fair value of plan assets at end of year	814	780	78	64	483	521	130	118	1,506	1,484
Funding status = (b) – (a)	41	34	-310	-305	-58	-18	-271	-275	-597	-564
Provisions	-9	-4	-311	-305	-96	-65	-274	-279	-690	-653
Prepaid benefits (regimes with a funding surplus)	50	38	2	0	39	48	3	4	93	89

Provisions for post-employment benefits totaled €653 million in 2024, compared with €690 million in 2023.

6.3.5 Change in plan assets

The following table presents plan assets funding obligations in respect of defined benefit pension plans and other post-employment benefits.

	As of December 31									
Change in plan assets	United Kingdom		France		United States		Other countries		TOTAL	
(€ million)	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024
Fair value of plan assets at beginning of year	804	814	77	78	464	483	125	130	1,470	1,506
Actual return on plan assets	20	-28	5	3	56	28	4	5	85	8
<i>o/w interest income</i>	40	39	3	3	22	24	4	4	69	69
<i>o/w return on plan assets excluding amounts included in interest income</i>	-21	-67	2	-	34	5	-	1	16	-61
Employer contributions	12	4	-	-14	13	11	11	7	36	8
Plan participants' contributions	-	-	-	-	-	-	1	1	1	1
Plan assets assumed on acquisition of subsidiaries	-	-	-	-	-	-	-	2	-	2
Plan assets transferred on divestiture of subsidiaries	-	-	-	-	-	-	-	-7	-	-7
Settlements	-	-	-	-	-	-	-1	-1	-1	-1
Benefits paid	-39	-47	-3	-4	-31	-32	-12	-17	-85	-99
Administrative expenses paid by the fund	-	-1	-	-	-1	-1	-	-	-1	-1
Foreign exchange translation	16	38	-	-	-17	31	1	-	1	68
Other	-	-	-1	-	-	-	-1	-	-1	-
(b) Fair value of plan assets at end of year	814	780	78	64	483	521	130	118	1,506	1,484

Investment policy

In the **United Kingdom**, the investment policy is defined by the pension fund. Funding levels and the contribution payment schedule are negotiated by the employer and the Trustee, based on triennial actuarial valuations. Contributions include both the funding of the shortfall in relation to past rights and service costs for future years.

United Kingdom pension funds aim to attain 100% technical coverage of liabilities within 10 years, while maintaining a risk level considered as acceptable by all parties (Trustees and employers). In order to achieve that goal, plan assets are allocated within two portfolios:

- a liability-driven investment portfolio comprising financial instruments (where flows best match liabilities and the value fluctuates in line with the liability value). This portfolio mainly includes inflation-linked bonds issued or guaranteed by the United Kingdom government and derivatives with leading banking counterparties, with which collateralization contracts have been signed in order to minimize counterparty risk;
- a portfolio of growth assets invested in a diverse range of asset classes (equities, bonds, diversified funds, etc.) and seeking to outperform the liabilities. Portfolio management was delegated to an external manager in January 2017.

A hedging policy covering some financial risks (particularly foreign exchange, inflation and interest rate) was implemented, in order to reduce the fund's exposure to these risks and therefore reduce the risk of increased contributions. These hedges were implemented using derivatives (currency forwards, total return swaps on gilts, interest rate swaps, etc.).

In **France**, the Group's assets are placed primarily with insurance companies and invested in the general insurance fund. The French General Insurance Code (Code général des assurances) requires insurance companies to provide a minimum rate of return on these funds, calculated primarily based on the rate offered by government bonds.

In the **United States**, the investment policy is defined by the pension fund and funding levels are set by the employer.

For the entire Group, the actual rate of return on plan assets reflects market performance based on the asset investment profiles.

The Group plans to make contributions of €23 million to defined benefit plans in 2025, compared with €8 million in 2024. The amount of employer contributions is presented net of reimbursements of benefits by insurance companies. In 2024, a reimbursement of €13 million was made in respect of benefits paid in France, including for previous years.

Investment and return on assets

On average, Group pension plan assets were invested as follows:

	2023	2024
Unquoted assets	11.3%	14.7%
Liquid unquoted assets - Investment funds (general insurance fund)	9.2%	8.9%
Non-liquid unquoted assets - Investment funds ⁽¹⁾	0.5%	3.2%
Unquoted assets - Other	1.6%	2.7%
Quoted assets (liquid)	85.3%	82.4%
Government bonds ⁽²⁾	12.4%	22.4%
Corporate bonds	8.0%	20.7%
Shares	17.7%	29.1%
Diversified Investment funds	36.1%	9.3%
Liquid quoted assets - Other	11.0%	0.9%
Liquid assets	3.4%	2.9%
TOTAL	100.0%	100.0%

(1) The line "Non-liquid unquoted assets – Investment funds" consists of funds without guaranteed monthly liquidity (e.g. real estate funds, infrastructure funds).

(2) The portion of government bonds from high-risk countries is not material.

6.3.6 Impact on comprehensive income

The net benefit cost breaks down as follows:

(€ million)	As of December 31									
	United Kingdom		France		United States		Other countries		TOTAL	
	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024
Service cost	1	1	-15	13	7	7	27	25	20	46
o/w Current service cost	1	1	19	19	7	7	29	29	56	57
o/w Past service cost	-	-	-33	-7	-	-	-3	-4	-36	-11
Net interest expense	-3	-2	9	8	4	3	9	8	20	16
o/w Interest cost	38	37	12	11	26	27	13	11	89	85
o/w Interest income on plan assets	-40	-39	-3	-3	-22	-24	-4	-4	-69	-69
Interest income on right to reimbursement	-	-	-	-	-	-	-	-	-	-
Administrative expenses paid by the fund	-	1	-	-	1	1	-	-	1	1
Other	-	-	-	2	-	-	5	-	5	2
Net benefit cost recognized in the Consolidated Income Statement	-1	-	-6	22	12	10	41	33	46	65
Return on plan assets excluding amounts included in interest income	21	67	-2	-	-34	-5	-	-1	-16	61
Actuarial (gains) losses arising from experience adjustments	5	2	9	2	1	-	-	1	15	4
Actuarial (gains) losses arising from changes in demographic assumptions	-12	-1	-	1	-	-	-	-	-12	-1
Actuarial (gains) losses arising from changes in financial assumptions	19	-54	11	-8	8	-36	2	9	40	-89
Net benefit cost recognized in other comprehensive income	32	14	18	-5	-25	-41	2	8	27	-24
NET BENEFIT COST RECOGNIZED IN TOTAL COMPREHENSIVE INCOME	31	14	13	18	-13	-30	43	41	73	42

The costs in the Consolidated Income Statement are recorded in operating income, except for the net interest expense, recorded in net financial income and expenses.

6.4 Compensation and related benefits of key management (related parties)

Group Executive Committee members and directors represent the key management personnel of Veolia Environnement.

The following table summarizes amounts paid by the Group in respect of compensation and other benefits granted to members of the Company Executive Committee in exercise at the closing date of each fiscal year presented.

Short-term benefits include fixed and variable compensation, employee benefits and directors' fees. Variable compensation comprises amounts paid in a given fiscal year in respect of previous fiscal years.

(€ million)	Year ended 31, 2023	Year ended December 31, 2024
Short-term benefits, excluding employer contributions	15	16
Employer contributions	5	5
Post-employment benefits ⁽¹⁾	-	-
Other long-term benefits ⁽²⁾	-	-
Share-based payments	4	3
Other items	-	-
TOTAL	24	25

(1) Current service cost.

(2) Other compensation vested but payable in the long-term.

As of December 31, 2024, total pension and post-employment benefit obligations in respect of members of the Executive Committee amount to €2 million, compared with €3 million as of December 31, 2023.

The members of the Board of Directors receive compensation for their duties as directors. It is noted that Mr. Antoine Frérot (Chairman of the Board of Directors) and Mrs. Estelle Brachlianoff (Chief Executive Officer) waived the receipt of compensation for their duties as a director of the Company and as corporate officers of companies controlled by the Group. The total gross amount of compensation (before withholding tax) paid by the Company to directors and the non-voting member (*censeur*) was €1,092,870 in **2024**.

Note 7 GOODWILL, INTANGIBLE ASSETS AND PROPERTY, PLANT AND EQUIPMENT**7.1 Goodwill****7.1.1 Movements in goodwill**

Goodwill breaks down as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024
Gross	12,571	12,783
Accumulated impairment losses	-1,015	-1,000
NET	11,556	11,783

7.1.1.1 Main goodwill balances by Cash-Generating Unit

A Cash-Generating Unit (CGU) is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

For the purpose of impairment tests, goodwill is allocated, from the acquisition date, to each of the cash-generating units or each of the groups of cash-generating units that are expected to benefit from the business combination, referred to hereafter as "goodwill CGUs".

Given the Group's activities, the goodwill CGUs are below operating segments in the organizational structure and generally represent a group of countries.

The Group has 11 goodwill CGUs as of December 31, 2024.

(€ million)	As of December 31, 2023	As of December 31, 2024
North America	2,587	2,767
Central & Eastern Europe	2,049	2,159
France & Special Waste Europe	2,178	1,973
Water technologies	1,836	1,943
Northern Europe	1,232	1,268
Pacific	576	565
Goodwill balances > €500 million as of December 31, 2024	10,458	10,676
Other goodwill balances < €500 million	1,097	1,107
TOTAL GOODWILL	11,556	11,783

Goodwill balances of less than €500 million at the end of December 2024 mainly concern Iberia (€351 million), Asia (€314 million) and Latin America (€311 million).

As of December 31, 2024, accumulated impairment losses total -€1,000 million and mainly concern goodwill of the Central and Eastern Europe cash-generating unit (-€810 million).

7.1.1.2 Movements in the net carrying amount of goodwill

Movements in the net carrying amount of goodwill during 2024 are as follows:

(€ million)	As of December 31, 2023	Changes in consolidation scope	Foreign exchange translation	Impairment losses	Transfers to Assets classified as held for sale	Other movements	As of December 31, 2024
France & special waste Europe	2,178	9	-1	-	-	-214	1,973
Europe excluding France	3,580	199	10	-	-	1	3,790
Rest of the world	3,959	-242	141	-3	-	219	4,075
Water technologies	1,836	1	106	-	-	-	1,943
Other	3	-	-	-	-	-	3
TOTAL GOODWILL	11,556	-34	257	-3	-	7	11,783

The main movements in Group goodwill during 2024 were primarily due to:

- **changes in consolidation scope**, mainly including the disposals of Veolia North America Regeneration Services in the United States in August for -€201 million and Lydec in Morocco in September for -€66 million, as well as the entry into the scope of the Hofmann Group in Germany, acquired in March 2024. The final goodwill from this acquisition amounted to €123 million;
- **foreign exchange translation gains and losses**, mainly due to movements in the US dollar for €270 million;
- **other movements** mainly correspond to the change in managerial affiliation of a group of undertakings.

7.1.2 Impairment tests

Veolia performs systematic annual impairment tests in respect of goodwill and other intangible assets with an indefinite useful life. More frequent tests are performed where there is indication that the cash-generating unit may have suffered a loss in value.

Changes in the general economic and financial context, worsening of local economic environments, or changes in the Group's economic performance or stock market capitalization represent, in particular, external indicators of impairment that are analyzed by the Group to determine whether it is appropriate to perform more frequent impairment tests.

Impairment testing was performed on all cash-generating units as of December 31, 2024.

Goodwill impairment is recognized in operating income and is definitive.

Key assumptions underlying the determination of recoverable amounts

The need to recognize an impairment is assessed by comparing the net carrying amount of the assets and liabilities of the CGU or group of CGUs with their recoverable amount.

The recoverable amount of a cash-generating unit is the higher of its fair value less costs to sell and its value in use.

Fair value less costs to sell is determined based on available information enabling the best estimate of the amount obtainable from the sale of the cash-generating unit in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal.

The value in use determined by the Group is generally equal to the present value of the future cash flows expected to be derived from the CGU or group of CGUs, taking account of their residual value and based on the following:

- cash flow projections are taken from the Long-Term Plan prepared each year and reflect changes in volumes, prices, direct costs and investment in the period, determined based on contracts and activities and in line with past data and expected changes over the period covered by the Long-Term Plan;

- this plan covers the year in progress and the next six years. This period is representative of the average duration of the Group's long-term contract portfolio and its short-term activities;
- terminal values are calculated based on discounted forecast flows for the last year of the long-term plan (2030). These flows are determined for each CGU or group of CGUs based on a perpetual growth rate mainly founded on long-term inflation;
- these terminal values are calculated based on discount rates and perpetual growth rates reflecting the country or the geographic area of the cash-generating unit;
- a discount rate (weighted average cost of capital) is determined for each asset, cash-generating unit or group of cash-generating units: it is equal to the risk-free rate plus a risk premium weighted for country-specific risks (see Note 2). A risk premium is included in the calculation of the weighted average cost of capital of entities located in countries outside the euro zone and the following euro zone countries: Spain, Italy, Slovakia and Greece. The discount rates estimated by management for each cash-generating unit therefore reflect current market assessments of the time value of money and the country specific risks to which the CGU or group of CGUs is exposed, with the other risks reflected in the expected future cash flows from the assets. These rates were updated by an independent expert in the second half of 2024, and take into account the increase in inflation rates and in financing conditions;
- investments included in forecast future cash flows are those investments that enable the level of economic benefits expected to arise from the assets to be maintained in their current condition. It should be noted that these investment forecasts used as a basis for computing projections of future cash flow include Veolia commitments to phase-out coal in Europe reflected through an assets decarbonization plan. Restructuring plans to which the Group is not committed are not included in forecast cash flows used to determine values in use.

Changes in the economic and financial context, as well as changes in the competitive or regulatory environment may impact estimates of recoverable amounts, as may unforeseen changes in the political, economic or legal systems of certain countries.

The assumptions underlying the impairment tests on Group cash-generating units with material goodwill balances are as follows:

Cash Generating Unit	Recoverable amount determination method	Discount rate	Perpetual growth rate
France & Special Waste Europe	Value in use	5.6%	1.9%
Central & Eastern Europe	Value in use	7.9%	2.5%
Northern Europe	Value in use	6.3%	2.0%
Pacific	Value in use	6.8%	2.6%
North America	Value in use	6.8%	2.0%
Water Technologies	Value in use	6.8%	2.1%

7.1.2.1 Impairment test results

Impairment tests were performed on all cash-generating units. No impairment losses were recognized in 2024.

7.1.2.2 Sensitivity of recoverable amounts

Recoverable amounts determined for impairment testing purposes were tested for their sensitivity to a 1% increase in discount rates, a 1% decrease in perpetual growth rates and a 5% decrease in operating cash flows.

The changes in operating cash flows taken into account for the purpose of these sensitivity tests include EBITDA, less investments net of divestitures, plus changes in working capital. They also include the impact of Efficiency and Convergence plans launched by each cash-generating unit at the date of preparation of the Long-Term Plan.

These assumptions are considered reasonable given the Group's activities and the geographic areas of its operations.

Some goodwill CGUs generate cash flows in more than one country. For these CGUs, discount rates, perpetual growth rates and tax rates taken into account at CGU level were calculated by weighting the flows of each constituent country.

The cash-generating units are not sensitive to changes in macroeconomic and operating assumptions as of December 31, 2023 or December 31, 2024.

7.2 Intangible assets

Intangible assets are identifiable non-monetary assets without physical substance. They mainly consist of certain assets recognized in respect of concession arrangements (IFRIC 12).

Intangible assets purchased separately are initially measured at cost in accordance with IAS 38. Intangible assets acquired through business combinations are recognized at fair value separately from goodwill. Subsequently, intangible assets are measured at cost less accumulated amortization and impairment losses. They are tested for impairment where there is indication of loss in value (non-performance of a significant long-term contract under the terms laid down in the contract, technical operating issues, etc.).

7.2.1 Concession intangible assets

Concession intangible assets include entry fees paid to local authorities for public service contracts. They correspond to the right of the concession holder to bill users of a public service in return for construction services provided by it to the concession grantor under public service contracts in accordance with IFRIC 12, Service Concession arrangements.

This concession holder right is equal to the fair value of the construction of the concession infrastructure plus borrowings costs recognized during the construction period. It is amortized over the contract term in accordance with an appropriate method reflecting the rate of consumption of the concession asset's economic benefits as from the date the infrastructure is brought into service.

Investment grants received in respect of concession arrangements are generally definitively earned and, therefore, are not repayable. In accordance with the option offered by IAS 20, these grants are presented as a deduction from intangible assets and reduce the amortization charge in respect of the concession intangible asset over the residual term of the concession arrangement.

Movements in the net carrying amount of concession intangible assets during 2024 are as follows:

(€ million)	As of December 31, 2023	Additions	Disposals	Impairment losses	Amortization/ Reversals	Change in consolidation scope	Foreign exchange translation	Transfers to Assets classified as held for sale	Other movements	As of December 31, 2024
Concession intangible assets, gross	11,007	543	-203	-	-	-293	75	-	39	11,167
Amortization and impairment losses	-5,418	-	187	13	-733	68	-41	-	11	-5,912
CONCESSION INTANGIBLE ASSETS, NET	5,589	543	-16	13	-733	-225	34	-	50	5,255

Additions concern France and Special Waste Europe (€185 million), Europe excluding France (€279 million) and the Rest of the world (€79 million).

Charges to amortization and impairment losses mainly concern France and Special Waste Europe (-€122 million), Europe excluding France (-€448 million) and the Rest of the world (-€148 million).

Changes in consolidation scope of -€225 million are mainly attributable to the sale of Lydec to Morocco in September 2024.

Other movements mainly concern the Europe excluding France segment and are linked to contractual developments in Germany.

Concession intangible assets break down by operating segment as follows:

(€ million)	Net carrying amount as of December 31, 2023	As of December 31, 2024		
		Gross carrying amount	Amortization and impairment losses	Net carrying amount
France & special waste Europe	668	1,618	-890	728
Europe excluding France	3,864	7,574	-3,837	3,738
Rest of the world	1,052	1,957	-1,171	786
Water technologies	5	18	-15	4
Other	-	-	-	-
CONCESSION INTANGIBLE ASSETS	5,589	11,167	-5,912	5,255

7.2.2 Other intangible assets

Other intangible assets mainly consist of the value of contracts acquired through business combinations ("contractual rights"), patents, licenses, software and operating rights.

Other intangible assets are amortized on a straight-line basis over their useful life, unless another systematic amortization basis better reflects the rate of consumption of the asset.

Useful lives are as follows:

	Range of useful lives in number of years*
Purchased contractual rights	6 to 30
Purchased software	3 to 10
Other intangible assets	1 to 30

* The range of useful lives is due to the diversity of intangible assets concerned.

Other intangible assets break down as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024
INTANGIBLE ASSETS WITH AN INDEFINITE USEFUL LIFE, NET	95	66
Intangible assets with a definite useful life, gross	5,813	6,077
Amortization and impairment losses	-2,997	-3,313
INTANGIBLE ASSETS WITH A DEFINITE USEFUL LIFE, NET	2,816	2,764
OTHER INTANGIBLE ASSETS, NET	2,911	2,830

Movements in the net carrying amount of other intangible assets during 2024 are as follows:

(€ million)	As of December 31, 2023	Additions	Disposals	Impairment losses	Amortization	Changes in consolidation scope	Foreign exchange translation	Other movements	December 31, 2024
INTANGIBLE ASSETS WITH AN INDEFINITE USEFUL LIFE, NET	95	1	-1	-25	-	2	-2	-4	66
Purchased contractual rights	373	5	-	-	-39	-	3	-1	340
Purchased software	269	64	-2	-1	-93	-3	1	45	280
Purchased customer portfolios	908	2	-	-	-97	105	42	-15	946
Patents, licenses	763	1	-	-	-52	4	19	-11	722
Other purchased intangible assets	399	29	-1	-1	-56	-1	2	13	385
Other internally-developed intangible assets	104	30	-1	-11	-24	1	1	-9	90
INTANGIBLE ASSETS WITH A DEFINITE USEFUL LIFE, NET	2,816	130	-3	-13	-361	105	68	23	2,764
OTHER INTANGIBLE ASSETS	2,911	131	-4	-38	-361	107	65	19	2,830

Intangible assets with an indefinite useful life are primarily trademarks.

Purchased customer portfolios total €946 million, including €659 million in Water technologies, €156 million in Europe excluding France and €127 million in the Rest of the world.

Patents and licenses, including technologies, total €722 million, including €200 million for France and Special Waste Europe, €340 million in Water technologies and €156 million in the Rest of the world.

Other purchased intangible assets total €385 million and mainly concern the Rest of the world for €286 million, Europe excluding France for €55 million and Water technologies for €42 million.

Other internally developed non-current assets total €90 million and mainly concern France and Special Waste Europe for €32 million and Europe excluding France for €27 million.

Changes in consolidation scope of €107 million mainly concern the acquisition of the Hofmann Group in Germany.

7.3 Property, plant and equipment

Property, plant and equipment are recorded at historical acquisition cost, less accumulated depreciation and any accumulated impairment losses.

Borrowing costs attributable to the acquisition or construction of identified installations, incurred during the construction period, are included in the cost of those assets in accordance with IAS 23, Borrowing Costs.

Property, plant and equipment are recorded by component, with each component depreciated over its useful life.

Useful lives are as follows:

	Range of useful lives in number of years *
Buildings	20 to 100
Technical installations	7 to 70
Vehicles	3 to 25
Other plant and equipment	3 to 12

* The range of useful lives is due to the diversity of property, plant and equipment concerned.

Property, plant and equipment are primarily depreciated on a straight-line basis, unless another systematic depreciation basis better reflects the rate of consumption of the asset.

They are tested for impairment where there is indication of loss in value.

In accordance with the option offered by IAS 20, Accounting for Government Grants and Disclosure of Government Assistance, investment grants are deducted from the gross carrying amount of property, plant and equipment to which they relate. When the construction of an asset covers more than one period, the portion of the grant not yet used is recorded in "Other liabilities" in the Consolidated Statement of Financial Position.

7.3.1 Movements in the net carrying amount of property, plant and equipment

Movements in the net carrying amount of property, plant and equipment during 2024 are as follows:

(€ million)	As of December 31, 2023	Additions	Disposals	Impairment losses	Depreciation	Changes in consolidation scope	Foreign exchange translation	Other movements	As of December 31, 2024
Property, plant and equipment, gross	31,880	2,409	-745	-	-	-580	194	268	33,425
Depreciation and impairment losses	-14,746	-	647	-45	-1,463	319	-38	-167	-15,492
PROPERTY, PLANT AND EQUIPMENT, NET	17,134	2,409	-98	-45	-1,463	-261	156	101	17,933

Additions for 2024 break down by segment as follows:

- France and Special Waste Europe (€338 million). Additions concern non-hazardous waste treatment and recovery for €110 million and Hazardous Waste Europe for €134 million, mainly for a new treatment facility in Germany;
- Europe excluding France (€846 million). Additions concern the United Kingdom for €190 million, mainly related to investments in waste treatment and recovery for €44 million and purchases of rolling stock; Poland and the Czech Republic for €161 million and €106 million, respectively, with the majority of investments to convert its coal-based power generation assets to less carbon-intensive energies, environmental compliance and the rollout of new connections; and Germany for €125 million, mainly related to the construction and maintenance of a biomass facility;
- the Rest of the world (€1,056 million). Additions concern the United States for €529 million, mainly involving water supply and treatment installations, particularly of PFAS (persistent pollutants), for €358 million, and incinerator equipment for €101 million. They also concern Australia for €175 million, mostly the purchase of rolling stock; China for €50 million, predominantly in the Energy business; and Chile for €145 million, with the renewal of drinking water and wastewater networks.

Disposals of -€98 million mainly concern:

- France and Special Waste Europe (-€14 million);
- Europe excluding France (-€34 million);
- and the Rest of the world (-€33 million).

Impairment losses total -€45 million and concern the Rest of the world (-€20 million) and Europe excluding France (-€20 million).

Depreciation of -€1,463 million mainly concerns France and Special Waste Europe (-€290 million), Europe excluding France (-€523 million) and the Rest of the world (-€527 million).

Changes in consolidation scope amounted to -€261 million and mainly concern the sale of Veolia North America Regeneration Services in the United States for -€295 million and the acquisition of the Hofmann Group in Germany for €48 million.

Foreign exchange translation gains and losses are primarily due to the appreciation of the US dollar (€327 million) and the depreciation of the Chilean peso (-€137 million) and the Hungarian forint (-€35 million) against the euro.

Property, plant and equipment break down by operating segment as follows:

(€ million)	Net carrying amount of December 31, 2023	As of December 31, 2024		
		Gross carrying amount	Depreciation and impairment losses	Net carrying amount
France & special waste Europe	1,781	6,582	-4,762	1,820
Europe excluding France	5,386	12,650	-6,857	5,793
Rest of the world	9,070	12,610	-3,239	9,372
Water technologies	868	1,473	-548	926
Other	28	109	-87	23
PROPERTY, PLANT AND EQUIPMENT	17,134	33,425	-15,492	17,933

The breakdown of property, plant and equipment by class of assets is as follows:

(€ million)	Net carrying amount as of December 31, 2023	As of December 31, 2024		
		Gross carrying amount	Depreciation and impairment losses	Net carrying amount
Land	1,447	2,571	-1,161	1,410
Buildings	2,970	5,605	-2,473	3,132
Technical installations, plant and equipment	9,022	17,573	-8,256	9,317
Rolling stock and other vehicles	794	2,698	-1,795	903
Other property, plant and equipment	459	2,156	-1,659	497
Property, plant and equipment in progress	2,442	2,821	-149	2,673
PROPERTY, PLANT AND EQUIPMENT	17,134	33,425	-15,492	17,933

7.4 Right of use

In application of the Lease standard (IFRS 16), the Group analyses the contractual provisions of an agreement at the time of signature, to determine whether it presents the characteristics of a lease. In substance, it is necessary to determine whether the agreement conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Where these characteristics exist, the Group recognizes, at the time the asset is made available:

- a new asset, the "Right of use", which represents the right to use the leased asset during the term of the lease;
- a liability, the "IFRS 16 lease debt", which represents the lease payment commitment.

(€ million)	As of December 31, 2023	As of December 31, 2024
Short term leases	58	52
Low value lease contracts	6	5
Variable leases	6	9
TOTAL	70	66

Initial and subsequent measurement of Right of use assets

The right of use asset recognized includes:

- the amount of the related lease debt;
- plus, where applicable:
 - lease payments made before the asset is made available,
 - initial direct costs incurred to obtain the lease, and
 - any dismantling or rehabilitation costs for which Veolia is liable;
- less any incentives received.

The lease debt is equal to the present value of:

- future lease payments (fixed payments and in-substance fixed payments, as well as variable lease payments that depend on an index or a rate);
- incentives receivable;
- amounts that Veolia expects to pay under residual value guarantees;
- the exercise price of a purchase option if Veolia is reasonably certain to exercise it; as well as
- any penalties for terminating the lease.

The Group applies a single recognition method for all leases, excluding short-term leases (duration of 12 months or less) and leases of assets with a low value. The Group adopted a threshold of US \$5,000 for low value assets.

Lease payments on contracts excluded from the scope of IFRS 16, as well as variable payments, continue to be recognized as operating expenses.

The right of use asset is depreciated or amortized on a straight-line over the shorter of the expected useful life of the asset and the lease term.

Impairment tests are performed in accordance with the method described in Note 7.1.2.

Lease term

The lease term is determined based on the provisions of the contract and reflects:

- the non-cancellable period, that is the period of time during which the Group does not have the opportunity to cancel the contract;
- plus any optional cancellation periods, if the Group is reasonably assured not to exercise the cancellation option ;
- plus any optional extension periods, if the Group is reasonably assured to exercise the extension option.

Discount rate

When calculating the present value of future lease payments, the Group has elected not to use the rate implicit in the lease as the discount rate, and has developed a calculation method to determine the incremental borrowing rate that would apply to the financing of these leased assets. This methodology is based on a rate schedule calculated by currency and maturity based on the following parameters: reference rate of the relevant currency and the Veolia credit spread, the Group satisfying, through access to the bond market, the majority of the financing requirements of its subsidiaries.

Right of use assets break down as follows:

(€ million)	Net carrying amount as of December 31, 2023	As of December 31, 2024		
		Gross carrying amount	Depreciation and impairment losses	Net carrying amount
Rights of use Intangible assets	-	12	-5	8
Right of use, Land	361	666	-301	365
Right of use, Buildings	862	2,041	-1,219	821
Right of use assets, Technical installations, plant and equipment	175	262	-141	122
Right of use assets, Rolling stock and other vehicles	400	839	-423	416
Right of use - Other PP&E	54	183	-94	88
RIGHT OF USE	1,853	4,003	-2,184	1,819

Right of use breaks down by operating segment as follows:

(€ million)	Net carrying amount as of December 31, 2023	As of December 31, 2024		
		Gross carrying amount	Depreciation and impairment losses	Net carrying amount
France & special waste Europe	526	1,059	-567	492
Europe excluding France	578	1,215	-600	615
Rest of the world	508	969	-498	471
Water technologies	153	412	-251	161
Other	88	348	-268	79
RIGHT OF USE	1,853	4,003	-2,184	1,819

Movements in the net carrying amount of the right of use during 2024 are as follows:

(€ million)	As of December 31, 2023	Additions	Contract termination or expiry	Impairment losses	Depreciation	Changes in consolidation scope	Foreign exchange translation	Other movements	As of December 31, 2024
Right of use	3,908	589	-482	-	-	-63	19	32	4,003
Depreciation and impairment losses	-2,055	-	415	-8	-564	64	-7	-30	-2,184
RIGHT OF USE, NET	1,853	589	-67	-8	-564	1	12	2	1,819

Additions amount to €589 million and mainly concern Europe excluding France (€215 million), France and Special Waste Europe (€146 million) and the Rest of the world (€139 million).

Depreciation and impairment losses total -€572 million in 2024 and mainly breaks down as follows:

- land: -€56 million;
- buildings: -€222 million;
- technical installations, plant and equipment: -€51 million;
- rolling stock: -€201 million.

Lease amendments

The net carrying amount of the right of use asset is adjusted in the event of amendments to the lease provisions that require the remeasurement of the lease debt (modification of an index, increase or reduction in the lease term, increase or decrease in future lease payments, etc.) or in the event of changes in assumptions as to whether the exercise of renewal or termination options is reasonably certain.

Note 8 FINANCING AND FINANCIAL INSTRUMENTS**8.1 Financial assets and liabilities**

Financial assets and liabilities mainly consist of:

- "financial liabilities", presented in Note 8.1.1;
- "non-current and current financial assets", presented in Note 8.1.2;
- cash and cash equivalents and bank overdrafts and other cash position items, presented in Note 8.1.3;
- derivative instruments, presented in Note 8.3.

8.1.1 Financial liabilities

Borrowings and other financial liabilities are recognized initially at fair value less transaction costs and subsequently measured at amortized cost using the effective interest rate (EIR) method.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts over the estimated term of the financial instrument or, where applicable, over a shorter period, to the net carrying amount of the financial asset or liability.

(€ million)	Notes	Non-current		Current		Total	
		As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024
Bond issues	8.1.1.1	16,782	16,366	1,299	1,417	18,081	17,783
Other financial liabilities	8.1.1.2	1,995	1,915	5,895	7,402	7,890	9,317
IFRS 16 lease debt	8.1.1.3	1,533	1,523	467	462	2,000	1,985
TOTAL NON-CURRENT AND CURRENT FINANCIAL LIABILITIES		20,310	19,804	7,662	9,281	27,972	29,085

The heading "Net increase/decrease in current financial liabilities" in the Consolidated Cash Flow Statement mainly includes redemptions of current bonds in the amount of -€1,306 million in 2024 and increases and repayments of other current financial liabilities of €1,306 million.

The heading "New non-current borrowings and other debts" in the Consolidated Cash Flow Statement mainly includes non-current bond issues in the amount of €1,214 million in 2024 and new other non-current financial liabilities of €251 million.

8.1.1.1 Changes in non-current and current bond issues

Bond issues break down as follows:

(€ million)	As of December 31, 2023	Subscriptions	Redemptions	Changes in consolidation scope	Fair value adjustments (1)	Foreign exchange translation	Non-current/ current reclassification	Other movements	As of December 31, 2024
Non-current bond issues	16,782	1,214	-58	-	170	64	-1,804	-2	16,366
Current bond issues	1,299	-	-1,670	-17	-	-	1,804	-	1,417
TOTAL BOND ISSUES	18,081	1,214	-1,728	-17	170	64	-	-2	17,783

(1) Value adjustments are recorded in financial income and expenses.

Additions/subscriptions mainly correspond to :

- a CHF 100 million (€105 million euro-equivalent) bond issue by Aguas Andinas on May 15, 2024, maturing in 2029 and bearing a coupon of 2.0975%;
- two bond issues by Veolia Environnement: (i) €500 million on September 2, 2024, maturing in 2034 and bearing a coupon of 3.571%; (ii) €500 million on December 3, 2024, maturing in 2031 and bearing a coupon of 2.974%;
- a US\$75 million (€69 million euro-equivalent) bond issue by Veolia Utility Resources on December 10, 2024, maturing in 2039 and bearing a coupon of 5.47%.

Redemptions correspond to :

- the redemption of two bond issues, one maturing on January 14, 2024 for €750 million and the other on July 22, 2024 for €461 million;
- the early redemption of a portion of the bonds convertible and/or exchangeable for new and/or existing shares (OCEANE) maturing on January 1, 2025, for €364 million on August 2, 2024, with a delivery settlement date of August 9, 2024.

Non-current/current reclassifications total €1,804 million and mainly concern two euro bond lines maturing on April 3, 2025, and September 10, 2025, for a nominal of €500 million each, and €336 million of OCEANE bonds maturing on January 1, 2025.

Foreign exchange translation gains and losses of €64 million mainly correspond to the translation at the year-end exchange rate:

- bond lines in US dollars held by Veolia Utility Resources for €92 million;
- bond lines in Chilean pesos held by Aguas Andinas in Chile for -€65 million;
- bond lines in US dollars and pounds sterling held by Veolia Environnement for +€35 million.

(€ million)	Non-current		Current		Total	
	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024
Bond issues	16,782	16,366	1,299	1,417	18,081	17,783
• maturing in < 1 year	-	-	1,299	1,417	1,299	1,417
• maturing in 2-3 years	3,227	3,965	-	-	3,227	3,965
• maturing in 4-5 years	4,440	3,463	-	-	4,440	3,463
• maturing in > 5 years	9,115	8,939	-	-	9,115	8,939

Non-current bond issues break down by maturity as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024	Maturing in		
			2 to 3 years	4 to 5 years	> 5 years
Publicly offered or traded issuances	16,026	16,338	3,955	3,463	8,920
European market (i)	13,400	13,531	3,880	3,210	6,441
American market (ii)	1,615	1,734	67	29	1,638
South-American Market (iii)	1,011	1,073	8	224	841
Bonds convertible into and/or exchangeable for new and/or existing shares (OCEANE)	703	-	-	-	-
Other amounts < €50 million in 2023 and 2024	53	29	10	-	19
NON-CURRENT BOND ISSUES	16,782	16,366	3,965	3,463	8,939

(i) European market: as of December 31, 2024, an amount of €14,856 million is recorded in the Consolidated Statement of Financial Position in respect of bonds issued under the European Medium Term Notes (EMTN) Program, including €13,531 million maturing in more than one year. The impact of the fair value remeasurement of hedged interest rate risk is -€116 million at the year-end (non-current portion);

(ii) American market: as of December 31, 2024, remaining nominal outstanding on the bond issues performed in the United States total US\$1,859 million, including US\$1,801 million maturing in more than one year.

(iii) South-American market: as of December 31, 2024, remaining nominal outstanding on the bond issues performed in Chile total CLP1,137,521 million, including CLP1,109,600 maturing in more than one year.

Breakdown of **non-current bond issues** by main components:

Transaction (all amounts are in € million)	Final maturity	Currency	Nominal	Interest rate	Net carrying amount
Series 12	11/25/2033	EUR	700	6.125 %	697
Series 24	10/29/2037	GBP	135	6.125 %	136
Series 29 (PEO)	3/30/2027	EUR	750	4.625 %	708
Series 31 (PEO)	1/10/2028	EUR	500	1.590 %	443
Series 34	1/4/2029	EUR	500	0.927 %	499
Series 36	11/30/2026	EUR	650	1.496 %	638
Series 38	1/7/2030	EUR	750	1.940 %	749
Series 40	1/15/2031	EUR	500	0.664 %	499
Series 41	4/15/2028	EUR	700	1.250 %	699
Series 42	1/15/2032	EUR	500	0.800 %	437
Series 43	1/14/2027	EUR	700	0.000 %	699
Series 25	6/9/2026	EUR	750	0.000 %	731
Series 23	4/2/2027	EUR	850	1.250 %	862
Series 3	6/8/2027	EUR	250	1.904 %	241
Series 17	5/19/2028	EUR	800	1.250 %	780
Series 19	4/3/2029	EUR	700	1.500 %	710
Series 13	5/21/2029	EUR	75	2.000 %	79
Series 15	7/1/2030	EUR	50	2.250 %	53
Series 21	9/17/2030	EUR	500	1.625 %	522
Series 9	12/2/2030	GBP	301	5.375 %	355
Series 22	10/14/2031	EUR	700	0.500 %	654
Series 20	9/21/2032	EUR	540	1.625 %	524
Series 10	3/25/2033	EUR	100	3.300 %	116
Series 24 VIGIE SA	5/14/2035	EUR	750	1.250 %	702
Series 46	1/10/2031	EUR	500	2.974 %	498
Series 45	9/9/2034	EUR	500	3.571 %	498
Total bond issues (EMTN)	N/A	N/A	13,751	N/A	13,529
USD Series Tranche 3	6/1/2038	USD	182	6.750 %	195
VUR Senior Notes 2015 Series C	8/31/2035	USD	120	4.090 %	120
VUR Senior Notes 2019 Series A	11/6/2034	USD	144	2.940 %	144
VUR Private Placement 2021 B	11/10/2061	USD	116	3.140 %	116
VUR Private Placement 2022 B	11/10/2052	USD	130	5.860 %	130
VUR Private Placement 2023 B	12/1/2053	USD	164	6.230 %	164
Other bond issues in US\$ <€100 million	N/A	USD	891	N/A	885
Total publicly offered or traded issuances in US\$	N/A	N/A	1,747	N/A	1,754
Bond issues in CLP < €100 million	N/A	CLP	1073	N/A	1073
Total bond issues in chilean peso	N/A	N/A	1,073	N/A	1,073
Stirling Water Seafeld Finance bond issue	9/26/2026	GBP	18	5.822 %	10
Total principal bond issues	N/A	N/A	16,589	N/A	16,366
Total other bond issues	N/A	N/A		N/A	0
TOTAL NON-CURRENT BOND ISSUES	N/A	N/A		N/A	16,366

8.1.1.2 Change in other financial liabilities

(€ million)	Non-current		Current		Total	
	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024
Other financial liabilities	1,995	1,915	5,895	7,402	7,890	9,317
• maturing in < 1 year	-	-	5,895	7,402	5,895	7,402
• maturing in 2-3 years	646	565	-	-	646	565
• maturing in 4-5 years	438	432	-	-	438	432
• maturing in > 5 years	911	918	-	-	911	918

Movements in **other financial liabilities** in **2024** are as follows:

(€ million)	As of December 31, 2023	Net movement	Changes in consolidation scope	Fair value adjustments	Foreign exchange translation	Non-current / current reclassification	Transfers to Liabilities classified as held for sale	Other movements	As of December 31, 2024
Other non-current financial liabilities	1,995	50	44	-	8	-188	-	6	1,915
Other current financial liabilities	5,895	1,338	42	-	-69	188	-	9	7,402
OTHER FINANCIAL LIABILITIES	7,890	1,389	85	-	-61	-	-	15	9,317

Other non-current financial liabilities mainly comprise debt carried by:

- France and special waste Europe of €73 million, including €53 million in Sarp Industries;
- the Rest of the world of €923 million, including:
 - Veolia Sunshine (Harbin) in China of €196 million as of December 31, 2024, and December 31, 2023;
 - Aguas Andinas in Chile of €86 million as of December 31, 2024, compared with €145 million as of December 31, 2023;
 - Circular PET K.K in Japan of €59 million as of December 31, 2024, and €55 million as of December 31, 2023;
 - International Water Services Guayaquil Interagua in Ecuador (Water) of €49 million as of December 31, 2024 and €57 million as of December 31, 2023;

- Europe excluding France of €912 million, including :

- Braunschweig in Germany of €390 million as of December 31, 2024 and €384 million as of December 31, 2023,
- Agbar in Spain of €199 million as of December 31, 2024, and €176 million as of December 31, 2023;
- CHP Energia in Hungary of €195 million as of December 31, 2024, and €225 million as of December 31, 2023.

Other current financial liabilities total €7,402 million as of December 31, 2024, compared with €5,895 million as of December 31, 2023.

Net movements in other current financial liabilities in 2024 mainly reflect the issue of commercial paper by Veolia Environnement for €1,373 million.

As of December 31, 2024, other current financial liabilities mainly concern Veolia Environnement for €6,203 million (including commercial paper of €6,042 million and accrued interest on debt of €161 million) and €328 million in drawdowns on credit lines held by Veolia Utility Resources in the United States.

8.1.1.3 IFRS 16 lease debt

Lease debt recognition and measurement principles are disclosed in note 7.4.

(€ million)	As of December 31, 2023	Net movement	Changes in consolidation scope	Fair value adjustments	Foreign exchange translation	Non-current / current reclassification	Transfers to Liabilities classified as held for sale	Other movements	As of December 31, 2024
Non-current IFRS 16 lease debt	1,533	514	4	-	12	-538	-	-1	1,523
Current IFRS 16 lease debt	467	-540	-3	-	1	538	-	-1	462
IFRS 16 LEASE DEBT	2,000	-26	-	-	13	-	-	-2	1,985

IFRS 16 lease debt by operating segment breaks down as follows:

(€ million)	As of December 31, 2023		As of December 31, 2024	
	IFRS 16 lease debt	Non-current IFRS 16 lease debt	Current IFRS 16 lease debt	IFRS 16 lease debt
France & special waste Europe	551	389	126	515
Europe excluding France	625	514	149	663
Rest of the world	564	408	123	531
Water technologies	157	119	49	168
Other	103	95	14	109
IFRS 16 LEASE DEBT	2,000	1,523	462	1,985

IFRS 16 lease debt by type of assets breaks down as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024
Real estate	66.7%	66.4%
Technical installations, plant and equipment	13.3%	11.9%
Rolling stock and other vehicles	19.9%	21.7%

IFRS 16 lease debt by maturity breaks down as follows:

(€ million)	Non-current		Current		Total	
	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024
IFRS 16 lease debt	1,533	1,523	467	462	2,000	1,985
• 1 year	-	-	467	462	467	462
• 2 years	339	350	-	-	339	350
• 3 years	262	260	-	-	262	260
• 4 years	191	226	-	-	191	226
• 5 years	165	127	-	-	165	127
• > 5 years	576	560	-	-	576	560

(€ million)	As of December 31, 2023	As of December 31, 2024
Repayments of IFRS 16 lease debt	631	614
Interest on IFRS 16 lease debts	58	66
Exemption and variable lease payments	14	15
LEASE PAYMENTS OF THE PERIOD	704	695

8.1.1.4 Breakdown of non-current and current financial liabilities by currency

Financial liabilities break down by original currency (before currency swaps) as follows:

- Euro-denominated debt of €22,737 million as of December 31, 2024 and €21,692 million as of December 31, 2023;
- Pound sterling-denominated debt of €699 million as of December 31, 2024 and €726 million as of December 31, 2023;
- US dollar-denominated debt of €2,723 million as of December 31, 2024 and €2,440 million as of December 31, 2023;
- Chinese renminbi-denominated debt of €645 million as of December 31, 2024 and €729 million as of December 31, 2023;
- Chilean peso-denominated debt of €1,158 million (including inflation-indexed bond issues of €1,100 million) as of December 31, 2024 and €1,282 million as of December 31, 2023.

8.1.2 Non-current and current financial assets

Financial assets include assets classified as loans and receivables, liquid assets, financing assets, other financial assets, derivative assets and cash and cash equivalents.

Financial assets are initially recognized at fair value plus transaction costs, where the assets concerned are not subsequently measured at fair value through profit or loss. Where the assets are measured at fair value through profit or loss, transaction costs are expensed directly to net income.

The Group classifies financial assets in one of the categories identified by IFRS 9 on the acquisition date, based on the instrument's characteristics and the business model.

Assets at amortized cost

Financial assets are valued at amortized cost where they are recovered by collecting contractual cash flows (payments of principal and interest on the principal amount outstanding).

These assets comprise loans to non-consolidated investments, operating financial assets, other loans and receivables and trade receivables. After initial recognition at fair value, they are recognized and measured at amortized cost using the effective interest method.

In accordance with IFRS 9, these assets are impaired in the amount of expected credit losses. Impairment losses are recorded in other financial income and expenses.

Assets at fair value through other comprehensive income subsequently released to net income

This category includes financial assets recovered by collecting contractual cash flows (payments of principal and interest on the principal amount outstanding) or selling the assets.

Changes in the fair value of these assets are recognized directly in other comprehensive income, with the exception of interest income and dividends recognized in other financial income and expenses. Fair value gains and losses are released to net income on the sale of the assets.

Assets at fair value through other comprehensive income not subsequently released to net income

This category includes equity instruments not held for trading. It relates primarily to non-consolidated investments.

Changes in the fair value of these assets are recognized directly in other comprehensive income, with the exception of interest income and dividends recognized in other financial income and expenses. Fair value gains and losses are not released to net income on the sale of the assets.

Fair value is equal to market value in the case of quoted securities and to an estimate of the fair value in the case of unquoted securities, determined based on financial criteria most appropriate to the specific situation of each security. Financial investments which are not quoted in an active market and for which the fair value cannot be measured reliably, are recorded by the Group at historical cost less any accumulated impairment losses.

Assets at fair value through profit or loss

This category includes:

- financial assets that are not held either to collect contractual cash flows or to sell the assets and whose contractual conditions do not solely give rise to payments of principal and interest on the principal amount outstanding;
- assets designated at fair value and primarily the cash UCITS portfolio whose performance and management is based on fair value.

Fair value gains and losses are recognized in other financial income and expenses.

Net gains and losses on derivatives entered into for trading purposes consist of swapped flows and the change in the value of the instrument.

8.1.2.1 Other non-current and current financial assets

Other non-current and current financial assets break down as follows:

(€ million)	Non-current		Current		Total	
	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024	As of December 31, 2023	As of December 31, 2024
Gross	657	568	365	384	1,022	952
Impairment losses	-135	-68	-26	-41	-161	-109
FINANCIAL ASSETS RELATING TO LOANS AND RECEIVABLES, NET	522	500	339	343	861	842
OTHER FINANCIAL ASSETS	11	25	-	20	12	45
LIQUID ASSETS AND FINANCING FINANCIAL ASSETS ⁽¹⁾	9	10	1,884	2,008	1,892	2,018
TOTAL OTHER FINANCIAL ASSETS, NET	542	534	2,223	2,371	2,765	2,905

(1) Liquid assets are financial assets composed of funds or securities with an initial maturity of more than three months, easily convertible into cash, and managed with respect to a liquidity objective while maintaining a low capital risk.

8.1.2.2 Changes in other non-current financial assets

Changes in the value of other non-current financial assets during 2024 are as follows:

(€ million)	As of December 31, 2023	Changes in business	Changes in consolidation scope	Fair value adjustments	Impairment losses*	Foreign exchange translation	Non-current / current reclassification	Transfers to Assets classified as held for sale	Other movements**	As of December 31, 2024
Gross	657	23	-35	-	-3	15	-72	-	-16	568
Impairment losses	-135	-	-	-	70	-3	-	-	-	-68
NON-CURRENT FINANCIAL ASSETS RELATING TO LOANS AND RECEIVABLES, NET	522	23	-35	-	67	12	-72	-	-16	500
OTHER NON-CURRENT FINANCIAL ASSETS	11	76	-	-	-	-	-	-	-62	25
LIQUID ASSETS AND FINANCING FINANCIAL ASSETS	9	-	-	-	-	1	-	-	-	10
TOTAL OTHER NON-CURRENT FINANCIAL ASSETS, NET	542	99	-35	-	67	13	-72	-	-78	534

* Impairment losses are recorded in financial income and expenses.

** Reinsurers' share.

Non-current financial assets relating to loans and receivables

As of December 31, 2024, the main non-current financial assets relating to loans and receivables primarily comprise loans granted to equity-accounted joint ventures totaling €64 million, compared with €66 million as of December 31, 2023 (see also Note 5.2.4.1).

Other non-current financial assets

Other non-current financial assets are classified as "Assets at fair value through profit or loss" in accordance with the principles set out in Note 8.1.2.

Other financial assets held by the Group in countries considered high-risk by the IMF are not material in amount.

8.1.2.3 Movements in current financial assets

Movements in other current financial assets during 2024 are as follows:

(€ million)	As of December 31, 2023	Changes in business	Changes in consolidation scope	Fair value adjustments	Impairment losses*	Foreign exchange translation	Non-current / current reclassification	Transfers to Assets classified as held for sale	Other movements**	As of December 31, 2024
Gross	365	-47	-19	-	-	1	72	1	9	384
Impairment losses	-26	-	1	-	-8	-1	-	-	-7	-41
CURRENT FINANCIAL ASSETS RELATING TO LOANS AND RECEIVABLES, NET	339	-47	-18	-	-8	-	72	1	2	343
Gross	-	19	-	-	-	1	-	-	-	20
Impairment losses	-	-	-	-	-	-	-	-	-	-
OTHER CURRENT FINANCIAL ASSETS	-	19	-	-	-	1	-	-	-	20
Gross	1,884	124	-	-	-	-	-	-	-	2,008
Impairment losses	-	-	-	-	-	-	-	-	-	-
LIQUID ASSETS AND FINANCING FINANCIAL ASSETS	1,884	124	-	-	-	-	-	-	-	2,008
TOTAL OTHER CURRENT FINANCIAL ASSETS, NET	2,223	97	-18	-	-8	1	73	1	2	2,371

* Impairment losses are recorded in financial income and expenses.

** Reinsurers' share.

As of December 31, 2024, liquid assets and financing financial assets primarily comprise investments with an initial maturity of more than three months, easily convertible into cash, and managed with respect to a liquidity objective while maintaining a low capital risk.

Movements in 2024 mainly concern the optimization of the Group's cash management.

The accounting treatment of other current financial assets relating to loans and receivables complies with the required treatment of assets at amortized cost. Other financial assets are classified as "Assets at fair value through profit or loss" in accordance with the principles set out in Note 8.1.2.

8.1.3 Cash and cash equivalents, bank overdrafts and other cash position items

Cash and cash equivalents include all cash balances, certain term deposit accounts, negotiable debt instruments and monetary UCITS.

Cash equivalents are held to meet short-term cash commitments. In order to be considered a cash equivalent, an investment must be readily convertible to a known amount of cash and subject to a negligible risk of change in value, thereby satisfying the requirements of IAS 7.

Term deposit accounts and negotiable debt instruments present characteristics satisfying the requirements of IAS 7 when their yield is based on short-term money-market rates (such as €STR) and their maturity is less than 3 months (contractually or due to an early exit option exercisable at least every 3 months and held at a low or nil cost, without loss of capital or remuneration received net of the early exit penalty of less than the yield on short-term investments).

UCITS classified in "cash equivalents" comply with Regulation (EU) 2017/1131 of the European Parliament and of the Council of June 14, 2017 on money market funds and are presumed to satisfy the cash equivalent criteria defined by IAS 7.

These UCITS can be sold daily on demand, conferring on them the characteristics of short-term, highly liquid investments that are readily convertible to known amounts of cash. These instruments are not intended to be held more than three months and offer a yield similar to the €STR interbank rate, thereby limiting sensitivity to interest rates. The regularity of performance trends does not expose them to a material risk of change in value.

Bank overdrafts repayable on demand which form an integral part of the Group's cash management policy represent a component of cash and cash equivalents for the purposes of the Consolidated Cash Flow Statement.

Cash and cash equivalents are valued at fair value through profit or loss. Note 8.2.1 sets out the method of determining fair value. Cash and cash equivalents belong to fair value levels 1 and 2:

- instruments with a quoted price in an active market in level 1;
- other instruments that are not quoted but the fair value of which is determined using valuation techniques involving standard mathematical calculation methods integrating observable market data, in level 2.

8.1.3.1 Movements in cash and cash equivalents

Movements in cash and cash equivalents and bank overdrafts and other cash position items during 2024 are as follows:

(€ million)	As of December 31, 2023	Changes in business	Changes in consolidation scope	Fair value adjustments ⁽¹⁾	Foreign exchange translation	Transfers to Assets/ Liabilities classified as held for sale	Other movements	As of December 31, 2024
Cash	2,081	-426	484	-	-5	-	-14	2,120
Cash equivalents	6,615	878	-7	-	-6	-	-	7,481
CASH AND CASH EQUIVALENTS	8,696	453	477	-	-11	-	-14	9,601
BANK OVERDRAFTS AND OTHER CASH POSITION ITEMS	379	-642	460	-	8	-	-8	197
Net cash	8,317	1,094	17	-	-19	-	-6	9,404

(1) Value adjustments are recorded in financial income and expenses.

Cash and cash equivalents total €9,601 million, including €466 million "subject to restrictions" as of December 31, 2024.

Restricted cash breaks down as follows: €215 million subject to contractual legal restrictions (particularly for the Group's reinsurance activities), €74 million backing the servicing of local financial liabilities and €177 million in respect of subsidiaries located in countries with currency restrictions.

Net cash increased by €1,087 million in 2024, largely owing to the proceeds from the issuance of commercial paper for €1,373 million and the issuance of two new bond issues of €500 million each, maturing in 2031 and 2034, offset by the partial redemption of maturing bond debt for €1,211 million and the repurchase of OCEANE bonds for €364 million.

As of December 31, 2024, the Europe excluding France segment held cash of €542 million, the Rest of the world segment held cash of €754 million, the Water technologies segment held cash of €399 million, France and special waste Europe segment held cash of €69 million and the Other segment held cash of €356 million (including mainly Veolia Environnement).

Surplus cash balances of other Group subsidiaries, not pooled at Veolia Environnement level, are invested in accordance with procedures defined by the Group. Note 8.3.2, "Management of liquidity risk", presents a breakdown of investments by nature.

As of December 31, 2024, cash equivalents were primarily held by Veolia Environnement in the amount of €7,134 million, including monetary UCITS of €3,872 million and term deposit accounts of €3,262 million.

Bank overdrafts and other cash position items consist of credit balances on bank accounts and related accrued interest payable, corresponding to brief overdrafts.

8.1.3.2 Management of equity risk

As part of its cash management strategy, Veolia Environnement holds UCITS. These UCITS have the characteristics of monetary UCITS and are not subject to equity risk.

8.2 Fair value of financial assets and liabilities

8.2.1 Fair value of financial assets and liabilities

The recognition and measurement of financial assets and liabilities is governed by IFRS 9. Fair value measurement incorporates, in particular, the risk of non-performance by the Group or its counterparties, determined based on default probabilities taken from rating agency tables.

The fair value of all financial assets and liabilities is determined at the reporting date, either for recognition in the accounts or disclosure in the Notes to the financial statements.

Fair value is determined:

- i. based on quoted prices in an active market (level 1); or
- ii. using internal valuation techniques involving standard mathematical calculation methods integrating observable market data (forward rates, interest rate curves, etc.). Valuations produced by these models are adjusted to take account of a reasonable change in the credit risk of the Group or the counterparty (level 2); or
- iii. using internal valuation techniques integrating factors estimated by the Group in the absence of observable market data (level 3).

Quoted prices in an active market (level 1)

When quoted prices in an active market are available, they are used in priority to determine the market value. Marketable securities and certain quoted bond issues are valued in this way.

8.2.2 Financial assets

The following table presents the net carrying amount and fair value of Group financial assets as of December 31, 2024, grouped together in accordance with IFRS 9 categories.

As of December 31, 2024									
(€ million)	Note	Net carrying amount	Financial assets at fair value			Fair value	Method for determining fair value		
		Total	Assets at fair value through other comprehensive income	Assets at amortized cost	Assets at fair value through profit or loss	Total	Level 1	Level 2	Level 3
Non-consolidated investments		77	77		-	77	-	77	-
Non-current and current operating financial assets	Note 5.4	1,353	-	1,353	-	1,377	-	1,377	-
Other non-current financial assets	Note 8.1.2	534	-	534	-	534	-	534	-
Trade receivables	Note 5.3	9,598	-	9,598	-	9,598	-	9,598	-
Other current operating receivables	Note 5.3	2,010	-	2,010	-	2,010	-	2,010	-
Other current financial assets	Note 8.1.2	2,371	-	2,371	-	2,371	-	2,371	-
Non-current and current derivative instruments	Note 8.3	233			233	233	-	233	-
Cash and cash equivalents	Note 8.1.3	9,601			9,601	9,601	2,120	7,481	-
TOTAL		25,776	77	15,865	9,834	25,800	2,120	23,680	-

Level 2 cash and cash equivalents mainly consist of negotiable debt instruments and term deposit accounts.

Fair values determined using models integrating observable market data (level 2)

The majority of derivative instruments (swaps, caps, floors, etc.) are traded over the counter and, as such, there are no quoted prices. Valuations are therefore determined using models commonly used by market participants to value such financial instruments.

Valuations calculated internally for derivative instruments are tested every six months for consistency with valuations issued by our counterparties.

The fair value of unquoted borrowings is calculated by discounting contractual flows at the market rate of interest.

The net carrying amount of receivables and payables falling due within less than one year and certain floating-rate receivables and payables is considered a reasonable estimate of their fair value, due to the short payment and settlement periods applied by the Group.

The fair value of fixed-rate loans and receivables depends on movements in interest rates and the credit risk of the counterparty.

Valuations produced by these models are adjusted to take account of changes in Group credit risk.

Fair values determined using models integrating certain non-observable data (level 3)

Derivative instruments valued using internal models integrating certain non-observable data include certain electricity derivative instruments for which there are no quoted prices in an active market (notably for electricity purchase options with extremely long maturity) or observable market data (forward prices for component materials, interest-rate curves, etc.), in particular for distant maturities.

8.2.3 Financial liabilities

The following table presents the net carrying amount and fair value of Group financial liabilities as of December 31, 2024, grouped together in accordance with IFRS 9 categories.

As of December 31, 2024									
		Net carrying amount	Financial liabilities at fair value			Fair value	Method for determining fair value		
			Liabilities at fair value through profit or loss	Liabilities at fair value through profit or loss	Liabilities at fair value through profit or loss and held for trading				
(€ million)	Note	Total	Liabilities at amortized cost	Liabilities at fair value through profit or loss	Liabilities at fair value through profit or loss and held for trading	Total	Level 1	Level 2	Level 3
Borrowings and other financial liabilities									
Non-current bond issues	Note 8.1.1	16,366	16,366	-	-	14,243	13,493	750	-
Current bond issues	Note 8.1.1	1,417	1,417	-	-	1,417	1,417	-	-
Non-current financial liabilities	Note 8.1.1	1,915	1,915	-	-	1,597	-	1,597	-
Current financial liabilities	Note 8.1.1	7,402	7,402	-	-	7,402	-	7,402	-
Non-current IFRS 16 lease debt	Note 8.1.1	1,523	1,523	-	-	1,523	-	1,523	-
Current IFRS 16 lease debt	Note 8.1.1	462	462	-	-	462	-	462	-
Bank overdrafts and other cash position items	Note 8.1.3	197	-	197	-	197	-	197	-
Trade payables	Note 5.3	7,673	7,673	-	-	7,673	-	7,673	-
Non-current and current concession liabilities	Note 5.5	1,762	1,762	-	-	1,762	-	1,762	-
Non-current and current derivative instruments	Note 8.3	647	-	647	-	647	-	647	-
Other operating payables	Note 5.3	8,886	8,886	-	-	8,886	-	8,886	-
TOTAL		48,250	47,406	844	-	45,810	14,910	30,900	-

8.2.4 Offsetting of financial assets and financial liabilities

As of December 31, 2024, derivatives managed under ISDA or EFET agreements are the only financial assets and/or liabilities covered by a legally enforceable master netting agreement. These instruments may only be offset in the event of default by one of the parties to the agreement. They are not therefore offset in the accounts.

Such derivatives are recognized in assets in the amount of €233 million and in liabilities in the amount of €647 million in the Consolidated Statement of Financial Position as of December 31, 2024.

Net gains and losses on instruments at fair value through profit or loss consist of swapped flows and changes in the value of the instrument.

Hedge accounting is applicable if:

- the hedging relationship is precisely defined and documented at the inception date;
- the effectiveness of the hedge is demonstrated at inception and by regular verification of the offsetting nature of movements in the market value of the hedging instrument and the hedged item. The ineffective portion of the hedge is systematically recognized in the Consolidated Income Statement.

Hedge accounting relationships currently used by the Group meet the requirements of IFRS 9 and are aligned with the Group's risk management strategy and objectives.

The effectiveness of derivatives in these hedging relationships is assessed using the hypothetical derivative method: the designated derivative in each hedging relationship must enable changes in cash flows of the hedged item to be offset.

The main sources of ineffectiveness are:

- the impact of Group and counterparty credit risk on the fair value of hedging instruments, not reflected by fluctuations in the fair value of the hedged item (foreign exchange, interest rate and commodities). Pursuant to IFRS 13, the impact of credit risk on derivatives is regularly assessed. In the absence of materiality, an adjustment has never been recognized;
- changes to the timing and amount of expected cash flows from hedged transactions, in the case of transaction foreign exchange risk.

The recognition of period-on-period fair value gains and losses depends on the type of hedge accounting applied.

8.3 Market risks and financial instruments

As a result of its operational and financial activities, the Group is exposed to various financial risks, for which it has implemented management rules:

- market risks: interest rate risk, foreign exchange risk and commodity risk;
- liquidity risk;
- credit risk.

Equity risk is presented in Notes 8.1.3.2 and 9.2.2.2.

Derivative instruments

To manage its exposure to market risks, Veolia uses derivatives, the majority of which are classified as hedging instruments.

Derivative instruments are recognized at fair value in the Consolidated Statement of Financial Position. Other than the exceptions detailed below, changes in the fair value of derivative instruments are recorded through profit or loss. The fair value of derivatives is estimated using standard valuation models which take into account active market data.

A **fair value hedge** is a hedge of exposure to changes in the fair value of all or a portion of a recognized asset or liability impacting net income for the period. Fair value gains and losses on hedging instruments are recognized in net income for the period. Changes in the value of the hedged item attributable to the hedged risk are also recorded in the Consolidated Income Statement for the period, to match these gains and losses (and adjust the value of the hedged item). These two remeasurements offset each other in the income statement headings, with the exception of any "ineffective portion" of the hedge.

A **cash flow hedge** is a hedge of exposure to variability in cash flows of an asset or liability or a highly probable forecast transaction impacting net income for the period. In the case of cash flow hedges, the portion of the gain or loss on the fair value remeasurement of the hedging instrument that is determined to be an effective hedge is recognized directly in other comprehensive income, while the gain or loss on the fair value remeasurement of the underlying item is not recognized in the Consolidated Statement of Financial Position. The ineffective portion of the gain or loss on the hedging instrument is recognized in profit or loss. Gains or losses recognized in other comprehensive income are reclassified to profit or loss in the same period or periods in which the asset acquired or liability issued affects profit or loss.

A **hedge of a net investment in a foreign operation** hedges the exposure to foreign exchange risk of the net assets of a foreign operation including loans considered part of the investment (IAS 21, The Effects of Changes in Foreign Exchange Rates). For this type of hedge, the effective portion of the gain or loss on the hedging instrument is recognized in translation reserves in other comprehensive income, while the ineffective portion is recognized in the Consolidated Income Statement. Gains and losses recognized in foreign exchange translation reserves are reclassified to profit or loss when the foreign investment is sold.

Certain transactions performed in accordance with the Group interest rate and foreign exchange risk management policy, but that do not satisfy hedge accounting criteria, are recorded as trading/non-qualifying instruments.

In the case of **currency hedges**, the Group only designates the "spot" component of derivatives as hedging its foreign exchange risk. As the "hedging cost" option is not applied, the premium/discount on hedging contracts is excluded from the hedging relationship and recognized separately in the financing cost.

In the case of **commodities**, purchase/sales contracts are generally recognized outside the scope of IFRS 9 ("own use" exemption), except for certain specific transactions in electricity, gas or metals. For these specific transactions, cash flow hedge accounting is systematically preferred.

The "own use" classification is applicable when the following conditions are satisfied:

- the volumes purchased or sold under the contracts reflect the operating requirements of the subsidiary;
- the contracts are not subject to net settlement as defined by IFRS 9 and, in particular, physical delivery is systematic;
- the contracts are not equivalent to sales of options, as defined by IFRS 9.

Commodity hedging instruments falling within the application scope of IFRS 9 are derivative instruments and are measured at fair value, calculated using models mostly based on observable data. Fair value gains and losses and the net impact of unwinding these transactions are recognized in operating income.

8.3.1 Management of market risk

The Group uses derivative financial instruments to manage and reduce its risk exposure: within the Veolia Environnement Financing and Treasury Department, the dealing room is directly responsible for implementing and monitoring these hedges, while the Middle and Back Office teams verify transactions and monitor limits, ensuring the security of the transactions processed.

The fair value of derivatives in the Consolidated Statement of financial Position breaks down as follows:

(€ million)	Notes	As of December 31, 2023		As of December 31, 2024	
		Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	8.3.1.1	39	432	30	321
Fair value hedges		-	428	2	309
Cash flow hedges		39	4	28	12
Derivatives not qualifying for hedge accounting		-	-	-	-
Foreign currency derivatives	8.3.1.2	200	232	166	308
Net investment hedges		54	42	22	98
Fair value hedges		99	128	79	186
Cash flow hedges		13	40	8	16
Derivatives not qualifying for hedge accounting		34	22	57	8
Commodity derivatives	8.3.1.3	20	82	37	18
Fair value hedges		-	-	-	-
Cash flow hedges		2	59	34	16
Derivatives not qualifying for hedge accounting		18	22	3	2
TOTAL DERIVATIVES		259	746	233	647
o/w non-current derivatives		50	493	67	365
o/w current derivatives		209	253	166	282

The fair value of derivatives recognized in the Consolidated Statement of Financial Position and the determination method (as described in Note 8.2.1) breaks down as follows:

(€ million)	As of December 31, 2024		Level 2 (in %)		Level 3 (in %)	
	Assets	Liabilities	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	30	321	100%	100%	0%	0%
Foreign currency derivatives	166	308	100%	100%	0%	0%
Commodity derivatives	37	18	100%	100%	0%	0%
TOTAL DERIVATIVES	233	647	100%	100%	0%	0%

Derivatives valued using internal models integrating certain non-observable data were primarily electricity derivatives for which there were no quoted prices in an active market (mainly electricity purchase options with extremely long maturity) or observable market data (forward prices for component materials), in particular for distant maturities. There are no level 3 derivative instruments as of December 31, 2024.

(€ million)	As of December 31, 2023		Level 2 (in %)		Level 3 (in %)	
	Assets	Liabilities	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	39	432	100%	100%	0%	0%
Foreign currency derivatives	200	232	100%	100%	0%	0%
Commodity derivatives	20	82	100%	100%	-	0%
TOTAL DERIVATIVES	259	746	100%	100%	-	0%

8.3.1.1 Management of interest rate risk

The structure of the Group exposes it naturally to the risk of interest rate fluctuations. As such, the cash and cash equivalents position covers floating-rate debt which impacts future financial results according to fluctuations in interest rates.

Short-term debt is primarily indexed to short-term indexes (€STER for the commercial paper program and Euribor/Libor for the main other short-term credit lines). Medium and long-term debt comprises both fixed and floating-rate debt.

Veolia manages a fixed/floating rate position in each currency in order to limit the impact of interest rate fluctuations on its net income and to optimize the cost of debt. For this purpose, it uses interest rate swap and swaption instruments. The Group determines the existence of an economic relationship between the hedging instrument and the hedged item taking account of reference interest rates, the frequency of coupons, the currency and the nominal amount.

These swaps may be classified as fair value hedges or cash flow hedges.

The following table shows the interest-rate exposure of gross debt (defined as the sum of non-current financial liabilities, current financial liabilities and bank overdrafts and other cash position items) before and after hedging.

(€ million)	As of December 31, 2023		As of December 31, 2024	
	Outstandings	% total debt	Outstandings	% total debt
Fixed rate	21,221	73.7 %	20,891	70.6%
Floating rate	7,553	26.3 %	8,700	29.4%
Gross debt before hedging	28,775	100.0 %	29,591	100.0%
Fixed rate	17,547	61.9 %	17,083	58.3%
Floating rate	10,804	38.1 %	12,200	41.7%
Gross debt after hedging and fair value remeasurement of fixed-rate debt	28,351	100.0 %	29,283	100.0%
Fair value adjustments to (assets)/liabilities hedging derivatives	414		367	
GROSS DEBT AT AMORTIZED COST	28,765		29,650	

Total gross debt as of December 31, 2024, after hedging, is 58.3% fixed-rate and 41.7% floating-rate.

The decrease in fixed-rate debt and the increase in floating-rate debt before hedging is mainly due to the redemption, net of issues, this year of fixed-rate euro bond issues in the amount of €575 million and the increase in commercial paper of €1,373 million during the year.

As of December 31, 2024, the Group has cash and cash equivalents of €9,601 million, the majority of which bears interest at floating rates.

The Group manages its exposure to interest rate fluctuations based on floating-rate gross financial debt net of cash.

The Group's net floating-rate position after hedging (liability position) is -€581 million, maturing €4,785 million in less than one year, -€2,921 million in 1 to 5 years and -€2,445 million after 5 years.

Fixed-rate receiver / floating-rate payer swaps (€ million)	Notional contract amount by maturity				Fair value of derivatives	
	Total	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
As of December 31, 2024	4,500	200	2,900	1,400	2	309
As of December 31, 2023	4,500	-	3,000	1,500	-	428

As of December 31, 2024, accumulated fair value hedging adjustments to bond issues included in their net carrying amount totaled + €14 million.

Interest rate fair value hedges

The risk of volatility in the value of debt is hedged by fixed-rate receiver/ floating-rate payer swaps which change bond issues to floating-rate debt (see Note 8.1.1.1) recorded in non-current and current financial liabilities.

Fair value hedging swaps represent a notional outstanding amount of €4,500 million as of December 31, 2024, stable on December 31, 2023, with a net fair value in the Consolidated Statement of Financial Position of -€307 million as of December 31, 2024, compared with -€428 million as of December 31, 2023, as follows:

The +€119 million increase in fair value is due to the decrease in euro forward rates as of December 31, 2024, compared with the end of 2023, the notional outstanding remaining unchanged. It is offset by the fair value remeasurement of the debt relating to the hedged risk in the amount of -€119 million. A review of the inefficiency of these hedging instruments did not give rise to any material impacts.

Interest rate cash flow hedges

The Group has entered into interest rate swaps to fix the cost of existing floating-rate debt or the cost of future debt issues.

Cash flow hedging swaps represent a notional outstanding amount of €1,315 million as of December 31, 2024, compared with €1,268 million as of December 31, 2023, with a net fair value of +€16 million as of December 31, 2024, compared with +€35 million as of December 31, 2023.

The increase in notional outstanding is essentially due to the implementation of new hedges for €300 million and the maturity of swaps for a total amount of €250 million.

The -€19 million decrease in the portfolio value is due to the fall in euro forward rates during the period, as new transactions were performed at the end of 2024 and had little impact on the total fair value.

The efficiency of these hedging instruments was measured but did not give rise to any material impacts.

Floating-rate receiver / fixed-rate payer swaps / purchases of caps (€ million)	Notional contract amount by maturity				Fair value of derivatives	
	Total	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
As of December 31, 2024	1,315	-	1,000	315	28	12
As of December 31, 2023	1,268	250	1,000	18	39	4

An amount of -€11 million, net of tax, was recorded directly in equity attributable to owners of the Company in respect of cash flow hedge interest-rate derivatives as of December 31, 2024. -€4 million was released from equity to the income statement as of December 31, 2023.

Contractual flows on interest rate swaps are paid at the same time as contractual flows on floating-rate borrowings and the amount recorded in other comprehensive income is released to net income in the period in which interest flows on the debt impact the Consolidated Income Statement.

Interest-rate derivatives not qualifying for hedge accounting

A certain number of derivatives do not qualify as hedges under IFRS 9. The Group does not, however, consider these transactions to be of a speculative nature and views them as necessary for the effective management of its exposure to interest rate risk.

(€ million)	Notional contract amount as of December 31, 2024				Fair value of derivatives	
	Total	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Total firm financial instruments	215	215	-	-	-	-
TOTAL INTEREST-RATE DERIVATIVES NOT QUALIFYING FOR HEDGE ACCOUNTING	215	215	-	-	-	-

The decrease in the portfolio of interest-rate derivatives not qualifying for hedge accounting between 2023 and 2024 is mainly due to the change in short-term financial instruments hedging cash investments.

As a reminder, the breakdown as of December 31, 2023 was as follows:

(€ million)	Notional contract amount as of December 31, 2023				Fair value of derivatives	
	Total	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Total firm financial instruments	839	839	-	-	-	-
TOTAL INTEREST-RATE DERIVATIVES NOT QUALIFYING FOR HEDGE ACCOUNTING	839	839	-	-	-	-

8.3.1.2 Management of foreign exchange risk

The Group's international activities generate significant foreign currency flows.

The Group's central treasury department manages foreign exchange risk centrally within limits set by the Chief Financial Officer.

Foreign exchange risk, as defined by IFRS 7, mainly results from:

- foreign currency-denominated purchases and sales of goods and services relating to operating activities and the related hedges (e.g. currency forwards). The Group has no significant exposure to foreign exchange transaction risk. Indeed, the activities of the Group are performed by subsidiaries operating in their own country and their own currency. Exposure to foreign exchange risk is therefore naturally limited;

- foreign currency-denominated financial assets and liabilities including foreign currency-denominated loans/borrowings and related hedges (e.g. forex swaps). With many operations worldwide, Veolia organizes financing in local currencies. In the case of inter-company financing, these credit lines can generate foreign exchange risk. In order to limit the impact of this risk, Veolia has developed a policy which seeks to back foreign-currency financing and foreign currency derivatives with inter-company receivables denominated in the same currency. The asset exposure hedging strategy primarily involves hedging certain net foreign investments and ensuring that Group companies do not have a material balance sheet foreign exchange position that could generate significant volatility in foreign exchange gains and losses;

- investments in foreign subsidiaries reflected by the translation of accounts impacting the translation reserves. The Group determines the economic relationship between the hedging instrument and the hedged item by comparing changes in the value of the hedging instrument attributable to a change in the spot foreign exchange rate with the impact of changes in this same rate on the hedged instrument. It is Group policy to align the key characteristics of hedging instruments (currency, nominal amount, maturity, etc.) with the hedged item.

Foreign exchange risk with regard to the cost of net financial debt

With many operations worldwide, Veolia organizes financing in local currencies.

The foreign currency debt borne by the parent company, Veolia Environnement SA, is generally hedged using either derivative instruments or assets in the same currency.

The cost of the Group's net financial debt, i.e. a euro-equivalent of -€590 million as of December 31, 2024, is primarily denominated in EUR (55 %), USD (18%), GBP (3%), CZK (1%), CNY (5%), PLN (4%), HUF (2%) and CLP (6%).

A 10% appreciation in the main currencies to which the Group is exposed (GBP, USD, PLN, CLP, HUF, CZK and CNY) against the euro would generate a €26 million increase in the net finance cost, while a 10% depreciation in these currencies would generate a €21 million decrease in the net finance cost.

Translation risk

Due to its international presence, the translation of the income statements of the Group's foreign subsidiaries is sensitive to exchange rate fluctuations.

The following table summarizes the sensitivity of certain Group Consolidated Income Statement aggregates to a 10% increase or decrease in foreign exchange rates against the euro, with regard to the translation of financial statements of foreign subsidiaries.

(€ million)	Contribution to the consolidated financial statements								Sensitivity to a change of :		
	Euro	Pound sterling	US dollar	Polish zloty	Czech koruna	Australian dollar	Chinese renminbi	Other currencies	Total	10%	-10%
Revenue	18,812	3,110	5,328	3,027	2,072	2,113	978	9,253	44,692	2,864	-2,343
Operating income	733	320	475	267	212	133	101	772	3,012	253	-207

Foreign exchange and translation risk in the Consolidated Statement of Financial Position

Due to its international presence, the Group's Consolidated Statement of Financial Position is exposed to exchange rate fluctuations. A fluctuation in the euro impacts the translation of subsidiary foreign currency denominated assets in the Consolidated Statement of Financial Position.

For its most significant assets, the Group has issued debt in the relevant currencies. The main net assets of the Group are located in the United States, the United Kingdom, China, Poland, Australia, Chile and the Czech Republic. A 10% appreciation in the currencies of the above countries would increase net assets by €1,670 million, while a 10% depreciation in these currencies would reduce net assets by -€1,366 million.

Hedge of a net investment in a foreign operation

Financial instruments designated as net investment hedges break down as follows:

Financial instrument (€ million)	Notional amount as of December 31, 2024 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Currency payer swaps	85	85	-	-	-	4
Currency receiver swaps	75	75	-	-	3	-
Options	3,786	3,722	64	-	18	69
Cross currency swaps	60	-	60	-	1	25
TOTAL	4,006	3,882	124	-	22	98

The above currency swaps are short-term but are generally renewed at maturity, until financing of an appropriate term is secured in the currency of the related country.

Options are mainly hedging strategies using collars.

It is Group policy to hedge the net investment only in the nominal amount of the foreign currency debt financing the securities.

Inter-company loans and receivables forming part of a foreign investment (IAS 21) are nearly systematically hedged by foreign currency external financing or foreign currency derivatives (cross currency swaps, currency forwards, collars) meeting IFRS 9 criteria for hedge accounting.

Foreign exchange gains and losses recorded in foreign exchange translation reserves in respect of hedging instruments are systematically offset by foreign exchange gains and losses recognized in foreign exchange translation reserves on loans forming part of the net investment, unless:

- the inter-company loan forming part of the net investment in a foreign operation is not hedged;
- the hedge is partially ineffective due to a difference between the nominal amount of the hedge and the amount of the hedged net asset;
- only the net assets of the foreign subsidiary (excluding the loan forming part of the net investment) are hedged.

A breakdown of foreign exchange gains and losses recorded in Group foreign exchange translation reserves as of December 31, 2024 is presented in Note 9.2.4.

As a reminder, the breakdown as of December 31, 2023 was as follows:

Financial instrument (€ million)	Notional amount as of December 31, 2023 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Currency payer swaps	308	308	-	-	10	-
Currency receiver swaps	295	295	-	-	-	7
Options	3,338	3,274	64	-	43	15
Cross currency swaps	60	-	60	-	1	20
TOTAL	4,001	3,877	124	-	54	42

Foreign currency fair value hedges

Financial instruments designated as fair value hedges break down as follows:

Financial instrument (€ million)	Notional amount as of December 31, 2024 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Forward purchases	1,884	1,826	58	-	32	12
Forward sales	7,711	7,301	410	-	47	174
FOREIGN CURRENCY DERIVATIVES : FAIR VALUE HEDGES	9,595	9,127	467	-	79	186

The fair value hedges presented above mainly consist of foreign currency swaps hedging balance sheet items. They mainly concern hedges of internal financing and, to a lesser extent, hedges of construction contracts or sales of water treatment equipment and solutions. The impact of these hedges is offset by the remeasurement of the underlying items.

Financial instrument (€ million)	Notional amount as of December 31, 2023 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Forward purchases	1,206	1,186	20	-	11	19
Forward sales	7,463	6,640	823	-	88	109
FOREIGN CURRENCY DERIVATIVES : FAIR VALUE HEDGES	8,669	7,826	843	-	99	128

Foreign currency cash flow hedges

Financial instruments designated as cash flow hedges break down as follows:

Financial instrument (€ million)	Notional amount as of December 31, 2024 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Forward purchases	152	143	8	-	1	2
Forward sales	542	534	8	-	7	14
FOREIGN CURRENCY DERIVATIVES : CASH FLOW HEDGES	693	677	16	-	8	16

The cash flow hedges presented above mainly consist of forward purchases/sales of foreign currencies different from the functional currencies of the entities concerned, in connection with their own activities.

They mainly include currency hedges in respect of commodity purchases and sales in Central Europe.

Financial instrument (€ million)	Notional amount as of December 31, 2023 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Forward purchases	281	274	7	-	11	2
Forward sales	551	549	2	-	2	38
FOREIGN CURRENCY DERIVATIVES : CASH FLOW HEDGES	832	823	9	-	13	40

Hedges of currency exposure in the Consolidated Statement of Financial Position by derivatives not qualifying for hedge accounting

Financial instrument (€ million)	Notional amount as of December 31, 2024 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Currency receiver swaps and forward purchases	5,071	5,071	-	-	54	6
Currency payer swaps and forward sales	3,104	3,104	-	-	3	2
FOREIGN CURRENCY DERIVATIVES NOT QUALIFYING FOR HEDGE ACCOUNTING	8,175	8,175	-	-	57	8

The above portfolio of foreign currency derivatives was mainly contracted by Veolia Environnement to hedge its foreign currency-denominated net financial debt (comprising foreign currency-denominated borrowings and foreign currency-denominated inter-company loans and borrowings).

Financial instrument (€ million)	Notional amount as of December 31, 2023 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Currency receiver swaps and forward purchases	4,111	4,111	-	-	18	2
Currency payer swaps and forward sales	1,306	1,306	-	-	16	20
FOREIGN CURRENCY DERIVATIVES NOT QUALIFYING FOR HEDGE ACCOUNTING	5,417	5,417	-	-	34	22

8.3.1.3 Management of commodity risk

Energy, commodity and consumable purchases represent a major operating expense for the Group's businesses, in particular diesel for waste collection, coal, gas or biomass for the supply of energy services, and electricity for water treatment and distribution. The Group is therefore exposed to fluctuations in their price.

The long-term contracts entered into by Veolia generally include price review and/or indexation clauses which enable it to pass on the majority of any increases in commodity or fuel prices to the price of services sold to customers, even if this may be performed with a time delay.

Nonetheless, as part of supply management and cost optimization measures or to hedge future production, certain Group subsidiaries may be required, depending on their activities, to contract forward purchases or sales of commodities and set-up derivatives to fix the cost of commodities supply or the selling price of commodities produced (electricity).

These transactions form part of the Group's commodity risk management policy, which seeks to establish a progressive hedge over three years (where possible) in order to limit results volatility.

As of December 31, 2024, the fair value of commodity derivatives is recorded €37 million in assets and €18 million in liabilities.

(€ million)	As of December 31, 2023		As of December 31, 2024	
	Assets	Liabilities	Assets	Liabilities
Commodity derivatives	20	81	37	18
Electricity	17	11	5	17
Petroleum products	-	-	-	-
CO ₂	-	-	1	-
Coal	-	1	-	-
Gas	3	69	31	1
Other	-	-	-	-

These derivatives break down by hedge type as follows:

(€ million)	As of December 31, 2023		As of December 31, 2024	
	Assets	Liabilities	Assets	Liabilities
Commodity derivatives	20	81	37	18
Fair value hedges	-	-	-	-
Cash flow hedges	2	59	34	16
Derivatives not qualifying for hedge accounting	18	22	3	2

The increase in value of the commodity derivatives portfolio is essentially due to significant gas price hedges maturing and new gas and electricity hedges being implemented at lower prices than those observed at December 31, 2023.

Greenhouse gases

Regulatory constraints and management policy

As a combustion plant operator, the Group is exposed to the risks inherent to the Emissions Trading Scheme (EU ETS) introduced by the European Union in 2005.

To accelerate the rate of emission reductions, Phase 4 (2021-2030) provides for a 2.2% annual decrease in the total number of emission allowances (free grant of allowances). In December 2022, the European Parliament and Council reached a provisional agreement providing for an increase in the annual reduction rate of the emission cap by 4.3% per year from 2024 to 2027 and 4.4% from 2028 to 2030. The Council formally adopted this new trajectory in April 2023.

Under European regulations, the actual emissions position is determined each year and the corresponding rights surrendered. In addition to the Group's greenhouse gas emissions reduction policy, Veolia is therefore required to purchase or sell emission rights, depending on whether actual emissions are greater or lesser than emission rights allocated under the hedging policy described above.

In addition, China also officially launched a country-wide Emissions Trading Scheme in 2021, focusing initially on electricity producers. The impacts are not material at this stage for the Group.

Accounting treatment adopted by the Group

In the absence of specific IFRS provisions, the Group has adopted the "net liability approach," which involves the recognition of a liability at the period end if actual emissions exceed allowances held, in accordance with IAS 37.

Allowances are managed as a production cost and, in this respect, are recognized in inventories at:

- nil value, when they are received free of charge;
- acquisition cost, if purchased for valuable consideration on the market.

Transactions in these allowances performed on the forward market are generally recognized outside the application scope of IFRS 9 ("own use" exemption).

The position in 2024 is as follows:

Volumes (in thousands of metric tons)	As of January 1st, 2024	Changes in consolidation scope	Granted	Purchased/ Sold/ Cancelled	Used	As of December 31, 2024
TOTAL	871	-12	2,337	4,491	-7,313	374

The inventory of 374 thousand metric tons is equivalent to approximately €26 million as of December 31, 2024, based on a spot price of €70.95 per metric ton.

8.3.2 Management of liquidity risk

The operational management of liquidity and financing is managed by the Treasury and Financing Department. This management involves the centralization of major financing in order to optimize liquidity and cash.

The Group secures financing on international bond markets, international private placement markets, the treasury note market and the bank lending market (see Note 8.1.1.4 – Non-current and current financial liabilities).

8.3.2.1 Maturity of financial liabilities

As of December 31, 2024, undiscounted contractual flows on net financial debt break down by maturity date as follows:

(€ million)	As of December 31, 2024		Maturity of undiscounted contractual flows					
	Carrying amount	Total undiscounted contractual flows	2025	2026	2027	2028	2029	Beyond 5 years
Bond issues ⁽¹⁾	17,783	22,893	1,855	1,876	2,997	2,401	1,731	12,032
Other liabilities and bank overdrafts	9,514	9,949	7,700	328	296	333	234	1,058
Gross financial liabilities excluding IFRS 16 and the impact of amortized cost and hedging derivatives	27,297	32,842	9,555	2,204	3,293	2,734	1,965	13,090
IFRS 16 lease debt	1,985	2,173	490	383	278	239	137	646
Gross financial liabilities excluding the impact of amortized cost and hedging derivatives	29,282	35,015	10,045	2,588	3,572	2,973	2,102	13,736
Impact of derivatives hedging debt	367							
Gross financial liabilities	29,649	35,015	10,045	2,588	3,572	2,973	2,102	13,736
Cash and cash equivalents	-9,601							
Liquid assets and financing financial assets	-2,018							
Net financial debt	18,031	35,015	10,045	2,588	3,572	2,973	2,102	13,736

(1) Excluding the impact of amortized cost and derivatives hedging debt.

8.3.2.2 Net liquid asset positions

Liquid assets of the Group as of December 31, 2024 break down as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024
Veolia Environnement:		
Undrawn MT syndicated loan facility	4,500	4,500
Undrawn MT bilateral credit lines	727	724
Undrawn ST bilateral credit lines	75	-
Letters of credit facility	-	-
Cash, cash equivalents, liquid assets and financing assets	8,344	9,349
Subsidiaries:		
Bilateral Credit lines	689	949
Cash, cash equivalents, liquid assets and financing assets	2,244	2,270
TOTAL LIQUID ASSETS	16,579	17,792
Current debt and bank overdrafts and other cash position items		
Current debts	7,662	9,281
Bank overdrafts and other cash position items	379	197
TOTAL CURRENT DEBTS AND BANK OVERDRAFTS AND OTHER CASH POSITION ITEMS	8,041	9,478
TOTAL LIQUID ASSETS NET OF CURRENT DEBTS AND BANK OVERDRAFTS AND OTHER CASH POSITION ITEMS, LIQUID ASSETS AND FINANCING ASSETS	8,538	8,313

As of December 31, 2024, Veolia has total liquid assets of €18 billion, including cash and cash equivalents of 12 billion.

As of December 31, 2024, cash equivalents are mainly held by Veolia Environnement in the amount of €7,134 million. They comprise monetary UCITS of €3,872 million and term deposit accounts of €3,262 million.

Confirmation of the credit outlook

On September 10, 2024, Standard and Poor's confirmed Veolia Environnement's credit rating at A-2/BBB with a stable outlook.

On April 12, 2024, Moody's confirmed the Group's rating at P-2/Baa1 with a stable outlook.

Refinancing of the multi-currency liquidity lines

The Group decided to refinance its two syndicated loan facilities (€3 billion historic syndicated facility and €2.5 billion former-Suez syndicated facility) at the beginning of March 2023, securing a new €4.5 billion single syndicated loan facility. On February 16, 2024, this syndicated loan was extended until 2029.

This syndicated loan facility is undrawn as of December 31, 2024.

Renewal of bilateral credit lines

Veolia Environnement has bilateral credit lines of a total undrawn amount of 724 million as of December 31, 2024.

Veolia Environnement may draw on the multi-currency syndicated loan facility and all credit lines at any time.

Undrawn confirmed credit lines mature as follows:

(€ million)	As of December 31, 2024		Maturing in				
	Total	2025	2026	2027	2028	2029	2030
Undrawn syndicated loan facility	4,500	-	-	-	-	4,500	-
Credit lines	1,673	726	263	150	234	150	150
Letters of credit facility	-	-	-	-	-	-	-
TOTAL	6,173	726	263	150	234	4,650	150

8.3.2.3 Information on early debt repayment clauses

Veolia Environnement debt

The legal documentation for bank financing and bond issues contracted by the Company does not contain any financial covenants, i.e. obligations to comply with a debt coverage ratio or a minimum credit rating which, in the event of non-compliance, could lead to the early repayment of the relevant financing.

Subsidiary debt

Certain project financing or financing granted by multilateral development banks to the Group's subsidiaries contain financial covenants (as defined above).

Based on due diligence performed within the subsidiaries, the Group considers that the covenants included in the Group's material financing agreements were satisfied (or had been waived by lenders) as of December 31, 2024.

8.3.3 Management of credit risk

The Group is exposed to counterparty risk in various areas: its operating activities, cash investment activities and derivatives.

8.3.3.1 Counterparty risk relating to operating activities

Credit risk must be considered separately with respect to operating financial assets and operating receivables. Credit risk on operating financial assets is appraised via the rating of primarily public customers. Credit risk on other operating receivables is appraised through an analysis of late payment and/or default by customers taking account of their nature (public/private) as detailed below.

Group customer credit risk analysis may be broken down into the following four categories (Public customers – Delegating authority, Private customers – Individuals, Public customers – Other and Private customers – Companies):

(€ million)	Note	At December 31, 2024			Breakdown by customer type			
		Gross carrying amount	Impairment losses	Net carrying amount	Public customers - Delegating authority	Private customers - Individuals	Public customers - Other	Private customers - Companies
Non-current and current operating financial assets	5.4	1,371	-17	1,353	1,024	-	10	319
Trade receivables	5.3	10,931	-1,122	9,809	2,474	2,165	1,318	3,852
Other current operating receivables	5.3	1,852	-53	1,798	236	60	93	1,409
Non-current financial assets in loans and receivables	8.1.2	568	-68	500	46	131	18	305
Current financial assets in loans and receivables	8.1.2	384	-41	342	77	10	6	249
LOANS AND RECEIVABLES		15,105	-1,302	13,803	3,856	2,366	1,446	6,135
Other financial assets	8.1.2	2,087	-25	2,062	24	13	1	2,024
TOTAL AS OF DECEMBER 31, 2024		17,192	-1,326	15,865	3,880	2,380	1,446	8,159
TOTAL AS OF DECEMBER 31, 2023		17,816	-1,540	16,276	3,479	2,615	1,525	8,655

Assets past due and not impaired break down as follows:

(€ million)	Note	Assets past due but not impaired				
		Net carrying amount	Amount not yet due	0-6 months	6 months – 1 year	More than 1 year
Non-current and current operating financial assets	5.4	1,353	1,343	2	4	4
Trade receivables	5.3	9,809	7,743	1,437	351	278
Other current operating receivables	5.3	1,798	1,627	31	84	57
Non-current financial assets in loans and receivables	8.1.2	500	500	-	-	-
Current financial assets in loans and receivables	8.1.2	342	339	2	-	1
LOANS AND RECEIVABLES AS OF DECEMBER 31, 2024		13,803	11,551	1,473	439	341
Other non-current and current financial assets	8.1.2	2,062	2,023	40	-	-
TOTAL AS OF DECEMBER 31, 2024		15,865	13,573	1,513	438	341
TOTAL AS OF DECEMBER 31, 2023		16,276	13,462	1,994	396	422

As of December 31, 2024, trade receivables totaling € 9,809 million include unbilled revenue for €4,090 million, against € 10,355 million and €3,752 million as of December 31, 2023.

As of December 31, 2024, trade receivables over six months past due have a gross carrying amount of €1,639 million, impaired for €1,010 million, representing a total net value of €629 million. They represent 6.4% of total net receivables, compared with €612 million (5.9%) as of December 31, 2023.

Trade receivables over six months are mainly concentrated in France and Italy and primarily concern local authorities (municipalities or equivalent).

In Italy, net trade receivables total €385 million, including €113 million over six months past due as of December 31, 2024, against €178 million and €50 million, respectively, as of December 31, 2023.

8.3.3.2 Counterparty risk relating to investment and hedging activities

The Group is exposed to credit risk relating to the investment of its surplus cash and its use of derivative instruments in order to manage interest rate and foreign exchange risk. Credit risk corresponds to the loss that the Group may incur should a counterparty default on its contractual obligations. In the case of derivative financial instruments, this risk corresponds to the fair value of all the instruments contracted with a counterparty insofar as this value is positive.

The Group minimizes counterparty risk through internal control procedures limiting the choice of banking counterparties to leading banks and financial institutions (banks and financial institutions with a minimum Moody's, Standard & Poor's or Fitch's rating of A3/P3/F3 respectively for transactions with a term of less than one year and of A2/A/A respectively for transactions with a term of more than one year, unless justified). Limits are determined for each counterparty based primarily on the rating awarded by the rating agencies, the size of their equity and commitments given to the Group and are reviewed regularly. In addition, the Group has set-up Credit Support Annexes with its main counterparties limiting counterparty risk using margin call mechanisms.

Counterparty risk on financial operations is monitored on an ongoing basis by the middle-office within the Group Finance Department. The Group is not exposed to any risk as a result of material concentration.

Veolia Environnement cash surpluses are managed with a profitability objective close to that of the money market, avoiding exposure to capital risk and maintaining a low level of volatility.

(€ million)	2023	2024
Expenses on gross debt	-627	-703
Assets at fair value through profit or loss (fair value option) ⁽¹⁾	313	318
Net gains and losses on derivative instruments, hedging relationships and other	-225	-205
COST OF NET FINANCIAL DEBT	-539	-590

(1) Cash equivalents are valued at fair value through profit or loss.

The cost of net financial debt (including the impact of remeasurement of financial liabilities of €62 million) totaled -€590 million for the year ended December 31, 2024, compared with -€539 million for the year ended December 31, 2023. This increase in the Group's cost of net financial debt is mainly due to the non-recurring exceptional income recorded in 2023 for €30 million.

8.4 Financial income and expenses

8.4.1 Cost of net financial debt

Finance costs consist of interest payable on borrowings calculated using the amortized cost method and losses on interest rate derivatives, both qualifying and not qualifying as hedges.

Interest costs included in payments under lease finance contracts are recorded using the effective interest method.

Finance income consists of gains on interest rate derivatives, both qualifying and not qualifying as hedges and income from cash investments and equivalents.

Interest income is recognized in profit or loss when earned, using the effective interest method.

Finance costs and finance income represent the cost of financial liabilities net of income from cash and cash equivalents. In addition, the cost of net financial debt includes net gains and losses on derivatives allocated to debt, irrespective of whether they qualify for hedge accounting.

Finance income totals €503 million. Expenses, including expenses on derivative instruments and hedging relationships amounted to -€1,093 million as of December 31, 2024.

The cost of net financial debt presented in the Consolidated Cash Flow Statement reflects the cost of net financial debt of continuing operations presented above and the cost of net financial debt of discontinued operations of nil for the year ended December 31, 2024.

The heading "Interest paid" in the Consolidated Cash Flow Statement reflects the cost of net financial debt of continuing and discontinued operations adjusted for accrued interest of -€1 million and fair value adjustments to hedging derivatives of -€6 million in 2024.

Net gains and losses on derivative instruments, hedging relationships and other mainly include the following amounts in the year ended December 31, 2024:

- a net interest expense on hedging relationships (fair value hedges and cash flow hedges) of -€214 million;
- net losses on derivatives not qualifying for hedge accounting of -€10 million, mainly on foreign currency derivatives.

In addition, the charge relating to the ineffective portion of net investment hedges and cash flow hedges was not material in 2024 or 2023.

8.4.2 Other financial income and expenses

Other financial income and expenses primarily include capital gains and losses on disposals of financial assets, net of disposal costs, the unwinding of discounts on provisions, interest on concession liabilities and interest on IFRS 16 lease debt.

(€ million)	2023	2024
Net gains and losses on loans and receivables	-56	2
Capital gains and losses on disposals of financial assets, net of disposal costs	53	65
Dividends received	3	3
Assets and liabilities at fair value through profit and loss	-	-
Unwinding of the discount on provisions	-49	-55
Foreign exchange gains and losses and fair value adjustments	-79	-89
Interest on concession liabilities	-84	-86
Interest on IFRS 16 lease debt	-58	-66
Other	-169	-81
OTHER FINANCIAL INCOME AND EXPENSES	-439	-309

As of December 31, 2023, the net gains and losses on loans and receivables were mainly due to the impairment of shareholder loans in Northern Europe in the amount of -€44 million.

In 2024, capital gains on financial divestitures total +€65 million and mainly comprise the capital gain on the disposal of the SADE Group and of Veolia North America Regeneration Services in the United States.

In 2023, capital gains on financial divestitures totaled €53 million and mainly comprised the capital gain on the divestiture of Italian water concessions for €15 million and the divestiture of a Spanish entity for €16 million.

As of December 31, 2023, other financial income and expenses were mainly due to costs relating to the legal restructuring in Canada of -€32 million, as well as the interest paid as part of dispute in Lithuania for -€17 million.

8.5 Financing commitments

8.5.1 Financing commitments given

Debt guarantees: these relate to guarantees given to financial institutions in connection with the financial liabilities of non-consolidated companies and equity-accounted entities, when the commitment covers the entire amount.

Letters of credit: letters of credit delivered by financial institutions to Group creditors, customers and suppliers guaranteeing operating activities.

Off-balance sheet commitments given break down as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024	Maturing in		
			Less than 1 year	1 to 5 years	More than 5 years
Letters of credit	84	12	9	2	1
Debt guarantees	77	49	4	36	9
Other financing commitments given	80	87	11	28	48
TOTAL FINANCING COMMITMENTS GIVEN	241	148	24	67	58

Commitments on lease contracts entered into by the Group are analysed in Note 7.4.

8.5.2 Financing commitments received

Financing commitments received total €133 million as of December 31, 2024, compared with €253 million as of December 31, 2023.

The breakdown by type of asset is as follows (€ million):

Type of pledge /mortgage (€ million)	Amount pledged (a)	Total Consolidated Statement of Financial Position (b)	Corresponding % (a)/(b)
Intangible assets	16	8,085	0.2%
Property, plant and equipment	428	17,933	2.4%
Financial assets ⁽¹⁾	18		
Total non-current assets	462	45,149	
Current assets	8	27,809	0.0%
TOTAL ASSETS	469	72,959	

(1) As financial assets pledged as collateral are shares of consolidated subsidiaries and other financial assets, the ratio of pledged assets to total assets in the Consolidated Statement of Financial Position is not significant.

The breakdown by maturity is as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024	Maturing in		
			Less than 1 year	1 to 5 years	More than 5 years
Intangible assets	21	16	2	6	8
Property, plant and equipment	424	428	9	27	392
Mortgage pledge	52	48	8	17	23
Other PP&E pledge ⁽¹⁾	372	380	1	10	369
Financial assets	28	18	-	-	18
Current assets	7	8	0	0	8
Pledges on receivables	-	-	0	0	0
TOTAL	480	469	11	33	426

(1) Mainly equipment and rolling stock.

Note 9 EQUITY AND EARNINGS PER SHARE**9.1 Share capital management procedures**

Veolia Environnement manages its share capital within the framework of a prudent and rigorous financial policy that seeks to ensure easy access to French and international capital markets, to enable investments in projects that create value and provide shareholders with a satisfactory remuneration, while maintaining an "Investment Grade" credit rating.

On May 28, 2019, Veolia Environnement entered into a liquidity contract with Kepler Cheuvreux, effective June 1, 2019, for an initial period expiring on December 31, 2019, tacitly renewable thereafter for periods of one year.

9.2 Equity attributable to owners of the Company**9.2.1 Share capital**

The share capital is fully paid-up.

9.2.1.1 Share capital increase dedicated to employees

In 2024, Veolia Environnement carried out an initial share capital increase on May 6, 2024 of approximately €3.7 million deducted from additional paid-in capital, following the vesting to beneficiaries of rights to performance shares granted by decision of the Board of Directors on May 4, 2021, increasing the share capital to €3,630,742,570.

On September 13, 2024, Veolia Environnement performed a second share capital increase of approximately €356 million, including issue premiums, as part of the 2024 Sequoia employee share ownership plan, using the delegation of authority granted by the Combined General Meeting of April 25, 2024, increasing the share capital to €3,703,263,040. The expenses relating to this transaction were deducted from additional paid-in capital for approximately €1 million.

In 2023, Veolia Environnement carried out an initial share capital increase on May 9, 2023 of approximately €4 million deducted from additional paid-in capital, following the vesting to beneficiaries of rights to performance shares granted by decision of the Board of Directors on May 5, 2020, increasing the share capital to €3,576,919,375.

On December 13, 2023, Veolia Environnement performed a second share capital increase of approximately €222 million, including issue premiums, as part of the 2023 Sequoia employee share ownership plan, using the delegation of authority granted by the Combined General Meeting of April 27, 2023, increasing the share capital to €3,627,058,335. The expenses relating to this transaction have been deducted from additional paid-in capital for approximately €1 million.

9.2.1.2 Number of shares outstanding and par value

The share capital represented 725,411,667 shares as of December 31, 2023 and 740,652,608 as of December 31, 2024. The par value of each share is €5.

9.2.1.3 Authorized but unissued shares

For the financial management of Veolia Environnement, resolutions authorizing share capital increases approved every two years by Veolia Environnement's General Shareholders' Meeting are intended to authorize the Board of Directors to increase the share capital subject to certain conditions and limits. They allow the nature of financial instruments issued to be adapted in line with financing requirements and the situation of the French and international capital markets.

In addition to the annual resolutions on share capital increases reserved for Group employees and managers, these resolutions, approved by the General Meeting of April 25, 2024, are broadly divided into two categories and subject to the following share capital increase ceilings:

- resolutions authorizing share capital increases with preferential subscription rights (PSR) subject to a maximum par value amount capped at app €1.1 billion (i.e. approximately 30% of the Company's share capital on the date of the General Meeting that approved these resolutions); and
- resolutions authorizing share capital increases without PSR subject to an overall maximum par value amount capped at €363 million (i.e. approximately 10% of the Company's share capital on the date of the General Meeting that approved these resolutions).

The use of these resolutions may not lead to share capital increase transactions with or without PSR exceeding a second overall cap of a par value amount of €1.1 billion (approximately 30% of the Company's share capital on the date of the General Meeting that approved these resolutions).

All these authorizations are suspended during a takeover bid made by a third party and aimed at taking control of the Company.

Fiscal years 2023 and 2024

Fiscal year 2023: 210,171,514 shares could be issued pursuant to the share capital increase authorizations granted by the General Meeting of June 15, 2022, based on 700,571,716 shares comprising the Company's share capital as of June 15, 2022.

10,837,300 shares were issued in 2023 from among the 210,171,514 above-mentioned authorized shares.

Fiscal year 2024: 217,623,500 shares could be issued pursuant to the share capital increase authorizations granted by the General Meeting of April 25, 2024, based on 725,411,667 shares comprising the Company's share capital as of April 25, 2024.

15,240,941 shares were issued in 2024 from among the 217,623,500 above-mentioned authorized shares.

9.2.2 Offset of treasury shares against equity

Treasury shares are deducted from equity.

Gains or losses arising from the sale of treasury shares and related dividends are recognized directly in equity and do not impact the Consolidated Income Statement.

9.2.2.1 Purchases and sales of treasury shares

Purchase and sale transactions in Veolia Environnement shares under the liquidity contract in 2024 and 2023 were as follows:

	2023	2024
Number of shares purchased during the year	9,685,607	11,380,601
Number of shares sold during the year	9,856,579	11,025,775

As of December 31, 2023, and 2024, Veolia Environnement holds 162,970 and 517,796 shares under the liquidity agreement. A €20 million drawdown authorization was granted for the operation of this liquidity agreement.

Treasury shares as of December 31, 2023, and 2024, amount to 10,362,269 and 10,651,380 shares, respectively.

9.2.2.2 Equity risk

As of December 31, 2024, Veolia Environnement holds 10,651,380 of its own shares, of which 6,370,621 are allocated to external growth transactions and 4,280,759 were acquired for allocation to employees under employee savings plans. These shares have a market value of €289 million, based on a share price of €27 and a net carrying amount of €376 million deducted from equity.

9.2.3 Appropriation of net income and dividend

The Combined General Meeting of April 25, 2024 approved payment of a dividend of €1.25 per share for 2023, payable in cash. The 2023 dividend was paid from May 10, 2024 for a total amount of €895 million.

In 2023, dividends of €787 million were paid by Veolia Environnement.

9.2.4 Foreign exchange gains and losses

Accumulated foreign exchange gains and losses total -€260 million as of December 31, 2024 (attributable to owners of the Company).

In 2024, the change in foreign exchange gains and losses primarily reflects fluctuations in the US dollar (€428 million), the pound sterling (€56 million), the Hong Kong dollar (-€35 million) and the Chinese renminbi (€33 million).

Accumulated foreign exchange gains and losses total -€583 million as of December 31, 2023 (attributable to owners of the Company).

In 2023, the change in foreign exchange gains and losses primarily reflects fluctuations in the Chinese renminbi (-€122 million), the US dollar (-€253 million), the Argentinian peso (-€154 million), the Czech koruna (-€58 million) and the Russian ruble (-€49 million).

Movements in foreign exchange translation reserves (attributable to owners of the Company and to non-controlling interests)

(€ million)	Total	o/w Attributable to owners of the Company
Translation differences on the financial statements of subsidiaries drawn up in a foreign currency	-302	-301
Translation differences on net foreign investments	-279	-282
As of December 31, 2023	-581	-583
Translation differences on the financial statements of subsidiaries drawn up in a foreign currency	366	386
Translation differences on net foreign investments	-68	-63
Movements in 2024	298	323
Translation differences on the financial statements of subsidiaries drawn up in a foreign currency	64	85
Translation differences on net foreign investments	-347	-345
AS OF DECEMBER 31, 2024	-283	-260

Breakdown by currency of foreign exchange translation reserves attributable to owners of the Company

(€ million)	As of December 31, 2023	Change	As of December 31, 2024
Chinese renminbi	120	33	153
US dollar	240	428	668
Czech koruna	-39	-23	-62
Australian dollar	-26	-18	-44
Mexican peso	-24	-5	-29
Polish zloty	-39	6	-33
Argentinian peso	-331	-14	-345
Pound sterling	-160	56	-104
Hong Kong dollar	-228	-35	-263
Colombian peso	-32	-19	-51
Hungarian forint	-47	-18	-64
Romanian leu	-26	-	-26
Swedish crown	-21	-3	-24
Other currencies	29	-64	-35
TOTAL	-583	323	-260

9.2.5 Fair value reserves

Fair value reserves attributable to owners of the Company total +€337 million as of December 31, 2024 and +€306 million as of December 31, 2023 and break down as follows:

(€ million)	Available-for-sale securities	Commodity derivatives hedging cash flows	Foreign currency derivatives hedging cash flows	Hedging costs	Interest rate derivatives hedging cash flows	Total	o/w attributable to owners of the Company
As of December 31, 2023	307	-10	-6	-6	15	299	306
Fair value adjustments	-	52	-	6	-13	46	31
Other movements	2	-	-	-	-	1	1
AMOUNT AS OF DECEMBER 31, 2024	309	41	-6	-	2	346	337

Amounts are presented net of tax.

The change in financial instruments at fair value through equity mainly concerns gas hedges for +€45 million in Europe (see Note 8.3.1.3).

No material amounts were released to the Consolidated Income Statement in respect of interest-rate derivatives hedging cash flows and recorded in financial debt.

9.3 Non-controlling interests

Pursuant to IFRS 10, non-controlling interests in fully consolidated subsidiaries are considered a component of equity.

Furthermore, in accordance with IAS 32, Financial Instruments: Presentation, non-controlling interest put options are recognized as liabilities.

9.3.1 Non-controlling interests

A breakdown of the movement in non-controlling interests is presented in the Statement of Changes in Equity.

As of December 31, 2024, non-controlling interests mainly concern:

- in Europe excluding France: Poland (€235 million), Germany (€221 million) and Spain (€208 million);
- in the Rest of the world: Chile (€626 million), the United States (€306 million) and China (€225 million).

9.3.2 Net income attributable to non-controlling interests

Net income attributable to non-controlling interests is -€347 million for the year ended December 31, 2024, compared with -€397 million for the year ended December 31, 2023.

Net income attributable to non-controlling interests breaks down by operating segment as follows:

(€ million)	Year ended December 31, 2023	Year ended December 31, 2024
France & special waste Europe	-11	-13
Europe excluding France ⁽¹⁾	-183	-143
Rest of the world ⁽²⁾	-183	-172
Water technologies	-21	-19
Other	-	-
NET INCOME ATTRIBUTABLE TO NON-CONTROLLING INTERESTS	-397	-347

(1) Including net income attributable to non-controlling interests in Central Europe (-€131 million in 2024 compared to -€171 million in 2023).

(2) Including net income attributable to non-controlling interests in Chile (-€82 million), United-States (-€23 million) and Australia (-€17 million) in 2024.

9.4 Deeply-subordinated securities and OCEANE convertible bonds

9.4.1 OCEANE convertible bonds

On September 12, 2019, Veolia Environnement completed an offering of bonds convertible and/or exchangeable for new and/or existing shares (OCEANE) maturing January 1, 2025, of a nominal amount of €700 million (see also Note 8.1.1.1).

On August 2, 2024, Veolia Environnement launched a partial redemption transaction of 52% of these bonds with a delivery settlement date of August 9. The share of repurchase costs charged to equity was approximately -€18 million.

The residual amount was paid at maturity.

9.4.2 Deeply subordinated securities

As of December 31, 2024, hybrid debt excluding coupons represented €3.6 billion at Veolia Environnement. This breaks down as follows:

- a €2 billion issue carried out on October 14, 2020, the proceeds of which were used to finance the acquisition of 29.9% of the share capital of Suez from Engie, with a first tranche of €850 million bearing a coupon of 2.25% until its first reset date in April 2026 and a second tranche of €1,150 million bearing a coupon of 2.50% until the first reset date in April 2029;
- a €500 million issue carried out on September 2, 2019, resulting from the acquisition of Suez S.A. with an initial fixed coupon of 1.625%, reset for the first time seven years after issue, then every five years;
- a €500 million issue carried out on November 8, 2021, bearing a coupon of 2% until the first reset date in February 2028;
- a €600 million issue carried out on November 22, 2023, under Veolia Environnement's EMTN program and bearing a coupon of 6% until the first reset date in February 2029.

The residual amount of €203 million from another €600 million issue resulting from the merger with Suez and dating from 2017 was redeemed on April 19, 2024.

As a reminder, in 2022, deeply subordinated securities increased by €1,624 million with the acquisition of Suez S.A.

As of December 31, 2023, they comprised three tranches:

- a €500 million tranche issued on March 30, 2015 – bearing fixed-rate interest of 2.5%, reset for the first time seven years after issue based on the five-year swap rate – was redeemed on March 30, 2022.
- a €600 million tranche issued on April 19, 2017 with an initial fixed coupon of 2.875%, revised for the first time seven years after issue based on the five-year swap rate, then every five years. This tranche was partially redeemed in the amount of €397 million on November 23, 2023.
- a €500 million tranche issued on September 2, 2019 with an initial fixed coupon of 1.625 %, revised for the first time seven years after issue, then every five years.

Pursuant to IAS 32.11 and given its intrinsic characteristics (no mandatory repayment, no obligation to pay a coupon except in the event of a dividend distribution to shareholders or the buyback of its own instruments), this instrument is recognized in equity.

9.5 Earnings per share

Basic earnings per share is calculated by dividing adjusted net income attributable to owners of the Company by the weighted average number of ordinary shares outstanding during the year ended December 31, 2024.

Pursuant to IAS 33, the weighted average number of shares outstanding taken into account for the calculation of basic net income per share is adjusted to take into account the increases in capital during the year. Pursuant to IAS 33.9 and IAS 12, the net income attributable to owners of the Company has been adjusted to take into account the cost of the coupon payable to holders of deeply subordinated securities issued by Veolia Environnement.

Diluted earnings per share is calculated by dividing adjusted net income attributable to owners of the Company by the weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued following which would have been issued on the conversion of all existing potentially dilutive instruments (OCEANE, performance share plan and Free Share Grant Plan).

Net income and the number of shares used to calculate basic and diluted earnings per share are presented below for all activities.

	Year ended December 31, 2023	Year ended December 31, 2024
Weighted average number of ordinary shares (in millions of shares)	705	720
Weighted average number of ordinary shares for the calculation of basic earnings per share	705	720
Theoretical number of additional shares resulting from potentially dilutive instruments	26	22
Weighted average number of ordinary shares for the calculation of diluted earnings per share (in millions of shares)	731	741
Net income (loss) attributable to owners of the Company per share (in millions of euros)		
Net income (loss) attributable to owners of the Company (in millions of euros)	937	1,098
Net income (loss) attributable to owners of the Company per share (in euros):		
Basic	1.24	1.45
Diluted	1.19	1.40
Net income (loss) from discontinued operations attributable to owners of the Company per share (in millions of euros)		
Net income (loss) from discontinued operations attributable to owners of the Company (in millions of euros)	-24	-103
Net income (loss) from discontinued operations attributable to owners of the Company per share (in euros):		
Basic	-0.03	-0.14
Diluted	-0.03	-0.14
NET INCOME (LOSS) FROM CONTINUING OPERATIONS ATTRIBUTABLE TO OWNERS OF THE COMPANY PER SHARE		
Net income (loss) from continuing operations attributable to owners of the Company (in millions of euros)	961	1,201
Net income (loss) from continuing operations attributable to owners of the Company per share (in euros) :		
Basic	1.27	1.59
Diluted	1.23	1.54

The only potentially dilutive instruments recognized by Veolia Environnement are the OCEANE, presented in Note 9.4.1, as well as the performance shares and free shares presented in Note 6.2.2.

Note 10 PROVISIONS

Pursuant to IAS 37, Provisions, Contingent Liabilities and Contingent Assets, a provision is recorded when, at the year end, the Group has a current legal or implicit obligation to a third party as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be reliably estimated.

Provisions cover all losses that are considered probable, and that relate to litigation (taxation other than income tax, employee or other) arising in the normal course of Veolia's business operations, including adjustments on uncertain tax positions identified but not yet adjusted.

As part of its obligations under public services contracts, Veolia generally has contractual obligations for the maintenance and repair of the installations it manages. The resulting maintenance and repair costs are analyzed in accordance with IAS 37 on provisions and, where necessary, a provision for contractual commitments is recorded where there are delays in work to be performed.

In the event of a restructuring, an obligation exists if, prior to the period end, the restructuring has been announced and a detailed plan produced or implementation has commenced. Future operating costs are not provided.

Provisions for closure and post-closure costs encompass the legal and contractual obligations of the Group on the completion of operating activities at a site (primarily site rehabilitation provisions) and, more generally, expenditure associated with environmental protection (provision for environmental risks).

In the case of provisions for rehabilitation of landfill facilities, Veolia accounts for the obligation to restore a site as waste is deposited, recording a non-current asset component. This asset is amortized during the fiscal year based on its depletion. The costs included take account of the technical and operating characteristics of the sites, as well as applicable regulatory requirements. The monitoring period following the closure of a landfill site depends on the country where the Group operates (France: 30 years; United Kingdom: 60 years). Inflation is taken into account in the total cost calculation and, depending on the projected expenditure schedule, a discount rate is applied (based on the country and flow maturities). Provisions are calculated, by site, at the reporting date, taking account of the landfill site fill rate, total estimated costs per year, the scheduled closure date and the discount rate and are recorded progressively over the operating period.

Provisions giving rise to an outflow after more than one year are discounted if the impact is material. Discount rates reflect current assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recorded in the Consolidated Income Statement in "Other financial income and expenses".

Movements in non-current and current provisions during 2024 are as follows:

(€ million)	As of December 31, 2023	Addition/ Charge	Repayment/ Utilization	Reversal	Actuarial gains (losses)	Unwinding of the discount	Change in consolidation scope	Foreign exchange translation	Non-current/ current reclassification	Other movements	As of December 31, 2024
Tax litigation ⁽¹⁾	58	14	-1	-10	-	-	-1	-	-	6	66
Employee litigation	30	9	-5	-5	-	-	-	-	-	-	29
Other litigation	159	24	-23	-6	-	-	-3	-	-	-1	150
Contractual commitments	87	208	-196	-3	-	-1	-	1	-	-1	97
Provisions for work-in-progress and losses to completion on long-term contracts	286	12	-27	-26	-	2	-	3	-	-3	246
Closure and post-closure costs	1,208	39	-52	-56	-	76	3	4	-	-2	1,220
Restructuring provisions	48	23	-27	-5	-	-	-1	-	-	19	57
Self-insurance provisions	360	99	-74	-27	-	3	3	1	-	-	364
Other provisions	810	278	-135	-99	-	-	-5	11	-	-22	839
Provisions excluding pensions and other employee benefits	3,046	706	-540	-236	-	80	-2	19	-	-3	3,069
Provisions for pensions and employee benefits	767	98	-71	-10	-27	19	-13	3	-	-20	746
TOTAL PROVISIONS	3,813	804	-610	-247	-27	99	-15	22	-	-23	3,815
NON-CURRENT PROVISIONS	2,807	466	-266	-152	-27	99	-13	9	-140	-33	2,749
CURRENT PROVISIONS	1,005	339	-344	-95	-	-	-2	13	140	10	1,066

(1) Provisions other than for income tax.

Provisions for litigation €245 million overall as of December 31, 2024, compared with €247 million overall as of December 31, 2023.

The France and Special Waste Europe, Europe excluding France, Rest of the world and Water technologies operating segments account for €67 million, €39 million, €96 million and €38 million of these provisions, respectively, as of December 31, 2024.

Additional information on the main litigation is presented in Note 12.

As of December 31, 2024, **provisions for contractual commitments** primarily concern the France and Special Waste Europe operating segment in the amount of €51 million and Europe excluding France in the amount of €33 million.

Provisions for work-in-progress and losses to completion on long-term contracts total €246 million as of December 31, 2024 and mainly concern the France and Special Waste Europe operating segment in the amount of €9 million, the Europe excluding France operating segment in the amount of €28 million, the Rest of the world operating segment in the amount of €121 million and the Water technologies operating segment in the amount of €89 million.

Provisions for closure and post-closure costs total €1,220 million as of December 31, 2024 compared with €1,208 million as of December 31, 2023 and mainly concern the following operating segments :

- France and Special Waste Europe in the amount of €448 million as of December 31, 2024, compared with €443 million as of December 31, 2023;
- Europe excluding France in the amount of €323 million as of December 31, 2024, compared with €310 million as of December 31, 2023;
- the Rest of the world in the amount of €418 million as of December 31, 2024, compared with €422 million as of December 31, 2023.

The change in these provisions in 2024 is mainly due to the unwinding of the discount in the amount of €76 million.

By nature of obligation, these provisions concern:

- provisions for site rehabilitation in the amount of €1,104 million at the end of 2024, compared with €1,079 million at the end of 2023;
- provisions for environmental risks in the amount of €55 million at the end of 2024, compared with €64 million at the end of 2023;
- provisions for plant dismantling in the amount of €61 million at the end of 2024, compared with €65 million at the end of 2023.

Self-insurance provisions were mainly recorded by Group insurance and reinsurance subsidiaries.

Other provisions include various obligations recorded as part of the normal operation of the Group's subsidiaries and which are of immaterial individual amounts. They primarily concern the following operating segments:

- France and Special Waste Europe in the amount of €119 million as of December 31, 2024, compared with €122 million as of December 31, 2023;
- Europe excluding France, in the amount of €161 million as of December 31, 2024, compared with €145 million as of December 31, 2023;
- the Rest of the world in the amount of €139 million as of December 31, 2024, compared with €132 million as of December 31, 2023;
- Water technologies in the amount of €223 million as of December 31, 2024, compared with €126 million as of December 31, 2023;
- the Other segment in the amount of €197 million as of December 31, 2024, compared with €285 million as of December 31, 2023.

Provisions for pensions and other employee benefits as of December 31, 2024 total €746 million, and include provisions for pensions and other post-employment benefits of €653 million (governed by IAS 19 and detailed in Note 6.3), and provisions for other long-term benefits of €93 million.

Note 11 INCOME TAX EXPENSE**11.1 Income taxes**

The income tax expense (income) includes the current tax expense (income) and the deferred tax expense (income).

11.1.1 Analysis of the income tax expense

Income tax expense breaks down as follows :

(€ million)	2023	2024
Current income tax (expense) income	-573	-553
France	-38	-56
Other countries	-535	-497
Deferred tax (expense) income	62	-13
France	-7	31
Other countries	69	-44
TOTAL INCOME TAX EXPENSE	-511	-566

A number of French subsidiaries elected to form a consolidated tax group with Veolia Environnement as the head company. Veolia Environnement is liable to the French Treasury Department for the full income tax charge, calculated based on the group tax return. Any tax savings are recognized at the Veolia Environnement level.

11.1.2 Effective tax rate

	2023	2024
Net income (loss) from continuing operations (a)	1,358	1,547
Share of net income (loss) of associates (b)	63	61
Share of net income (loss) of joint ventures (c)	60	71
Share of net income (loss) of other equity-accounted entities (d)	-	-
Impairment losses on goodwill of joint ventures and other equity-accounted entities (e)	-	-
Income tax expense (f)	-511	-566
Net income from continuing operations before tax (g) = (a)-(b)-(c)-(d)-(e)-(f)	1,747	1,982
Effective tax rate -(f)/(g)	29.3%	28.6%
Theoretical tax rate⁽¹⁾	25.8%	25.8%
Net impairment losses on goodwill not deductible for tax purposes	0.1%	0.0%
Differences in tax rate	-4.2%	-3.6%
Capital gains and losses on disposals	-0.1%	1.9%
Dividends	1.3%	0.4%
Taxation without tax base	7.9%	4.4%
Effect of tax projections ⁽²⁾	6.0%	3.4%
Other permanent differences	-7.5%	-3.8%
EFFECTIVE TAX RATE	29.3%	28.6%

(1) The tax rate indicated is the statutory tax rate in France applicable in fiscal years 2023 and 2024.

(2) Effect of tax projections primarily includes impairment losses on deferred tax assets and capitalized deferred taxes.

The main elements explaining the effective tax rate in 2024 are as follows:

- transactions in countries with a higher or lower tax rate than the French standard rate ;
- taxation without tax basis, including, in particular, taxes other than income tax meeting IAS 12 criteria;
- taxation on capital gains or losses from disposals;
- the effect of tax projections, primarily relating to impairment losses on deferred tax assets and capitalized deferred taxes.

It is recalled that the main elements explaining the effective tax rate in 2023 were as follows:

- transactions in countries with a higher or lower tax rate than the French standard rate;
- the change in the deferred tax rate to take into account of legislative amendments in certain countries;
- taxation without tax basis, including, in particular, taxes other than income tax meeting IAS 12 criteria;
- the effect of tax projections, primarily relating to impairment losses on deferred tax assets and capitalized deferred taxes.

11.2 Deferred tax assets and liabilities

Deferred tax assets and liabilities are generally recognized on timing differences and/or tax loss carry forwards.

Deferred tax assets arising from timing differences are only recognized when it is probable that:

- there are sufficient taxable timing differences within the same tax group or tax entity that are expected to reverse in the same periods as the expected reversal of such deductible timing differences or in the periods when the deferred tax assets arising from tax losses can be carried back or forward; or
- the Group is likely to generate sufficient future taxable profits against which the asset can be offset.

At each reporting date, the Group reviews the recoverable amount of deferred tax assets arising from material tax losses carried-forward.

Deferred tax assets arising from these tax losses are no longer recognized or are reduced when required by the specific facts and circumstances of each company or tax group concerned, and particularly when:

- the forecast period and uncertainties regarding the economic environment no longer enable the probability of utilization to be assessed;
- the companies have not started utilizing the losses;
- the forecast utilization period exceeds the carry forward period authorized by tax legislation; or
- offset against future taxable profits is uncertain due to the risk of different interpretations of the application of tax legislation.

Deferred tax assets and liabilities are adjusted for the effects of changes in prevailing tax laws and rates at the year end. Deferred tax balances are not discounted.

Movements in deferred tax assets and liabilities during **2024** are as follows:

(€ million)	As of December 31, 2023	Changes in business through net income	Changes in business through equity	Changes in consolidation scope	Foreign exchange translation	Transfers to Assets / Liabilities classified as held for sale	Other movements	As of December 31, 2024
Deferred tax assets, gross	4,181	92	-25	-104	40	-	-7	4,177
Deferred tax assets not recognized	-2,139	-68	-5	25	-38	-	5	-2,219
DEFERRED TAX ASSETS, NET	2,042	24	-29	-79	2	-	-1	1,958
DEFERRED TAX LIABILITIES	2,575	37	-9	-29	36	-	-4	2,606

As of December 31, 2024, deferred tax assets not recognized total -€2,219 million, including -€1,553 million on tax losses and -€666 million on timing differences. As of December 31, 2023, they totaled -€2,139 million, including -€1,503 million on tax losses and -€636 million on timing differences.

Deferred tax assets and liabilities break down by nature as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024
DEFERRED TAX ASSETS		
Tax losses	1,841	1,826
Provisions and impairment losses	450	560
Employee benefits	294	279
Financial instruments	95	165
Operating financial assets	72	27
Fair value of assets purchased	167	125
Finance leases	155	130
Intangible assets, PP&E and operating financial assets	228	234
Other	879	831
DEFERRED TAX ASSETS, GROSS	4,181	4,177
DEFERRED TAX ASSETS NOT RECOGNIZED	-2,139	-2,219
RECOGNIZED DEFERRED TAX ASSETS	2,042	1,958

(€ million)	As of December 31, 2023	As of December 31, 2024
DEFERRED TAX LIABILITIES		
Intangible assets and Property plant and equipment	1,184	1,266
Fair value of assets purchased	721	635
Operating financial assets	54	48
Financial instruments	96	157
Finance leases	113	112
Provisions	29	27
Employee benefits	71	70
Other	308	291
DEFERRED TAX LIABILITIES	2,575	2,606

The breakdown by **main tax group** as of December 31, 2024 is as follows:

(€ million)	Recognized deferred tax assets on tax losses	Recognized deferred tax assets on timing differences	Deferred tax liabilities on timing differences	Net recognized deferred tax position
France tax group	58	236	-236	58
United States tax group	56	264	-489	-169
TOTAL FOR THE MAIN TAX GROUPS	114	500	-725	-111

The **timing schedule for the reversal** of the net deferred tax position on timing differences and the deferred tax asset position on tax losses of the France tax group and the United States tax group is as follows:

(€ million)	Deferred tax assets on tax losses			Net deferred tax on timing differences			Total		
	5 years or less	More than 5 years	Total	5 years or less	More than 5 years	Total	5 years or less	More than 5 years	Total
France tax group	58	—	58	—	—	—	58	—	58
United States tax group	56	—	56	103	-328	-225	159	-328	-169

The **expiry schedule** for deferred tax assets on tax losses recognized and not recognized as of December 31, 2024 is as follows:

(€ million)	Maturing in			Total as of December 31, 2024	Total as of December 31, 2023
	5 years or less	More than 5 years	Unlimited		
Recognized tax losses	103	34	136	273	338
Tax losses not recognized	759	394	400	1,553	1,503

The decrease in recognized tax losses as of December 31, 2024 follows the reassessment by the Group of its outlook and, particularly the outlook of the US tax group.

Deferred tax assets and liabilities **break down by destination** as follows:

(€ million)	As of December 31, 2023	As of December 31, 2024
DEFERRED TAX ASSETS, NET		
Deferred tax assets through net income	1,898	1,840
Deferred tax assets through equity	144	118
DEFERRED TAX ASSETS, NET	2,042	1,958
DEFERRED TAX LIABILITIES		
Deferred tax liabilities through net income	2,506	2,547
Deferred tax liabilities through equity	69	59
DEFERRED TAX LIABILITIES	2,575	2,606

11.3 Tax audits

In the normal course of their business, the Group entities in France and abroad are subject to regular tax audits.

The Group assesses income tax risks in accordance with IFRIC 23, notably by considering that the tax authorities will conduct an audit and will have full knowledge of all relevant information.

The tax authorities have carried out various tax audits in respect of both consolidated tax groups and individual entities. To date, none of these reviews have led to liabilities to the tax authorities materially in excess of amounts estimated during the review of tax risks.

In estimating the risk as of December 31, 2024, the Group took account of the expenses that could arise as a consequence of these audits, based on a technical analysis of the positions defended by the Group before the tax authorities. The Group periodically reviews the risk estimate in view of developments in the audits and legal proceedings.

11.4 Pillar 2 Directive

The 2024 Finance Act (Article 33 of Law no. 2023-1322 of December 29, 2023) enacted the Pillar 2 Directive (Council Directive (EU) 2022/2523 of December 14, 2022) which aims to introduce a global minimum tax. Due to the amount of its revenue, the Group falls within the scope of this new legislation.

For 2024, the Group determined the financial impact of this new tax, which was recorded as a tax expense but was not material.

In accordance with the temporary exemption introduced by the amendment to IAS 12 in May 2023, no deferred tax was recorded on that basis.

Note 12 CONTINGENT ASSETS AND LIABILITIES

In accordance with IAS 37 criteria, management does not consider it appropriate to record a provision or, as the case may be, an additional provision, or to recognize deferred income with respect to the following legal, administrative or arbitration proceedings as of December 31, 2024, due to the uncertain nature of their outcome.

The main contingent assets and liabilities relating to legal, administrative or arbitration proceedings are presented below:

North America

United States – Water – Flint

In November 2011, the Governor of Michigan declared the City of Flint, Michigan ("Flint") to be in financial difficulty and appointed an emergency manager ("Emergency Manager") for Flint. In an attempt to save money, the Emergency Manager decided in 2013 to switch the city's water supply source (previously provided by Detroit) to the Flint River on an interim basis as part of a long-term plan to switch to water from Lake Huron.

In 2013, Flint hired the engineering firm Lockwood, Andrews & Newman ("LAN") to prepare the Flint water plant to switch water sources. In April 2014, the Flint water plant began treating Flint River water for distribution to its residents.

Following the switch to Flint River water, Flint residents began to complain about its odor, taste and appearance. Between August and December 2014, Flint experienced a number of water quality issues resulting in violations of National Primary Drinking Water Regulations, including "Total Trihalomethanes" ("TTHM") (which are disinfection byproducts) maximum contaminant level violations.

In February 2015, Flint hired a US subsidiary of the Company, Veolia Water North America Operating Services, LLC ("VWNAOS"), to produce a report, which included a discussion of residual effects of the chlorination process, discoloration and taste and odor issues. This one-time review (invoiced at USD \$40,000) was completed by VWNAOS in approximately four weeks. Throughout that time, and subsequently, Flint continued to retain LAN as its primary water engineering consultant. In December 2014 and during 2015, LAN developed a treatment plan for the Flint River water and submitted reports to Flint that addressed compliance with the Safe Drinking Water Act. In its plan and reports, LAN did not raise or address any concerns that Flint's new water supply could create problems with lead levels in the drinking water.

On February 18, 2015, VWNAOS issued an interim report based, among other things, on tests performed exclusively by Flint, which showed that the city was in compliance with the Lead & Copper rule. This report included a statement that the drinking water was "safe" in that it complied "with state and federal standards and required testing". During that evening's public meeting, which was organized by the Flint City Council Public Works Committee, VWNAOS employees communicated to the public the results of VWNAOS' interim report.

In parallel, Flint conducted lead tests at the home of a Flint resident which revealed high levels of lead in the water but did not share these results with VWNAOS.

On March 12, 2015, VWNAOS delivered its final report to Flint, which was subsequently made available to the public. In its report, VWNAOS issued a broad set of recommendations to address TTHM compliance and improve water quality related to taste, odor and discoloration. The report also recommended that Flint work with the State regulators and Flint's engineering firm to establish a corrosion control plan. Most of these recommendations were ignored by Flint until late 2015, when the government ordered certain measures be taken in response to reports of lead in Flint's water.

On June 24, 2015, an employee of the U.S. Environmental Protection Agency issued a memorandum summarizing the available information regarding measures taken by Flint and several governmental agencies in response to high lead levels in Flint's drinking water reported by a Flint resident in February 2015.

On September 25, 2015, Flint issued a lead advisory to the residents of Flint regarding the presence of lead in the drinking water.

On October 16, 2015, Flint switched its water supply source back to the Detroit water system.

On October 21, 2015, the office of the Governor of the State of Michigan commissioned the Flint Water Advisory Task Force, a group of experts from a variety of disciplines, to conduct an independent review of the Flint water crisis, including lead contamination of the water.

On March 21, 2016, the Flint Water Advisory Task Force issued its final report, drafted after interviewing numerous individuals and reviewing many documents. The report concluded that the responsibility for the Flint water crisis rested largely with several governmental agencies and Flint. The report concluded that the Michigan Department of Environmental Quality and the City of Flint did not require the implementation of corrosion control when the source of the water supply was changed to the Flint River, which the Task Force found was contrary to requirements imposed by a federal law known as the Lead & Copper Rule.

Since February 2016, numerous individual complaints and putative class actions have been filed in Michigan state and federal courts by Flint residents against a number of defendants, including the State of Michigan, the Michigan Department of Environmental Quality, Flint, LAN and three of the US subsidiaries of the Company, Veolia North America Inc., VWNAOS and Veolia North America LLC (collectively "VNA").

Although the Company has been named in several actions mentioned above, it has not been served and is not an active party to any of these actions. Only the three U.S. subsidiaries of the Company are active parties in these actions.

In November 2020, the plaintiffs in the putative class actions and individual actions (both state and federal) reached a settlement with some defendants in these actions, including the State of Michigan and Flint, but not VNA, nor the engineering firm, LAN. This settlement was approved by the federal judge in the amount of \$626.25 million. In July 2023, LAN informed the federal and state courts that it had reached a settlement agreement in principle with the plaintiffs. The LAN settlement, for \$8 million, was granted final approval by the federal judge in May 2024.

The proceedings, however, continued with regard to VNA. The cause of action in the federal and state proceedings was professional negligence.

Civil Actions in the United States District Court for the Eastern District of Michigan (Federal Court)

Individual actions: Actions brought by individually represented plaintiffs have been organized into a bellwether process, under which a series of trials brought by a small number of representative plaintiffs will be held. The first of these began in February 2022. On 11 August 2022, after the jury informed the court that it was unable to reach a unanimous verdict, the Federal Magistrate Judge overseeing the deliberations declared a mistrial. This first bellwether trial was initially scheduled for a retrial, it was subsequently adjourned sine die at the request of the plaintiffs. Further bellwether trials with new groups of plaintiffs are planned for October 2024 and September 2025.

In October 2024, VNA and the attorneys representing the bellwether plaintiffs reached an agreement in principle and the federal court judge stayed the proceedings. The agreement, the final version of which was signed by the parties in February 2025, provides for, after approval by the federal court, the definitive dismissal of all actions filed against VNA in exchange for a payment of \$53 million. The approval process will take place during the course of 2025, following which the actions filed by these plaintiffs (approximately 26,000), which represent nearly all remaining proceedings against VNA, will be dismissed with prejudice.

Issues class action: In August 2021, the court certified an issues class action with respect to VNA. The issues class action only addressed some specific common questions regarding elements of VNA's alleged liability. The trial for the issues class action was scheduled for several weeks starting in mid-February 2024.

This action was definitively dismissed following a settlement agreement signed by the parties, which provided for a payment of \$25 million by VNA.

In parallel, VNA signed another settlement agreement which provided that it would accept to pay \$1.5 million for minor individual plaintiffs represented by the attorneys for the issues class, within a limit of 1,000 claimants, or \$1,500 for each claimant.

In January 2025, VNA paid a total of \$1,324,500, as 883 minor claimants indicated their desire to participate in this settlement.

Civil Actions in Circuit Court for the Seventh Judicial Circuit, Genesee County, Michigan (State Court)

Individual actions and putative class action: In parallel to the actions in federal court, claims filed by individual plaintiffs and a putative class are pending in state court. No trial date has been set for any of these state court cases.

In January 2025, as a result of the agreement settling the issues class action, the state court judge ordered the dismissal with prejudice of the state putative class action.

With respect to the individual state court cases, nearly all will also be dismissed following the federal court's approval process of the \$53 million settlement.

Civil action brought by the Michigan Attorney General: In June 2016, the State of Michigan's Attorney General filed a "parens patriae" civil action in state court against several corporations, including VNA and the Company itself, alleging certain acts and omissions related to the Flint water crisis. After unilaterally dismissing that action, the Attorney General filed a new action in August 2016. The Attorney General then agreed to dismiss the Company without prejudice from that action. After the 2018 election of a new state Governor and Attorney General, the Attorney General filed an amended complaint against the Company and VNA, among others. The Company has not been served with that complaint and is not currently an active party in this action, but VNA is. Following motions to dismiss, the only remaining causes of action brought by the Attorney General against VNA are professional negligence and unjust enrichment. After a long period of dormancy, in February 2024, the state court judge ordered the Attorney General and VNA to propose a calendar for discovery and disposition of pre-trial matters. No trial date has been set.

In February 2025, VNA and the Attorney General signed an agreement which provides for the definitive dismissal of the parens patriae proceeding, once the federal court approves the \$53 million settlement agreement. The Attorney General will then request the dismissal with prejudice of the parens patriae case.

Criminal actions

Criminal proceedings were initiated by the former Attorney General against fifteen employees of the State of Michigan and the City of Flint for their conduct related to the water crisis in Flint. Of these fifteen employees, seven pleaded guilty. On June 13, 2019, the new Attorney General dropped all charges against the remaining eight employees.

In mid-January 2021, new criminal indictments were issued against nine former Flint and state officials. In June 2022, the Michigan Supreme Court ruled that the prosecution's use of the "one-man grand jury" method of indictment violated Michigan law. As a consequence of this ruling, the indictments against these nine former officials have been dismissed.

Insurance

These lawsuits have been reported to the insurers. Some of the insurers, relying on an exclusion clause contained in their policies, have made it known that they do not intend on covering the financial consequences of VNA's liability, if this were to be established, for damages resulting from lead.

The Group strongly contests this position, arguing that this exclusion clause is not applicable in the current situation and that, in any case, the clause is void as it is contrary to both the mandatory rule of article L.113-1 of the French Insurance Code, requiring that the exclusion shall be "formal and limited" and contrary to its interpretation by the courts.

In June 2023, the Company and VNA filed a request for arbitration in order to resolve their dispute with certain insurers. The arbitration proceedings are ongoing.

Central and Eastern Europe

Lithuania - Energy

Between 2000 and 2003, the Lithuanian subsidiaries of the Group, UAB Vilniaus Energija ("UVE") and UAB Litesko ("Litesko"), signed a number of contracts with Lithuanian cities, of which the most significant was with the city of Vilnius ("Vilnius") in 2002 to rent, operate and modernize the heating and electricity production and distribution infrastructure. The Group made significant investments over the years for which it expects the cost incurred to be taken into account and a return on its investment.

Since 2009, the government publicly, and on numerous occasions, accused the Group of being responsible for high heating prices by waging a sustained campaign against it. Several steps were thus taken by the public authorities against the Lithuanian subsidiaries of the Group, among others:

- a €19 million fine imposed on UVE by the Competition Council;
- the transfer of ownership without compensation of the individual heat exchange sub-stations invested by UVE;
- the unilateral reduction of the heating prices to capture the savings realized with the help of a smoke condenser invested by UVE;
- the retroactive annulment of the heating prices applied by UVE for the period 2011-2015.
- the annulment of the amendments extending the duration of the contract concluded between Litesko and the city of Alytus and the transfer to Alytus of the assets invested by Litesko.

All the harmful decisions taken against the Lithuanian subsidiaries of the Group are subject to pending challenges or appeals before the local courts.

In this context, the Company and its subsidiaries also had to initiate the arbitral proceedings described below.

The first arbitration, initiated under the auspices of the Stockholm Chamber of Commerce ("SCC"), resulted in a ruling issued on November 30, 2023, which is now final.

In the second arbitration, the Company, Veolia Energie International (successor in law to Veolia Baltics and Eastern Europe), UVE and Litesko (collectively "the Companies") filed a request for arbitration against Lithuania before the International Center for Settlement of Investment Disputes ("ICSID") in January 2016.

To date, the Companies' claim amounts to circa €76 million (not including interest). For its part, Lithuania withdrew its €150 million counterclaim. This procedure is still pending.

In June 2018, Lithuania filed an objection to the arbitral tribunal's jurisdiction, based on a decision rendered by the European Court of Justice on March 6, 2018 in the Achmea case, in which the Court ruled that investor-state arbitration provisions in intra-EU bilateral investment treaties are incompatible with European Union law. In a declaration dated January 15, 2019, the EU Member States indicated their intention to terminate the intra-EU bilateral investment treaties by December 2019. On May 5th 2020, a vast majority of Member states – including France and Lithuania – signed a plurilateral treaty organizing the termination of the intra-EU bilateral investment treaties. The treaty came into effect in France on August 28, 2021 and in Lithuania on September 4, 2021. These developments may have an impact on the ICSID arbitration and, as the case may be, on the enforcement of the future award as well as on the proceedings described hereafter.

In July 2020, Lithuania initiated a legal action against the Companies and other respondents before the Vilnius regional court, by which it seeks compensation for damages worth over €240 million. Lithuania has indicated that this action is a transfer of the counterclaims it previously withdrew from the ICSID arbitration, following the Achmea decision. At that time, only VEI, UVE and Litesko had been served with Lithuania's writ of summons. The Company was later served in May 2023. The Companies vigorously contest Lithuania's claims. Following several divergent rulings by the Lithuanian courts, Lithuania's claim was finally declared admissible in October 2023. In November 2023, the Vilnius court, following a request submitted by the Companies, stayed the proceedings pending the awards in the ICSID and SCC arbitrations. Lithuania has filed an appeal against this stay. In February 2024, the Vilnius court of appeal confirmed the stay of the proceedings pending the ICSID award. In May 2024, Lithuania and one of the Lithuanian respondents filed a cassation appeal before the supreme court. In November 2024, the Supreme Court annulled the suspension and referred the case back to the court for the resumption of proceedings on the merits.

Italy / Africa Middle East

Veolia Propreté vs. Republic of Italy

In October 2007, Veolia Propreté made very significant investments in Italy through long-term concession contracts for the construction and management of waste recovery and power generation facilities in the regions of Calabria and Tuscany. The Italian subsidiaries of Veolia Propreté were unable to execute the concession contracts due to the serious failures of the Italian authorities. In 2014, these actions caused subsidiaries' bankruptcy and the destruction of Veolia Propreté's investment.

In June 2018, Veolia Propreté commenced an arbitration against the Republic of Italy before the International Center for Settlement of Investment Disputes alleging breaches of the Energy Charter Treaty. The tribunal was constituted in January 2019. To date, Veolia Propreté claims amounts to circa €400 million plus interests. The arbitration is underway.

In September 2021, the Court of Justice of the European Union ruled in the Komstroy case that the investor-state dispute settlement mechanism provided for in the Energy Charter Treaty is incompatible with EU Law and does not apply to intra-EU disputes. This development may affect the enforcement of the future award.

Water technologies

VWT v. K+S Potash

On December 1, 2012, Veolia Water Technologies, Inc. ("VWT") signed a USD \$324.5 million contract with K + S Potash Canada GP ("KSPC") for the design, supply and commissioning of an evaporation and crystallization system, which includes 14 large evaporators and crystallizers (the "Tanks"), for a potash mine then under construction by KSPC in the province of Saskatchewan, Canada. In this framework, a letter of guarantee at first request was issued by VWT to the benefit of KSPC in the amount of USD \$14.6 million.

On July 17, 2016, during the process of commissioning the Tanks, one tank collapsed (the "Incident"). A new replacement tank had to be manufactured and installed. The Incident also damaged other Tanks and plant equipment, which had to be removed and replaced. VWT cooperated with KSPC to determine the cause of the incident. The first investigation, conducted by KSPC, identified a defect in the design of the metal structure supporting the Tanks, for which VWT and one of its subcontractors were responsible. A second investigation conducted by VWT, however, found a defect in the production of the concrete bases to which the metal structure supporting the Tanks was affixed. These concrete bases were in turn built by a subcontractor of KSPC. VWT has repaired the damaged Tanks. These repairs resulted in significant contractual changes and additional costs. Mid-June, 2017, a second letter of guarantee at first request was issued by VWT to KSPC in the amount of USD \$15 million.

Several procedures are currently in progress.

ADRIC Arbitration Procedure (ADR Institute of Canada)

On August 18, 2017, VWT filed a complaint with the ADRI seeking KSPC's reimbursement of the costs incurred by the contractual modifications made to carry out repairs linked to the Incident, i.e. USD \$19 million. Mid-January 2019, the arbitral tribunal accepted jurisdiction over only some claims (approximately USD \$13.6 million). This procedure is stayed due to proceedings initiated by KSPC before the Court of Queen's Bench for Saskatchewan (see below).

Legal Proceedings (the Court of King's Bench for Saskatchewan and Paris Commercial Court)

On April 11, 2018, KSPC brought claims against VWT before the Court of King's Bench for Saskatchewan in the amount of CAD \$180 million (approximately €119 million) for consequential damages and additional costs of repair in relation to the Incident. On January 18 2019, VWT made a settlement offer to KSPC who refused the offer.

On May 28, 2018, one of KSPC's subcontractors, AECON, sued KSPC before the Court of King's Bench for various claims for damages. On June 28, 2018, KSPC joined VWT as a third party to the proceedings in an attempt to require VWT to indemnify KSPC for a minimum of CAD \$466 million (approximately €318 million) as well as for reimbursement of sums already paid by KSPC to other subcontractors (the "Delay Claim").

On March 25, 2020, KSPC brought claims against VWT before the Court of King's Bench for Saskatchewan for an amount quantified to date at CAD \$4.6 million (approximately €3 million). These new claims include an equipment failure that occurred in November 2018 and alleged corrosion in specific materials of the plant. In June 2020, VWT filed a statement of defense before this court and contested these new claims.

In November 2019 and 2020, respectively, KSPC received payment under the letters of guarantee.

The Group strongly contests the merits of all these legal proceedings.

These lawsuits have been notified to professional liability insurance companies. After initially agreeing to cover the legal costs associated with the Delay Claim, Lexington Insurance Company initiated arbitration proceedings seeking to avoid coverage and future defense costs for the Delay Claim and for reimbursement of defense costs paid to date on the Delay Claim. On August 13, 2024, the arbitral tribunal rendered an award dismissing all of Lexington's claims.

VWT v. Antero

In August 2015, Veolia Water Technologies Inc. ("VWT") and Antero Resources Corporation ("Antero") entered into a Design Build Agreement ("DBA") for a revised contract sum of USD \$255.8 million for the treatment of water associated with the drilling, production and general development of shale gas at the Clearwater facility located in Pennsboro West Virginia ("Facility"). VWT achieved the substantial completion of the Facility on March 15, 2019. The Facility was fine-tuned over the following months. The final performance test was scheduled to begin on September 16, 2019 but, by a letter dated September 12, 2019, Antero terminated the DBA. VWT considers this termination to have been made without proper contractual notice or a valid reason.

On March 13, 2020 VWT filed suit against Antero in the State District Court, City and County of Denver, Colorado, in the United States, alleging breach of contract and seeking damages of USD \$118 million. On the same day and in front of the same tribunal, Antero filed suit against VWT and claimed that VWT breached its contractual obligations under the DBA. In this lawsuit, Antero asserts claims under theories of fraud and breach of contract. It claims alternatively USD \$451 million or USD \$367 million in damages based on different valuation methods.

VWT's claims have been consolidated with Antero's claims. By a final judgment dated January 27, 2023, the State District Court, City and County of Denver, Colorado ordered VWT to pay to Antero on the grounds of fraud and breach of contract, a principal amount of USD \$242 million, plus interests (such interests including USD \$67 million of pre-judgment interests) and Antero's fees and costs. By a revised judgment dated May 3, 2023, reflecting the outcome of a post-trial motion successfully filed by VWT, the principal amount of the judgment was reduced to USD \$215 million and the pre-judgment interests were reduced to USD \$65 million. The effects of the judgment are stayed.

At the end of May 2023, VWT appealed the decision before the Colorado Court of Appeal. In June 2023, Antero filed a cross appeal. On December 19, 2024, the Court of Appeals upheld the judgment. VWT strongly disputes the Court of Appeals' decision affirming the judgment and will seek further review in the Supreme Court of Colorado. The effects of the judgment remain suspended until the Supreme Court rules on VWT's petition. This dispute was reported to the insurers, who issued coverage reservations. One of them, after initially accepting to cover the legal expenses in connection with those proceedings, initiated arbitral proceedings in October 2021. On July 10, 2023, the arbitral tribunal dismissed the insurer's claim and ruled that the insurer's dispute of its coverage obligation was ill-grounded.

Note 13 RELATED PARTY TRANSACTIONS

The Group identifies related parties in accordance with the provisions of paragraph 9 of IAS 24 revised, Related Party Disclosures.

To the Company's knowledge, as of December 31, 2024 except for relations with joint ventures (see Note 5.2.4.1) and compensation and related benefits of key management (see Note 6.4), there were no other related party transactions.

Note 14 SUBSEQUENT EVENTS

On February 19, 2024, Veolia, through its Hungarian subsidiary signed an agreement with Uniper for the acquisition of a power plant with an installed capacity of around 430 MW. This facility complements Veolia's flexible energy portfolio to meet the needs of resilient power systems. After obtaining the approvals from the European Union competition authority, the closing of the operation was carried out on January 6, 2025 for a price of €366 million in share value (€216 million in enterprise value). As per June 30, 2024, an off-balance sheet commitment (purchase obligation) was accounted for in this regard as of December 31, 2024.

No other significant events occurred between the reporting date and the date on which the consolidated financial statements were approved by the Board of Directors.

Note 15 MAIN COMPANIES INCLUDED IN THE CONSOLIDATED FINANCIAL STATEMENTS

In 2024, Veolia group consolidated or accounted for a total of 1 933 companies, of which the main companies are:

Company and address	French company registration number (Siret)	Consolidation method	% control	% interest
Veolia Environnement SA 21 rue La Boétie 75008 Paris	403 210 032 00104	FC	100,00	100,00
Vigie Groupe 21 rue de La Boétie 75008 Paris	410 118 608 00109	FC	100,00	100,00
FRANCE & SPECIAL WASTE EUROPE				
Water				
Veolia Eau – Compagnie Générale des Eaux and its subsidiaries 21 rue La Boétie 75008 PARIS	572 025 526 10945	FC	100,00	99,99
Veolia Water and its subsidiaries 21 rue La Boétie 75008 Paris	421 345 042 00053	FC	100,00	100,00
Compagnie des Eaux et de l'Ozone Procédés M P Otto 21 rue La Boétie 75008 Paris	775 667 363 02470	FC	100,00	100,00
Société Française de Distribution d'Eau 28 boulevard de Pesaro 92000 Nanterre	542 054 945 00416	FC	99,67	99,67
Compagnie Fermière de Services Publics Route de l'Escarpe 76200 Dieppe	575 750 161 00326	FC	99,89	99,89
Compagnie Méditerranéenne d'Exploitation des Services d'Eau – CMESE 1 rue Albert Cohen Immeuble Plein Ouest A 13016 Marseille	780 153 292 00187	FC	99,75	99,75
Société des Eaux de Melun Zone Industrielle – 198/398, rue Foch 77000 Vaux Le Pénil	785 751 058 00047	FC	99,37	99,37
Société des Eaux de Marseille 78 boulevard Lazier 13010 Marseille	057 806 150 00488	FC	98,80	98,80
Waste				
Veolia Propreté and its subsidiaries 21 rue La Boétie 75008 Paris	572 221 034 01230	FC	100,00	100,00
Routière de l'Est Parisien 28 boulevard de Pesaro 92000 Nanterre	612 006 965 00182	FC	100,00	100,00
ONYX Auvergne Rhône-Alpes 2/4 avenue des Canuts 69120 Vaulx-en-Velin	302 590 898 00656	FC	99,99	99,99
ONYX Est Bâtiment O'Rigin 1 rue Henriette Galle Grimm 54000 Nancy	305 205 411 00930	FC	95,00	95,00
Paul Grandjouan SACO 6 rue Nathalie Sarraute 44200 Nantes	867 800 518 00609	FC	100,00	100,00
SARP Industries and its subsidiaries 427, route du Hazay – Zone Portuaire Limay-Porcheville 78520 Limay	303 772 982 00029	FC	99,86	99,86
Société d'Assainissement Rationnel et de Pompage (SARP) and its subsidiaries 22 boulevard de Pesaro 92000 Nanterre	775 734 817 00395	FC	99,69	99,69
Generis 28 boulevard de Pesaro 92000 Nanterre	410 303 481 00304	FC	100,00	99,99
ARIANEO 33 boulevard de l'Ariane 06300 Nice	901 780 221 00023	FC	90,00	90,00

Company and address	French company registration number (Siret)	Consolidation method	% control	% interest
EUROPE EXCLUDING FRANCE				
Veolia Water UK Ltd and its subsidiaries 210 Pentonville Road London N1 9JY (United Kingdom)		FC	100,00	100,00
Veolia ES (UK) Ltd and its subsidiaries 210 Pentonville Road London N1 9JY (United Kingdom)		FC	100,00	100,00
Veolia Environmental Services Group (UK) Ltd and its subsidiaries 210 Pentonville Road London N1 9JY (United Kingdom)		FC	100,00	100,00
Veolia Energy UK Ltd and its subsidiaries 210 Pentonville Road N1 9JY London (United Kingdom)		FC	100,00	99.99
Friedrich Hofmann Betriebsgesellschaft mbH and its subsidiaries Industriestrasse 18 91186 Büchenbach (Germany)		FC	100,00	100,00
Veolia Umweltservice GmbH and its subsidiaries Amerigo Vespucci Platz 1 20457 Hamburg (Germany)		FC	100,00	100,00
Veolia Energie Deutschland GmbH and its subsidiaries Georgenstrasse 24 10117 Berlin (Germany)		FC	100,00	100,00
Braunschweiger Versorgungs- AG & Co.KG Taubenstrasse 7 38106 Braunschweig (Germany)		FC	50.11	50.11
Veolia Romania Solutii Integrate SA 60 A Tunari Street - Stefan cel Mare Building - 1st Floor Second District - Bucharest (Romania)		FC	99,93	99,93
Apa Nova Bucuresti Srl 60 A Tunari Street - Stefan cel Mare Building - 6-9 Floors Second District - Bucharest (Romania)		FC	73.69	73.69
Veolia Central & Eastern Europe and its subsidiaries 21 rue La Boétie 75008 Paris	433 934 809 00032	FC	100,00	100,00
Veolia Energie Praha, a.s. Na Florenci 2116/15, Nové Město, 110 00 Praha 1 (Czech Republic)		FC	100,00	83.06
Pražské Vodovody A Kanalizace a.s. Ke Kablu 971/1 102 00 Prague 10 (Czech Republic)		FC	51,00	51,00
Sofiyska Voda AD Interpred Tsar Boris Business Center Floor 3 - Tsar Boris III Str. 159 1618 Sofia (Bulgaria)		FC	77.1	77.1
Veolia NV-SA and its subsidiaries 78-79 boulevard Poincaré B1060 – Brussels (Belgium)		FC	100,00	100,00
Siram SPA and its subsidiaries Via Anna Maria Mozzoni, 12 20152 Milan (Italy)		FC	100,00	99.99
Veolia Espana S.L.U. and its subsidiaries Calle Torrelaguna 60 28043 Madrid (Spain)		FC	100,00	99.99
Veolia Energia Warszawa and its subsidiary ul Batarego 02-591 Warsaw (Poland)		FC	97.25	58.34
Veolia Nordic AB and its subsidiaries Hälsingegatan 47 113 31 Stockholm (Sweden)		FC	100,00	99.99
Veolia Nederland BV and its subsidiaries Tupolevlaan 69 1119 PA Schiphol-Rijk (Netherlands)		FC	100,00	99.99
Vilnius Energija Konstitucijos ave. 7 02300 Vilnius (Lithuania)		FC	100,00	99.99
Veolia Energy Hungary Co Ltd and its subsidiaries Szabadsag ut 301 2040 Budaors (Hungary)		FC	99.98	99.97
Veolia Energia Slovensko A.S. and its subsidiaries Einsteinova 21 851 01 Bratislava (Slovakia)		FC	100,00	99.99

Company and address	French company registration number (Siret)	Consolidation method	% control	% interest
Pražská teplárenská – PT and its subsidiaries Partyzánská 1/7 170 00 Praha 7 (Czech Republic)		FC	100,00	100,00
Veolia Énergie CRA.S. and its subsidiaries 28.Rijna 3123/152 709 74 Ostrava (Czech Republic)		FC	83.06	83.06
Agbar S.L.U. and its subsidiaries Santa Leonor 39 28037 Madrid (Spain)		FC	100.00	100.00
Veolia Environmental Services Belux and its subsidiaries Boulevard Poincaré 78-79 B1060 Bruxelles (Belgium)		FC	100.00	100.00
Recovera Využití zdroju a.s. and its subsidiaries Spanelska 1073/10 120 00 Praha 2 - Vinohrady (Czech Republic)		FC	100.00	100.00
REST OF THE WORLD				
Veolia Environmental Services North America LLC 53 State street 14th floor 02109 MA Boston (United States)		FC	100.00	100.00
Veolia ES Technical Solutions LLC 53 State street 14th floor 02109 MA Boston (United States)		FC	100.00	100.00
Veolia Water USA Inc. and its subsidiaries 461 From Road Suite 400, Paramus 07652 New Jersey (United States)		FC	100.00	100.00
Veolia North America (Paramus) Inc. and its subsidiaries 461 From Road Suite 400, Paramus 07652 New Jersey (United States)		FC	100.00	100.00
Veolia Water Technologies Treatment Solutions USA Inc. and its subsidiaries 461 From Road Suite 400, Paramus 07652 New Jersey (United States)		FC	100.00	70.00
Veolia ES Canada Industrial Services Inc. 555 René-Lévesque Boulevard West Suite 1450 H2Z 1B1 H1B 5M9 Montreal – Quebec (Canada)		FC	100.00	100.00
Veolia Holding America Latina SA and its subsidiaries Calle Torrelaguna 60, 2 Planta 28043 Madrid (Spain)		FC	100.00	100.00
Beijing Yansan Veolia Water No. 5 Yanshan Xinghua East Road, Yanshan Fangshan District 102500 Beijing (China)		FC	50.00	50.00
Shanghai Pudong Veolia Water Corporation Ltd No. 703 Pujian Road, Pudong New Area 200127 Shanghai (China)		FC	50.00	50.00
Veolia Environmental Services China LTD 40/F One Taikoo Place 979 King's Road Quarry Bay (Hong-Kong)		FC	100.00	100.00
Kunming CGE Water Supply Co Ltd No.6 Siyuan Road, Kunming Municipality, Yunnan Province 650231 (China)		EA	49.00	24.99
Tianjin Jinbin Veolia Water Co Ltd No2 Xinxiang Road, Bridge 4 Jin Tang Expressway, Dongli District Tianjin Municipality (China)		EA	49.00	49.00
VW - VES (HK) Ltd 40/F, One Taikoo Place 979 King's Road Quarry Bay (Hong Kong)		FC	100.00	100.00
Veolia Korea Co Ltd East 16 F Signature Towers Building Chungyechou-ro 100 Jung-gu (South Korea)		FC	100.00	100.00
Veolia Environmental Resources Taiwan Co Ltd SA New Design Building n°22, Sec. 3 Zhongshan N. Road, Zhongshan District 10435 Taipei (Taiwan)		FC	100,00	100,00
Veolia Water Australia and its subsidiaries Level 4, Bay Center, 65 Pirrama Road, NSW 2009 Pyrmont (Australia)		FC	100.00	100.00

Company and address	French company registration number (Siret)	Consolidation method	% control	% interest
Veolia Environmental Services Australia Pty Ltd Level 4, Bay Center, 65 Pirrama Road, NSW 2009 Pyrmont (Australia)		FC	100.00	100.00
Veolia Recycling & Recovery Holdings ANZ PTY LTD and its subsidiaries Level 4, Bay Center, 65 Pirrama Road, NSW 2009 Pyrmont (Australia)		FC	100.00	100.00
Veolia Middle East and its subsidiaries 21 rue La Boétie 75008 Paris	505 190 801 00041	FC	100.00	100.00
Amendis 20 rue Imam Ghazali 90 000 Tanger (Morocco)		FC	100.00	100.00
REDAL S.A. 6 Zankat Al Hoceima, BP 161 10 000 Rabat (Morocco)		FC	100.00	100.00
Sharqiyah Desalination Co. SAOC PO Box 685, PC 114 Jibroo, (Sultanate of Oman)		EA	35.75	35.75
Veolia Environmental Services Asia Pte Ltd 15 Tuas View Circuit 636968 (Singapore)		FC	100.00	100.00
WATER TECHNOLOGIES				
Veolia Water Technologies and its subsidiaries Immeuble L'Aquarène 1 place Montgolfier 94417 St Maurice Cedex	414 986 216 00037	FC	100.00	100.00
OTV Immeuble L'Aquarène 1 place Montgolfier 94417 St Maurice Cedex	433 998 473 00014	FC	100.00	100.00
Société Internationale de Dessalement (SIDEM) 1 rue Giovanni Batista Pirelli 94410 Saint-Maurice	342 500 956 00038	FC	100.00	100.00
Veolia Water Technologies & Solutions and its subsidiaries 21 rue La Boétie 75008 Paris	829 256 197 00023	FC	70.00	70.00
OTHER				
Veolia Énergie International and its subsidiaries 21 rue La Boétie 75008 Paris	433 539 566 00045	FC	99.99	99.99

Consolidation method.

FC: Full consolidation – EA: Equity associate.

The German subsidiaries of the Group are included in the enclosed consolidated financial statements. In accordance with section 264(3), 264-B and 291 of the German Commercial Code (HGB), these entities may be exempt from the obligation to publish an annual report and present consolidated financial statements under German GAAP. Subsidiaries that have opted for this exemption are listed below:

Publication exemption	Company	Country	Currency
	ALTVATER CHERNIVZY	Ukraine	UAH
	ALTVATER KIEV	Ukraine	UAH
	ALTVATER TERNOPIL	Ukraine	UAH
	ASD ALTPAPIER SORTIERUNG DACHAUD GmbH	Germany	EUR
	BELLANDVISION GmbH	Germany	EUR
	BELLIS GmbH	Germany	EUR
	BIOCYCLING GmbH	Germany	EUR
	BRAUNSCHWEIGER NETZ GmbH	Germany	EUR
	BRAUNSCHWEIGER VERSORGUNGS-AG & Co. KG	Germany	EUR
	BRAUNSCHWEIGER VERSORGUNGS-VERWALTUNG-AG	Germany	EUR
	EUROLOGISTIK UMWELTSERVICE GmbH	Germany	EUR
	FELS-RECYCLING GmbH	Germany	EUR
	Filtech Entwässerungen GmbH	Germany	EUR
	FRIEDRICH HOFMANN BETRIEBSGESELLSCHAFT mbH	Germany	EUR
	FRIEDRICH HOFMANN GmbH Erlangen	Germany	EUR
	GASVERSORGUNG GÖRLITZ GmbH	Germany	EUR
	GLOBALIS BETEILIGUNGSGESELLSCHAFT mbH	Germany	EUR
Yes	GLOBALIS SERVICE GmbH & CO. KG	Germany	EUR
	GPA Gesellschaft für Personalplanung und Arbeitnehmerüberlassung GmbH	Germany	EUR
Yes	GUD GERAER UMWELTDIENSTE GmbH & Co. KG	Germany	EUR
	GUD GERAER UMWELTDIENSTE VERWALTUNGS GmbH	Germany	EUR

Publication exemption	Company	Country	Currency
	INTROTEC Schwarza GmbH	Germany	EUR
	JOB & MEHR GmbH	Germany	EUR
Yes	K. BONN ABFALLWIRTSCHAFTS GmbH & Co. KG	Germany	EUR
	KOM-DIA GmbH	Germany	EUR
	MIDEWA Dienstleistungsgesellschaft mbH	Germany	EUR
	ML Medien – Logistik GmbH	Germany	EUR
	MULITPET GmbH	Germany	EUR
	MULITPORT GmbH	Germany	EUR
	NGV Nürnberger Gewerbemüllverwertung GmbH	Germany	EUR
	ÖKOTEC Energiemanagement GmbH	Germany	EUR
	ONYX ROHR- UND KANAL-SERVICE GmbH	Germany	EUR
	Ostthüringer Wasser und Abwasser GmbH	Germany	EUR
	Peter Fink Vermietungs GmbH	Germany	EUR
	RECYCLING & ROHSTOFFVERWERTUNG KIEL GmbH	Germany	EUR
	RECYPET AG	Switzerland	CHF
Yes	ROHSTOFFHANDEL KIEL GmbH & Co. KG	Germany	EUR
	ROWE GmbH	Germany	EUR
	STADTENTWÄSSERUNG BRAUNSCHWEIG GmbH	Germany	EUR
	STADTWERKE GÖRLITZ Aktiengesellschaft	Germany	EUR
	STADTWERKE WEISSWASSER GmbH	Germany	EUR
	SWG Services GmbH	Germany	EUR
	VBG VERWALTUNGS- UND BETEILIGUNGSGESELLSCHAFT mbH	Germany	EUR
	VEOLIA BS ENERGY BETEILIGUNGS GmbH	Germany	EUR
	VEOLIA Energiedienstleistungen GmbH	Germany	EUR
	VEOLIA ENERGIE DEUTSCHLAND GmbH	Germany	EUR
	VEOLIA ENVIRONNEMENT LAUSITZ GmbH	Germany	EUR
	VEOLIA GEBÄUDESERVICE DEUTSCHLAND GmbH	Germany	EUR
	VEOLIA HOLDING DEUTSCHLAND GmbH	Germany	EUR
	VEOLIA INDUSTRIEPARK DEUTSCHLAND GmbH	Germany	EUR
	Veolia Infra Klärschlamm Deutschland GmbH	Germany	EUR
	Veolia Klärschlamm und Biogas Schönebeck GmbH	Germany	EUR
	VEOLIA Klärschlammverwertung Deutschland GmbH	Germany	EUR
	VEOLIA LOGISTIK DEUTSCHLAND GmbH	Germany	EUR
	VEOLIA PAPER GERMANY GmbH	Germany	EUR
	VEOLIA PET Germany GmbH	Germany	EUR
	Veolia Pet Norge AS	Norway	NOK
	VEOLIA PET SVENSKA AB	Sweden	SEK
	Veolia Solutions Deutschland GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE & CONSULTING GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE BETEILIGUNGSVERWALTUNGS GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE DUAL GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE GmbH DEUTSCHLAND	Germany	EUR
	VEOLIA UMWELTSERVICE NORD GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE OCHTENDUNG GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE OST GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE RECYCLING & RECOVERY DEUTSCHLAND GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE RESSOURCENMANAGEMENT GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE RÜCKNAHMESYSTEME Wesseling GmbH	Germany	EUR
Yes	VEOLIA UMWELTSERVICE SÜD GmbH & Co. KG	Germany	EUR
	VEOLIA UMWELTSERVICE SÜD VERWALTUNGS GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE WESSELING GmbH	Germany	EUR
	VEOLIA UMWELTSERVICE WEST GmbH	Germany	EUR
	VEOLIA WASSER DEUTSCHLAND GmbH	Germany	EUR
	VEOLIA WASSER STORKOW GmbH	Germany	EUR
	VEOLIA WASSER WAGENFELD GmbH	Germany	EUR
	VEOLIA WASSER WEGELEBEN GmbH	Germany	EUR
	VKD Holding GmbH	Germany	EUR

Note 16 AUDIT FEES

Audit fees (KPMG and Ernst & Young) certifying the Group's accounts amounted to €36 million for the 2024 fiscal year and €39 million for the 2023 fiscal year, including :

- €32 million in 2024 and €35 million in 2023 in respect of the statutory audit of the accounts ;
- €3 million in 2024 and €4 million in 2023 in respect of services falling within the scope of diligences directly related to the audit engagement ;
- €1 million in 2024 for the certification of the sustainability statement set by the CSRD "Corporate Sustainability Reporting Directive".

Audit fees paid to Statutory Auditors not belonging to the network of those certifying the Group's accounts amounted to €15 million for the 2024 fiscal year (mainly Deloitte) and €7 million for the 2023 fiscal year.